

Speedrun: Business Model Insights from various companies (Part-1)

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Disclaimer

Views expressed are completely personal and may or may not reflect views of my employer

This is a personal project and no company resources were used in its preparation

All data are from public sources or estimated from public sources like company financial reports, press reports, IPO prospectus, filings with MCA etc.

A lot of care has been taken in estimations and charts. Any errors are regretted

None of this should be construed as investment advice and should be used primarily for informational purposes only

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Costco: Winning with Smart Strategic Choices



Costco is one of the largest retailers in the world with **\$250bn in sales** and more than \$7bn in net income and is worth about \$400bn in market cap

Costco **requires membership** to shop at its stores and is known for its fiercely loyal members

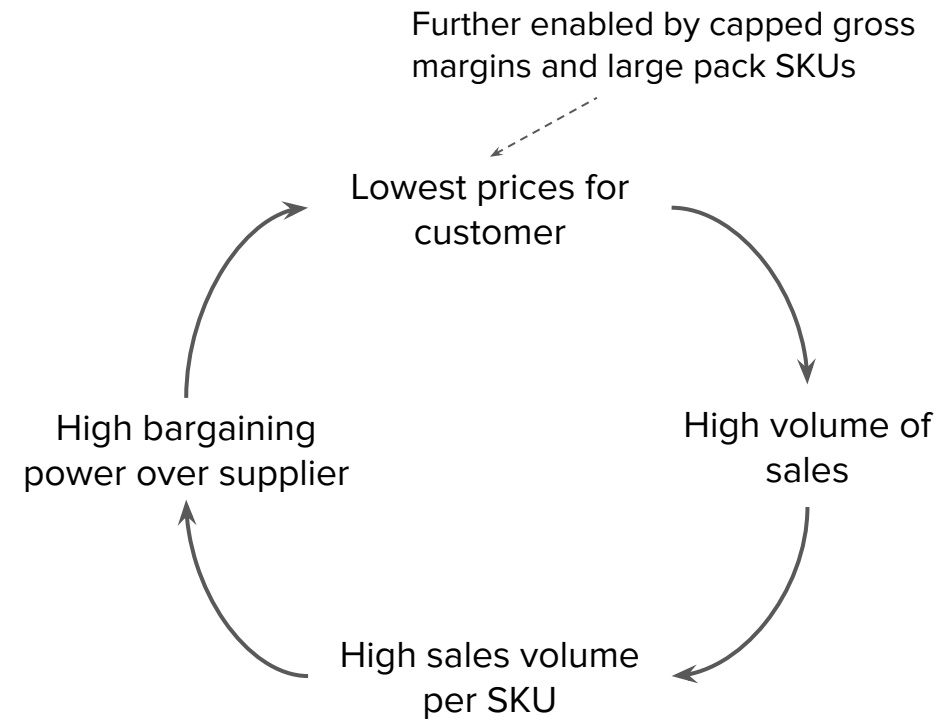
It has around 137 million members who have **skew higher income** and have a **renewal rate of more than 90%**

Its **private-label Kirkland Signature** does about **30% of total sales** making it the standalone largest CPG brand in country

Costco is a masterclass in Smart Strategic Choices and Tradeoffs

Costco's Deliberate Choices	Strategic Benefits
Limiting the size of selection to 4000 SKUs per store	Very high scale per SKU and very efficient operations (low cost structure) due to limited SKU handling
Only 2-3 brands per category	Very high scale per brand and hence high bargaining power resulting in lower prices
Only Large Pack SKUs	Can offer the best price per unit (eg. per ml or per gram) on large packs
Limit gross margin to 14% per SKU	Ensures unbeatable prices for customers and incentivizes procurement at lowest prices
Require membership to shop	Increases shopping frequency among customers due to psychology and adds a high margin revenue stream

Costco's Strategic Choices enable its flywheel

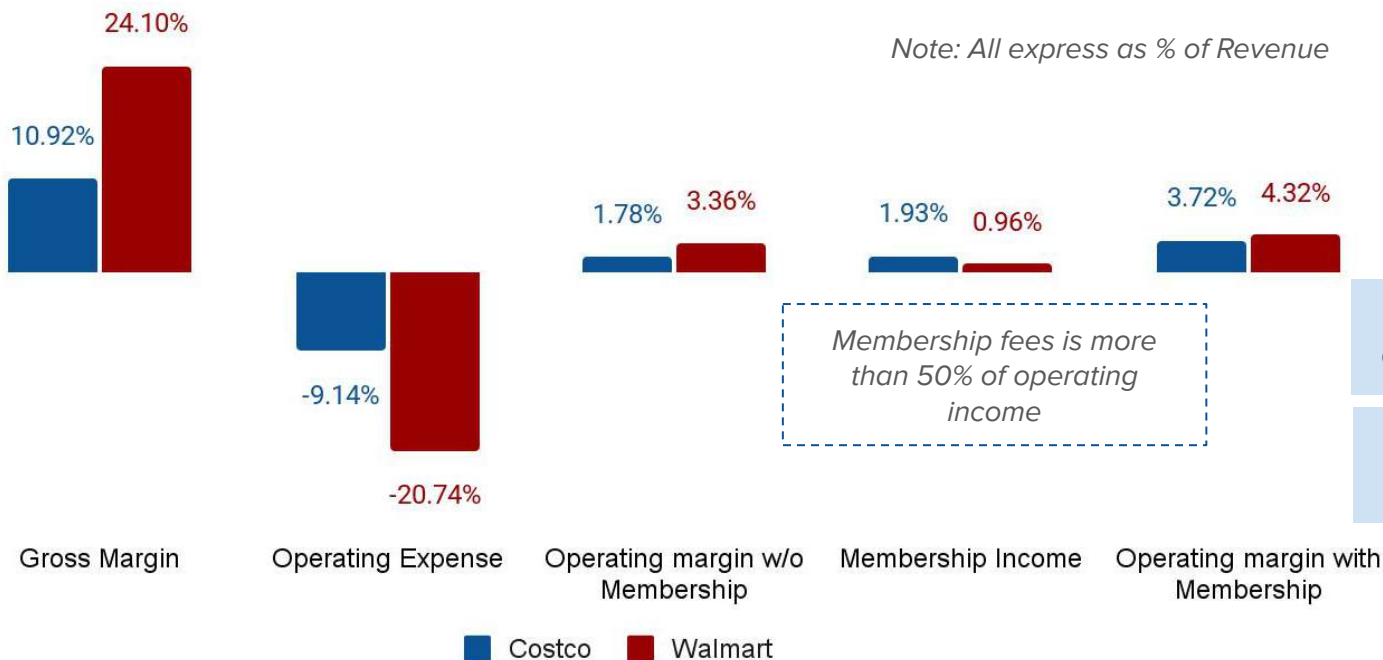


Per SKU Sales (estimate) shows Costco's massive bargaining power even vs. giants like Walmart



Costco's Limited Selection enables very Efficient Operations. Majority of the profit comes from Membership Fees

Costco with much lower gross margin is able to do reasonably well in operating margins due to lower cost structure and membership fees



Lower selection translates into low cost structure - lower supply chain costs, lesser number of employees, direct store receiving instead of having distribution centers

Retail Sales per Sq.Ft
Costco: \$1850 vs. Walmart: \$550

Inventory Turnover Ratio
Costco: 12.6 vs. Walmart: 9.2

Costco's Fuel, Food and Treasure Hunt Experience help get members to shop again and renew at very high rates

Costco has **lowest fuel prices** and 12% of sales comes from Fuel. The main reason is to increase customer footfalls. Reportedly half the time, fuel customers walk into stores



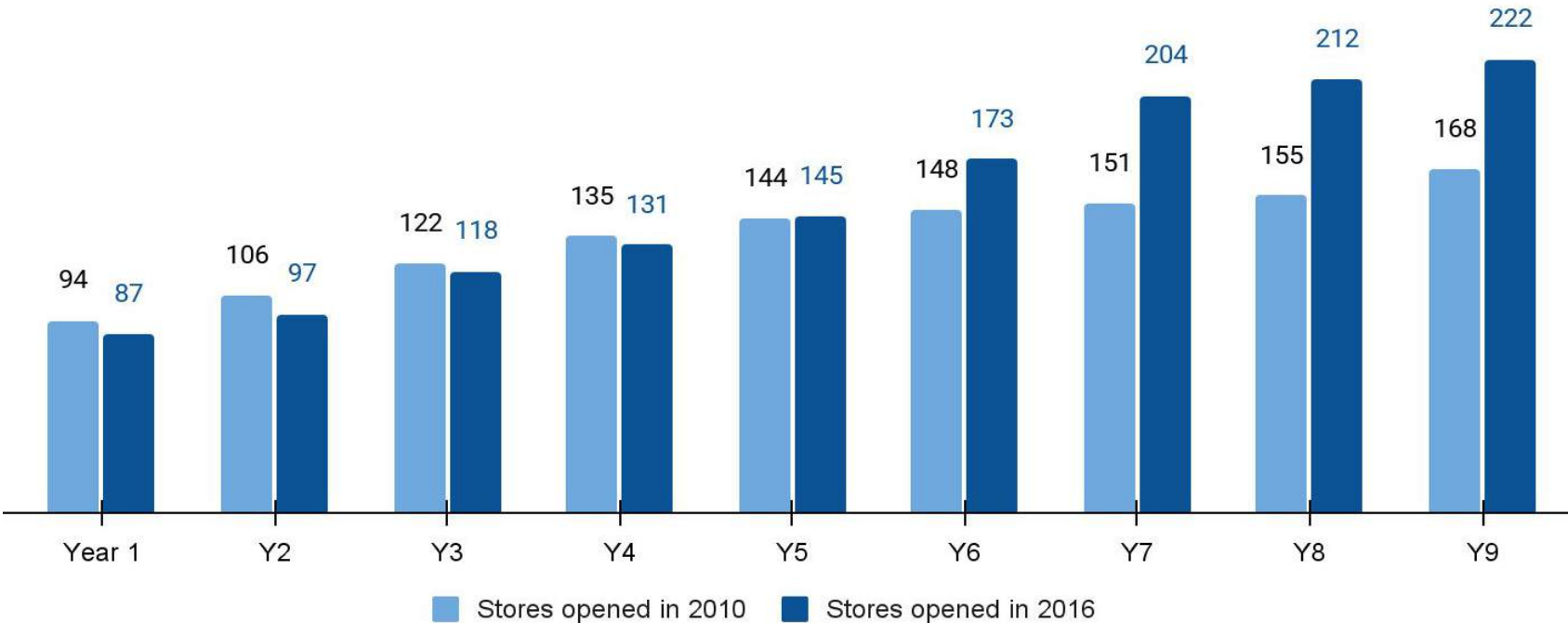
Costco has a **treasure hunt shopping experience** where they change the layout constantly and customers discover new things every time



Costco sells fresh food at great prices which attracts footfalls. Its **iconic hotdog combo is still \$1.5**. 14% of revenue comes from Fresh Food

Costco is able to consistently improve its store level sales for many, many years.
Comes from new members and strong retention

Costco store-level yearly sales for stores opened in 2010 and 2016 (\$mn)



Costco's Private Label Brand Kirkland Signature is the largest standalone CPG brand by sales in the US (\$80bn+ sales. 30%+ of Costco sales)



Unlike other retailers, Costco does **private label under a single brand name 'Kirkland Signature'** so that it is easy to remember for customers.

Kirkland Signature has become a **mark of quality and trust among Costco members**. Kirkland offers great value compared to branded products (remember Costco offers only 2-3 brands per category)

Kirkland is not only cheap but it matches or betters the national brand on quality or other dimensions.

Fun Fact: **Costco CEO personally signs off on every new Kirkland SKU that is launched.**

Kirkland has a bigger strategic value - **it pressures the national brand in the category to cut prices** if the price differential vs. Kirkland is high

In fact, many Kirkland products are manufactured by the national brand themselves (eg. roasted coffee is by Starbucks)

Casey's - The Fuel+Convenience Store Chain serving Rural America (\$16bn revenue)



Casey's General Stores is fuel+convenience store chain that mainly operates in midwestern and southern United States (founded in 1968 in Iowa)

As of April 2025, it operates 2904 stores and does about \$16bn in revenue and now has a market cap of about \$20bn

71% of its stores in areas with **population of fewer than 20,000 people**

Casey's competes on location and price. Most of the communities where it operates are not served by national convenience store chains

Customers come mainly for the **lower-margin (self-serve) fuel** and Casey's cross-sells them **higher-margin pizza**. In fact, Casey's considers **Pizza as its flagship product**

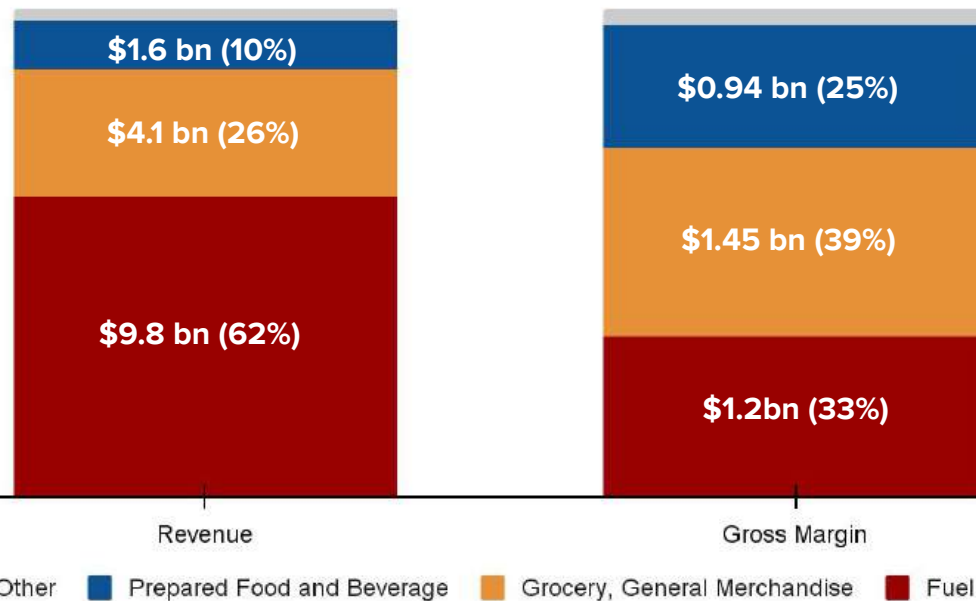


Competitive advantage for Casey's comes from operating a scaled business in small towns and with a profit model of selling high-margin pizzas

	DIFFERENTIATOR		BENEFIT
	Unique Footprint ~2/3 of stores in towns of 20K people or fewer	▶	Stronger market position in rural areas; less expensive to build, buy, and operate units
	Prepared Food Prepared food is a larger % of inside sales mix 5th largest US pizza chain	▶	Food sales across all dayparts, with high quality differentiated products and best-in-class margins
	Advanced Technology Best-in-class Rewards platform with over 9M (and growing) highly active members Investment in tech: effectiveness and efficiency	▶	Higher transaction value, more frequent visits, and personalized marketing to influence guest behavior
	Vertical Integration Products inside the store from three owned distribution centers ~60% of fuel delivered from owned tanker fleet	▶	Positive control over value chain that enables service to rural areas and distribution efficiencies
	Consolidated Scale Casey's leverages its scale across the business	▶	Stronger negotiating position for vendor contracts, centralized fuel, merchandising, and operations support to optimize margin and volume

Casey's Model - Lower-Margin Fuel to get customer footfall + Higher-Margin Pizza and General Merchandise to make profits

Casey's Revenue and Gross Margin (\$bn)



Fuel has only gross margins of 12%

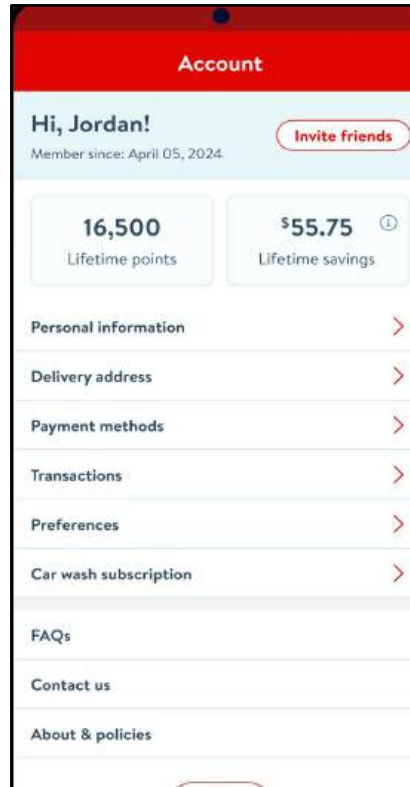
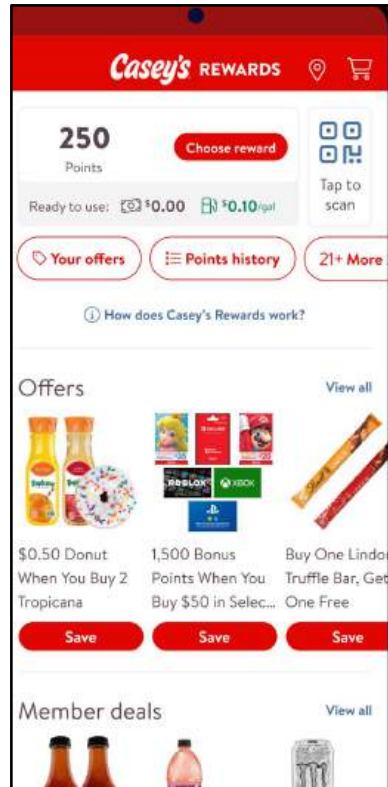
On the other hand, Grocery, General Merchandise has 35% gross margins

In contrast, Casey's **does 59% gross margins in Pizza, Fresh food!**

The focus on food continues. Casey's is **already the fifth largest 'pizza chain' in the country**

Customers love the pizza and fresh food for its quality and affordability

Casey's Rewards program drives repeat purchases in food and provides insights for new high-margin menu launches



Customers get 10 points per dollar or 5 points for fuel

Higher-margin items like Pizzas give 2x points

Points can be converted to Casey's Cash and can be used for any non-fuel purchases or can be converted to a fuel discount

Reward members get special fuel discounts

There are now about 9.5 million rewards members.

Insights from these members helps in launch of new high-margin items like chicken wings

Casey's is ramping up acquisitions of smaller stores or chains in new small towns. Casey's Food business in new stores immediately gives it results.

In recent years, Casey's has **accelerated store count by acquisition of smaller chains**. It increases acquired store's food mix by 750bps and significantly improves the profitability

OF UNITS BY FISCAL YEAR

■ New builds ■ Acquisitions ◆ Ending store count



TJX - \$60bn revenue and \$172bn market cap retailer that thrives by selling non-selling clothes and goods



TJX operates 'off-price' retail brands like TJ Maxx, Marshalls, Homesense and HomeGoods

TJX **procures unsold, overrun, excess and slow moving inventory** (clothing and home goods) from brands and other retailers at bargain prices and sells to customers at deep discounts

The **main proposition for customers is great brands at unmatched discounts** (20%-60% lower than full price retailers)

Brands treat TJX brands as a **reliable liquidation channel that helps them salvage value**



TJ-maxx

Marshalls

HomeGoods



SIERRA

WINNERS

HOMESENSE

T-K-maxx

The Secret Sauce for **TJX** Success is in its Opportunistic and Flexible Procurement Model

TJX has a world-class buying organization and has an in-house university to train talent



How TJ Maxx (TJX) differs in buying inventory

Focused on buying older, excess, unsold inventory from brands and retailers at bargain prices

Opportunistically buys all-year-round and just-in-time instead of seasonal buying and placing orders in advance

Flexible to take smaller or larger batches as long as price is right. Willing to accept assortment without all sizes

Very disciplined buying. Scores inventory based on Price, Brand, Style, Quality (each on a 1-4 scale)

Does not wait long to sell inventory. Quickly marks down or liquidates

The Flexible buying model of TJX results in excellent advantages...

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Advantages of the model

Gets products at bargain prices with the best pricing in market for branded products

Can adjust and react to market trends quickly and opportunistically when buying all-year round

Able to become a reliable liquidation partner for brands and other retailers when there is flexibility

Very high inventory turnover - much higher than fashion retailers and on-par with best of Fast Fashion giants

Good inventory management and ability to course correct quickly

... but the inherent challenge is consistency and availability. **TJX** overcome this challenge beautifully with its modular and treasure-hunt store approach



How TJX uses its store approach to overcome consistency limitations

TJX **Stores are modular in nature** and do not have walls and or category or brand sections.

Based on category and brand availability, the staff will move around inventory. This gives shoppers a **thrilling treasure-hunt or bargain hunting feel!**

TJX says its **stores are 'never the same place twice**

Customers instead of complaining about size or availability limitation instead **have FOMO to keep returning for bargain hunts!**

TJ Maxx and Other TJX Brands because of their price and bargain hunt proposition are loved by all customer segments and perform well in any economy

There is a secular trend towards loving bargains and customers proudly post about their TJX 'hauls' on social media triggering further interest

STYLE | FASHION

\$800 Designer Finds for 90% Off? No Wonder Millionaires Shop at T.J. Maxx and Marshalls

'Years ago, people would hide,' said one wealthy woman, if they saw a familiar face in the aisles. Now, a TJX haul is a badge of honor.

TJX does well at all times

Bad Economic Times? Brands and retailers have excess inventory → Good for TJX to procure at great discounts

Good Economic Times? Retailers don't discount → Good for TJX as price differential is higher

Shorts



TJ Maxx shopping tip
#lifetips #life hacks ...
8.3M views



TJ Maxx anti-haul
#deinfluencing ...
1.7M views



ofo I went home with 4 of them
#tjmaxxhaul ...
180K views



TJ maxx beauty finds!
132K views



buy or bye at tj maxx!!
#fashion #tjmaxx ...
113K views



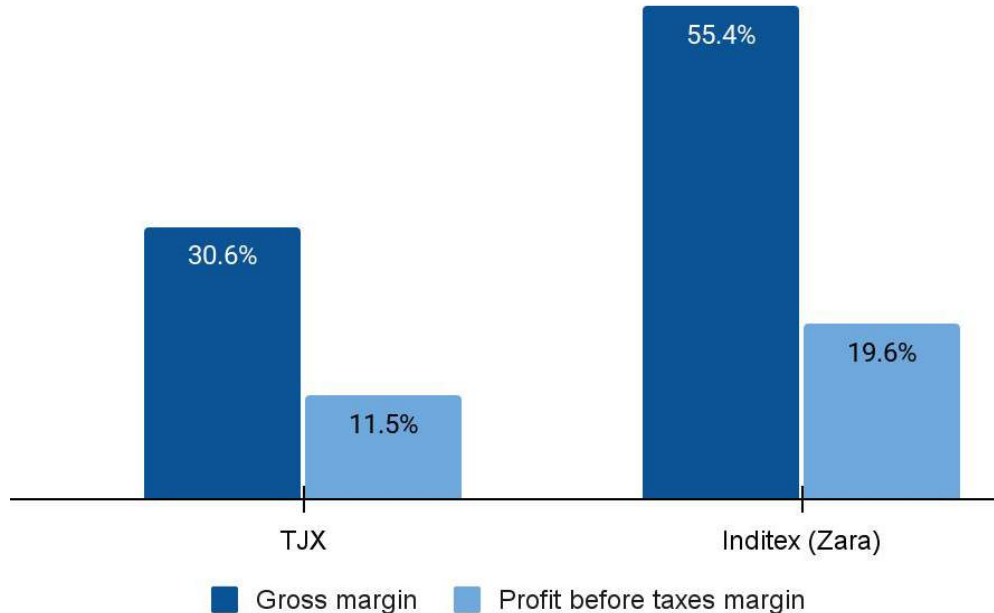
TJX posts solid 11.5% operating margin and has a higher inventory turnover than Inditex (Zara)

Inventory Turnover
Ratio

6.3

5.6

For 2024



TJX because of its opportunistic model of buying inventory only when bargains are available almost **behaves like Fast Fashion as evidenced by its superior inventory turnover**

AutoZone - the \$60 billion auto parts retailer



AutoZone is the largest auto-parts retailer (by sales) in the United States with sales of \$19bn and market cap of about \$60bn.

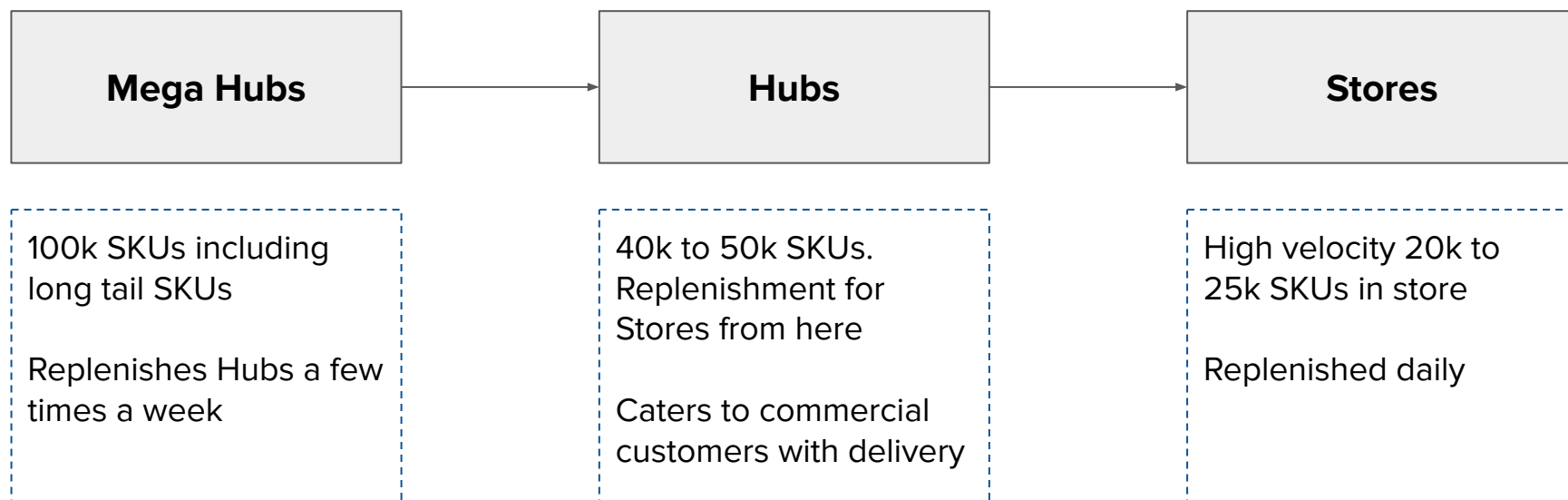
It operates in the after-market segment and historically has focused on the **individual DIY (do-it-yourself) customer**.

AutoZone operates 7600 stores in United States, Mexico and Brazil with majority stores in United States.

In the last decade, it is **growing share with the commercial customer** (professionals, mechanics) which contributed close to 32% of the US sales. It offers same-day delivery to the commercial customer's location eg. garage shops

AutoZone has been successful due to its supply chain model (to ensure availability)...

Auto parts retail is complex because the parts needed are different based on vehicle brand, year, model, engine type and so on. Customers often need immediate availability. This is where **AutoZone** excels



... and assortment strategy (wide selection, good quality at competitive prices)

AutoZone has a **Good-Better-Best tiering approach** to all of its product categories

It has clear price point proposition and quality differences across Good-Better-Best SKUs

Its private label products reportedly contribute to **40%-50% of its sales** and helps it to price products competitively

AutoZone Gross Margins are 52%

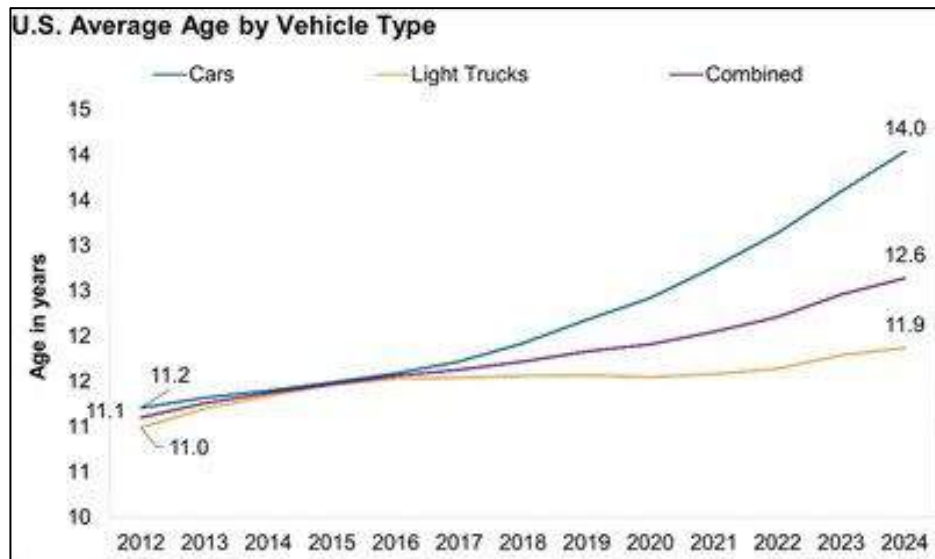


AutoZone is also **well known for its customer service**. One example is the Loan-a-tool program where customers can borrow a tool for free (with a refundable deposit) if they think the tool is going to be used only once.

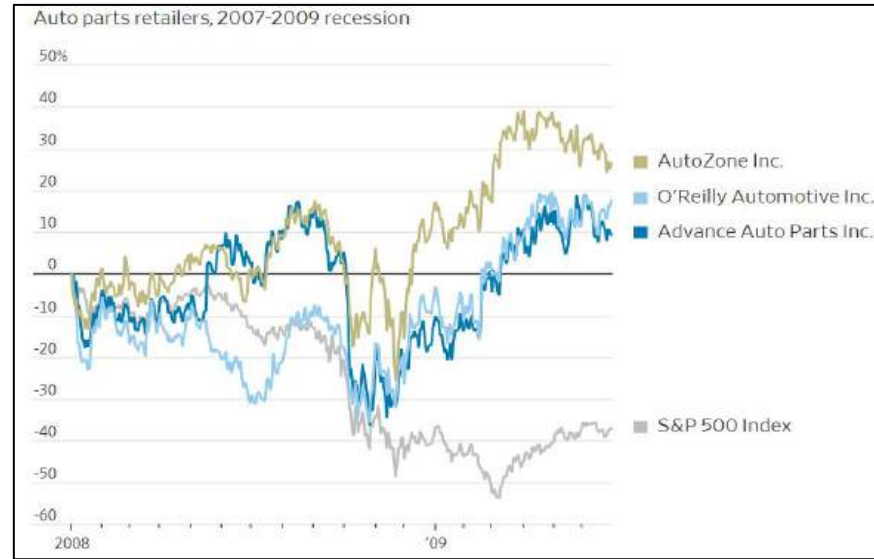
MISSING A SPECIALTY TOOL FOR YOUR NEXT JOB?

Borrow one through our Loan-A-Tool® program in three easy steps

AutoZone has tailwinds due to ageing life of US cars. Auto parts retailers also tend to do better than overall market in a recession!

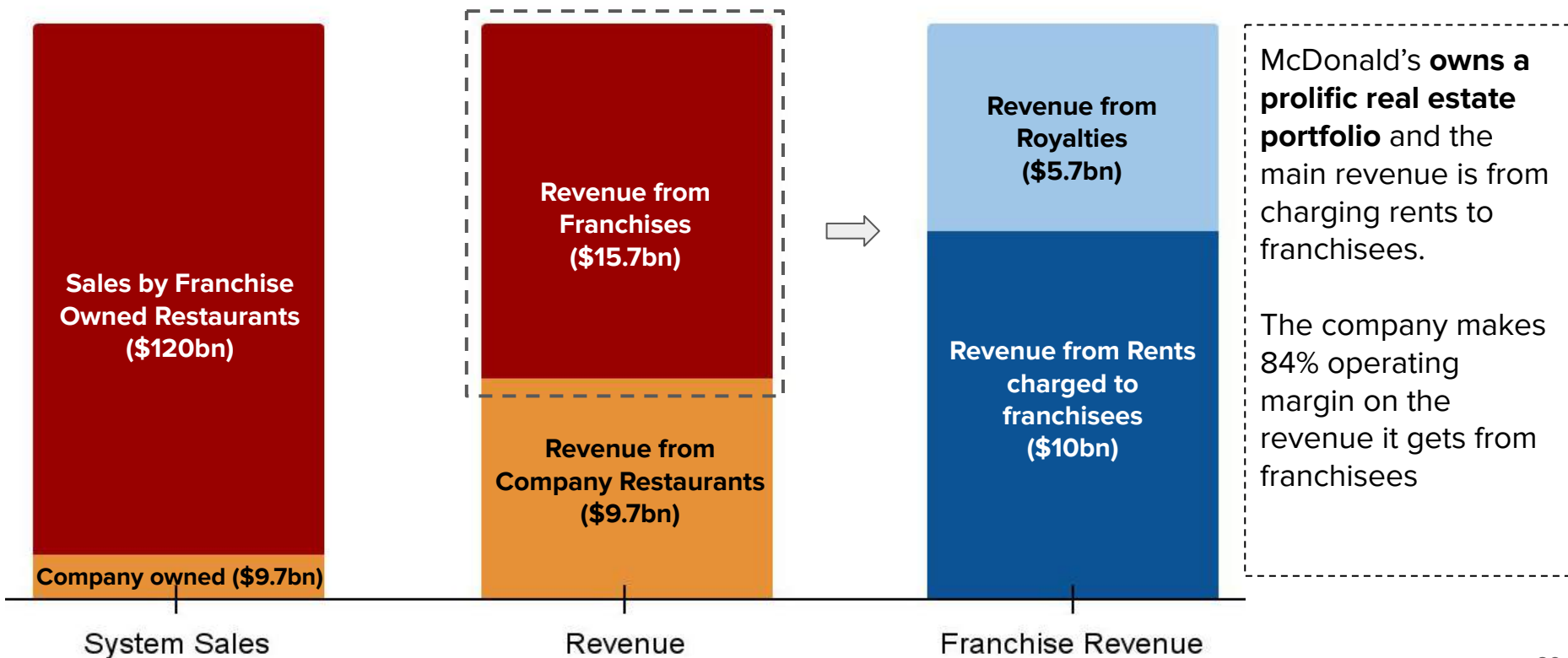


As vehicles get older, they are out of warranty and they tend to have recurring failures and maintenance needs. This works well for auto parts retailers like AutoZone.

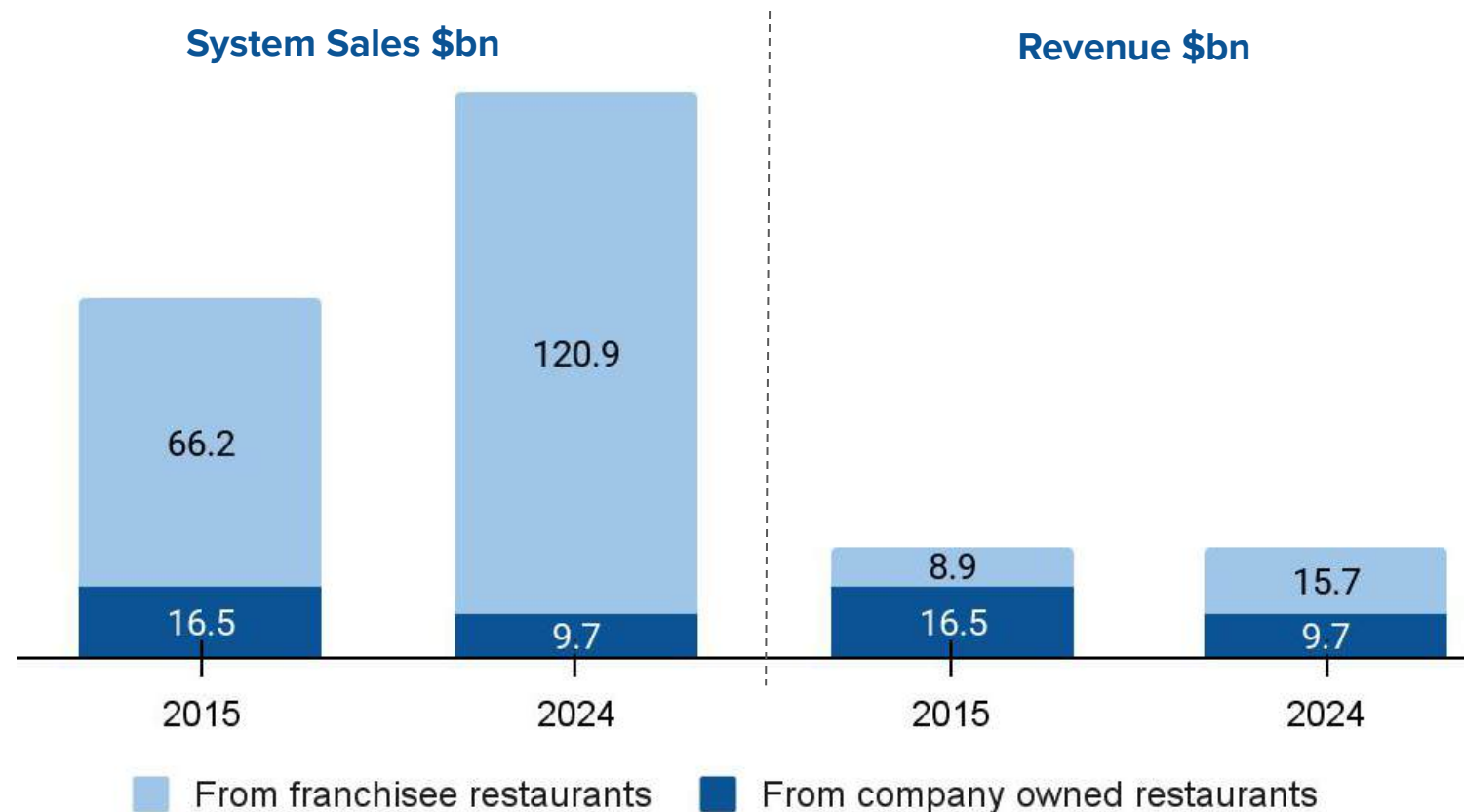


Auto parts retailers did well in the last recession. Customers tend to postpone purchases and choose instead to repair their existing vehicles and carry them on longer

McDonald's: \$130bn in system sales from 40,000+ restaurants with rents from franchisees as the major revenue contributor



McDonald's: Company has in ten years significantly shifted to Franchisee model to drive faster expansion



McDonald's: Many of its menu items are billion-dollar brands themselves



Big Mac



Quarter Pounder



Egg McMuffin



McNuggets

McDonalds has a 15% market share of entire fast food sector in the United States

Many of its menu items are (multi) billion-dollar brands themselves

Gross margins on its food are about 70%

Its biggest customer segment is lower-income customers both in base and in frequency of visits

Breakfast is 25% of the business and is the most profitable part of the day for McDonalds. But Breakfast is susceptible to downturns because lower-income customers will skip the breakfast when the economy is not doing well or they will have at home

How McDonald's is driving growth in the near term

Promotions aimed at Value

Extra Value Meal™



Source: Company Reports

Channel Expansion

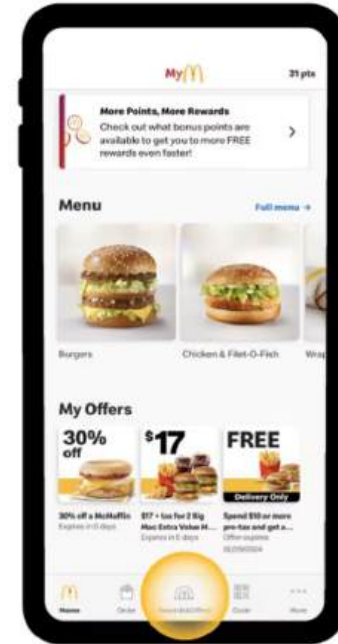


28000
restaurants



30000
restaurants

Loyalty

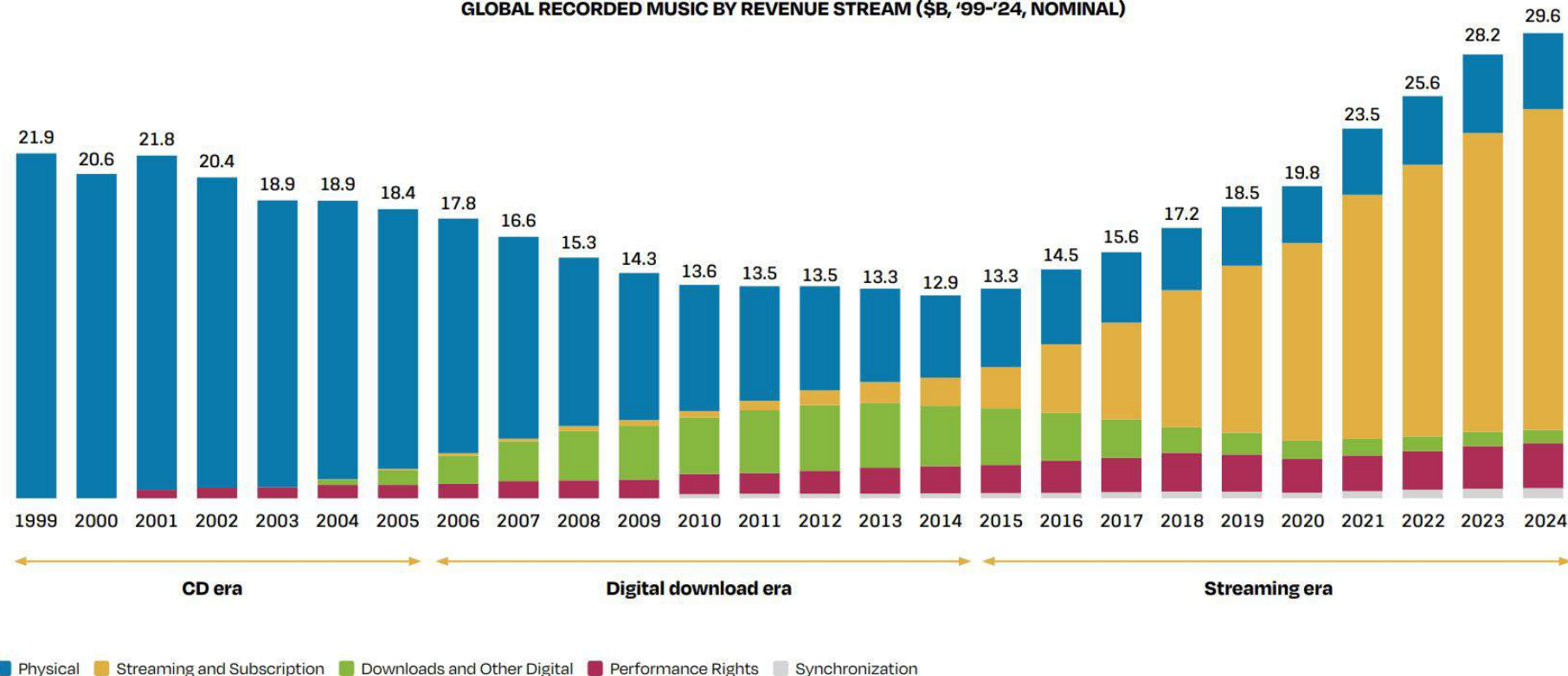


Currently 175
million members
contributing to
30% of business

Company wants
to increase to
250 million by
2027

Universal Music Group: The music industry once presumed to be dead at the dawn of the internet due to piracy, is thriving in the streaming era with royalties and IP protection

GLOBAL RECORDED MUSIC BY REVENUE STREAM (\$B, '99-'24, NOMINAL)



Universal Music Group (UMG) is the biggest music company with the best music rights catalog and most of the top global artists and enjoys a wide moat

Universal Music Group's Flywheel

34% market share
among music rights
companies

9 of the top 10 Global
artists

Owns rights to more
than 3.4 million
recordings



When streamers like Spotify raise prices, **UMG** loves it as most of that price increase is going to be captured by UMG

Universal Music Group CEO Welcomes Spotify Raising Subscription Prices

Lucian Grainge also praised similar price hikes by YouTube, Amazon and Apple Music to increase monetization of streaming audio for his artist rosters: "We must ensure that real artists with real fan bases are fairly compensated."

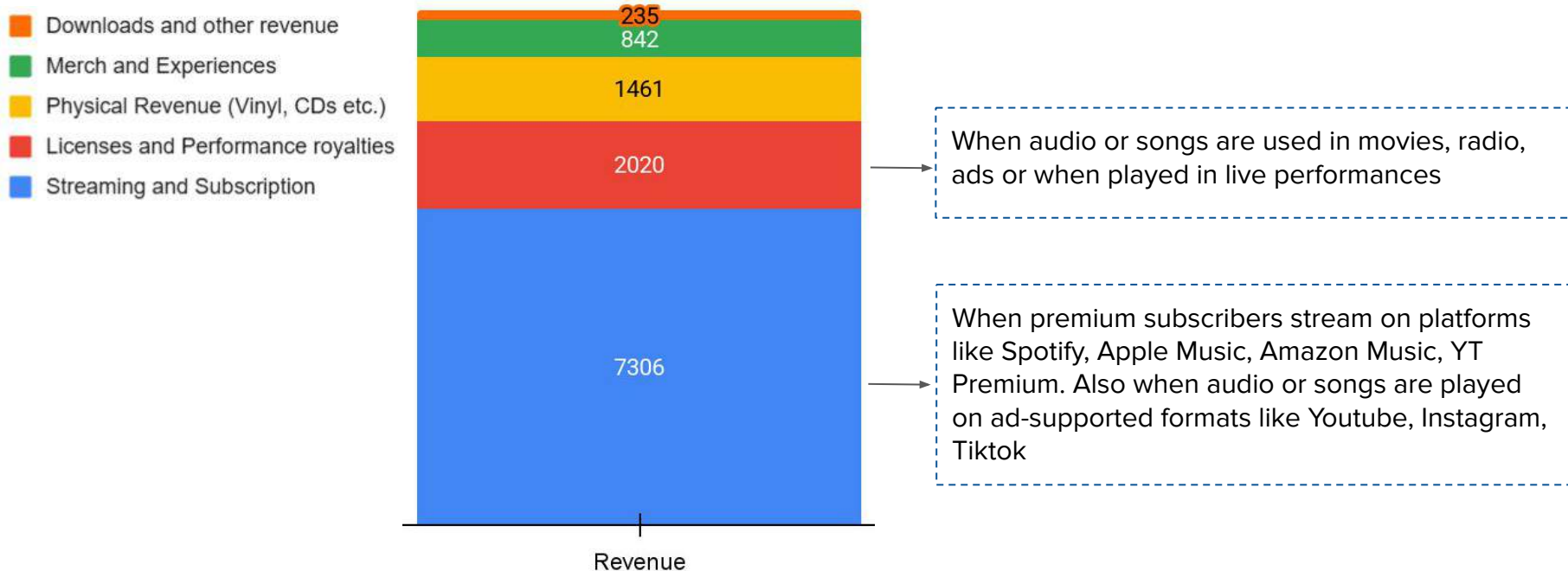
Because of its **high bargaining power** and very deep IP, UMG is able to extract consistently high royalties from Spotify

Spotify in 2024 paid about 67% of its premium subscription revenue towards music royalties

About 90% of the ad-supported revenue of Spotify goes towards music royalties

UMG gets most of its revenue from partnerships with streaming (eg. Spotify, Apple Music) and social platforms (eg. Youtube, Instagram). It hopes to accelerate monetization of 'super fans' via merch and experiences

UMG Revenue Split (2024)



Best Buy the pure-play Electronics retailer (\$40bn revenue)



Source: Company reports

Best Buy is a pure-play electronics and appliance retailer that operates in US and Canada

It operates 1100+ stores and does about \$40bn in revenue

Best Buy has been striving to be a competitive business in the face of **onslaught from two fronts** - from scaled offline retailers like Walmart and Costco and from e-commerce businesses like Amazon

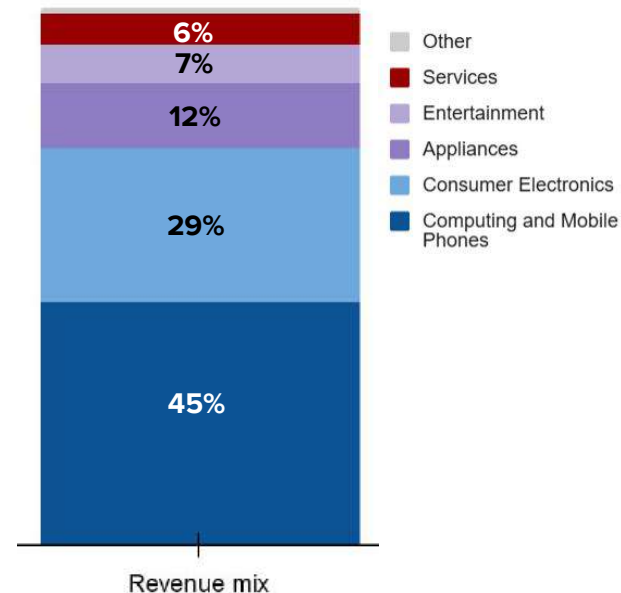
Customers choose Best Buy for its superior after sales service like installations and repairs

Best Buy the Electronics retailing giant is a thin margin business

Best Buy saw brisk pandemic business but is going through a post-pandemic slump (because customers pulled forward their purchases)

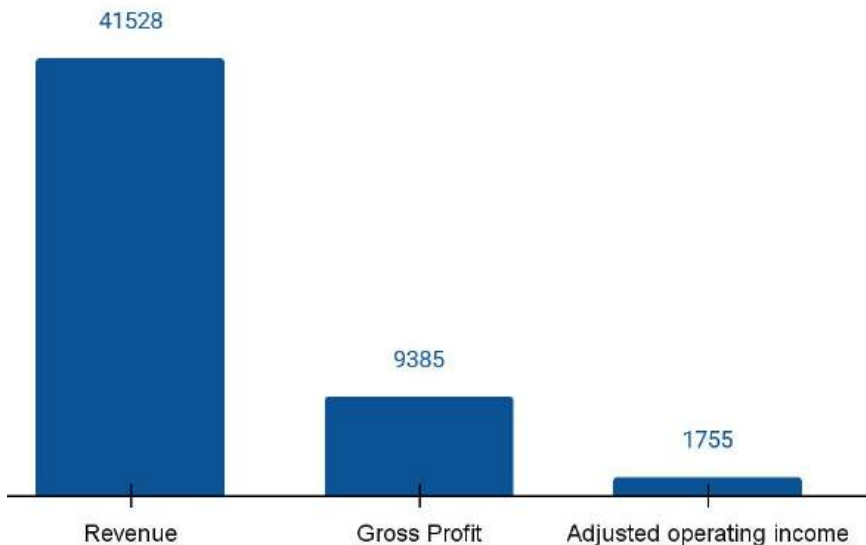


Best Buy makes thin margins on many categories

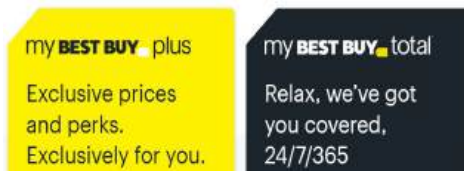


Best Buy makes most of its profits from memberships, co-brand credit card profits and Ads revenue!

Best Buy FY25 Financials (\$mn)



BestBuy generated **\$600mn** in credit card profit share. 25% of sales happens through its branded credit cards. Almost pure profit!



8 million paid memberships in fiscal 2025. This may have generated close to **\$650mn** in revenue



BestBuy sells in-store ads and e-commerce ads. E-commerce is 34% of their revenue. Analysts estimate about **\$250mn** in ad revenue in Fiscal 2025 and is fast growing

Best Buy paid memberships brings in crucial \$650mn in membership fees and helps in customer loyalty. 8 million paid members in fiscal 2025

	My Best Buy™ Free Join My Best Buy See terms.	My Best Buy Plus™ ★★★★☆ (34,722 reviews) \$49.99/year* Add to cart Auto renews. Cancel anytime. See terms.	My Best Buy Total™ ★★★★☆ (30,646 reviews) \$179.99/year* Add to cart Auto renews. Cancel anytime. See terms.
Free standard shipping*	✓	✓	✓
Free 2-day shipping*		✓	✓
Exclusive member prices, deals and offers on thousands of items		✓	✓
Exclusive access to sales, events and products		✓	✓
Extended 60-day return window on most products*		✓	✓
Protection plans, including AppleCare+*			✓
Free in-store and remote computer and tablet services			✓
24/7 tech support			✓
VIP member support			✓
20% off repairs*			✓

Customers tend to like the 60-day return as it helps in peace of mind and trust

They also get good member-only deals (likely funded by brands) that likely pays for itself

Otis - the leader elevator and escalator company



Source: Company reports

Otis is the world's leading elevator and escalator company in manufacturing, installations and service

Global scale and focus with 1400 branches in 70 countries. \$30bn market cap. \$14bn revenue

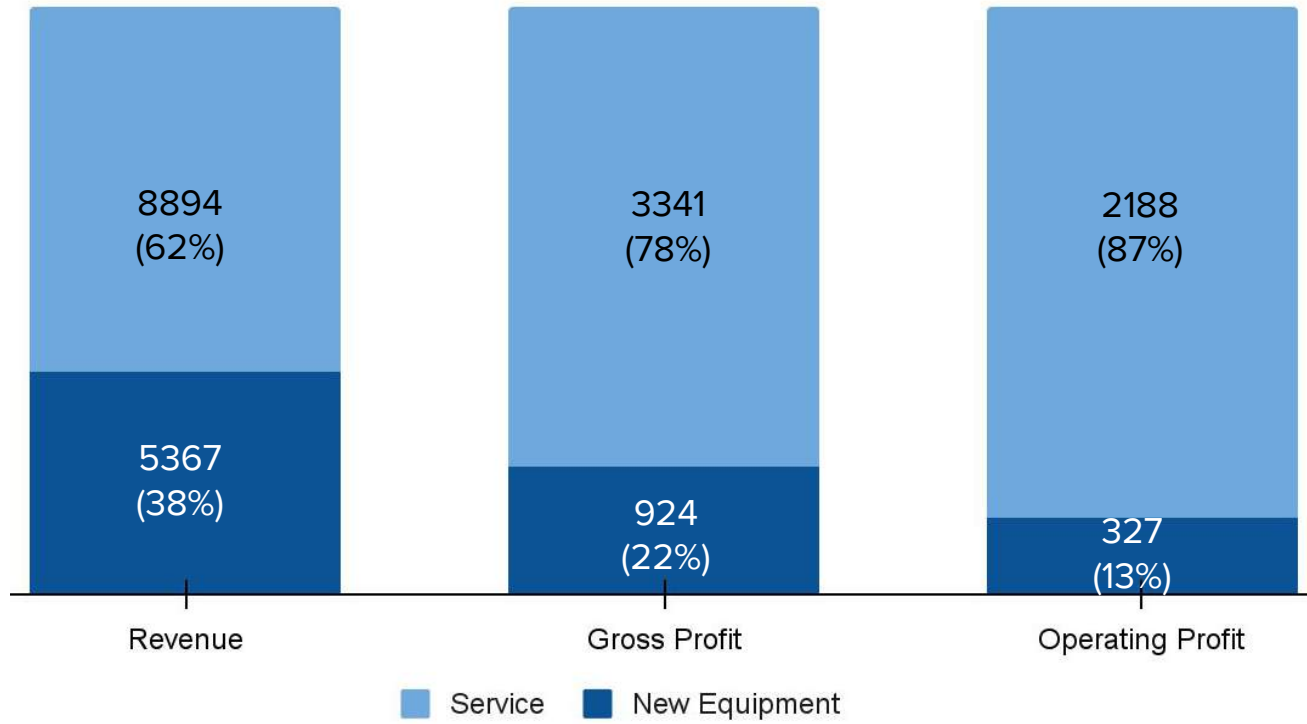
There are estimated **22 million elevators in the world. 9 million of this are in China.**

Of this, **Otis claims a base of around 2.4 million elevators**

Otis has two business segments - New Equipment and Service. New Equipment is very dependent on the construction cycle but **Service segment is robust and a recurring business**

Otis - makes thin margins on new installations/equipment but generates most of its profits from Service

Otis Segment Information 2024 (\$mn)



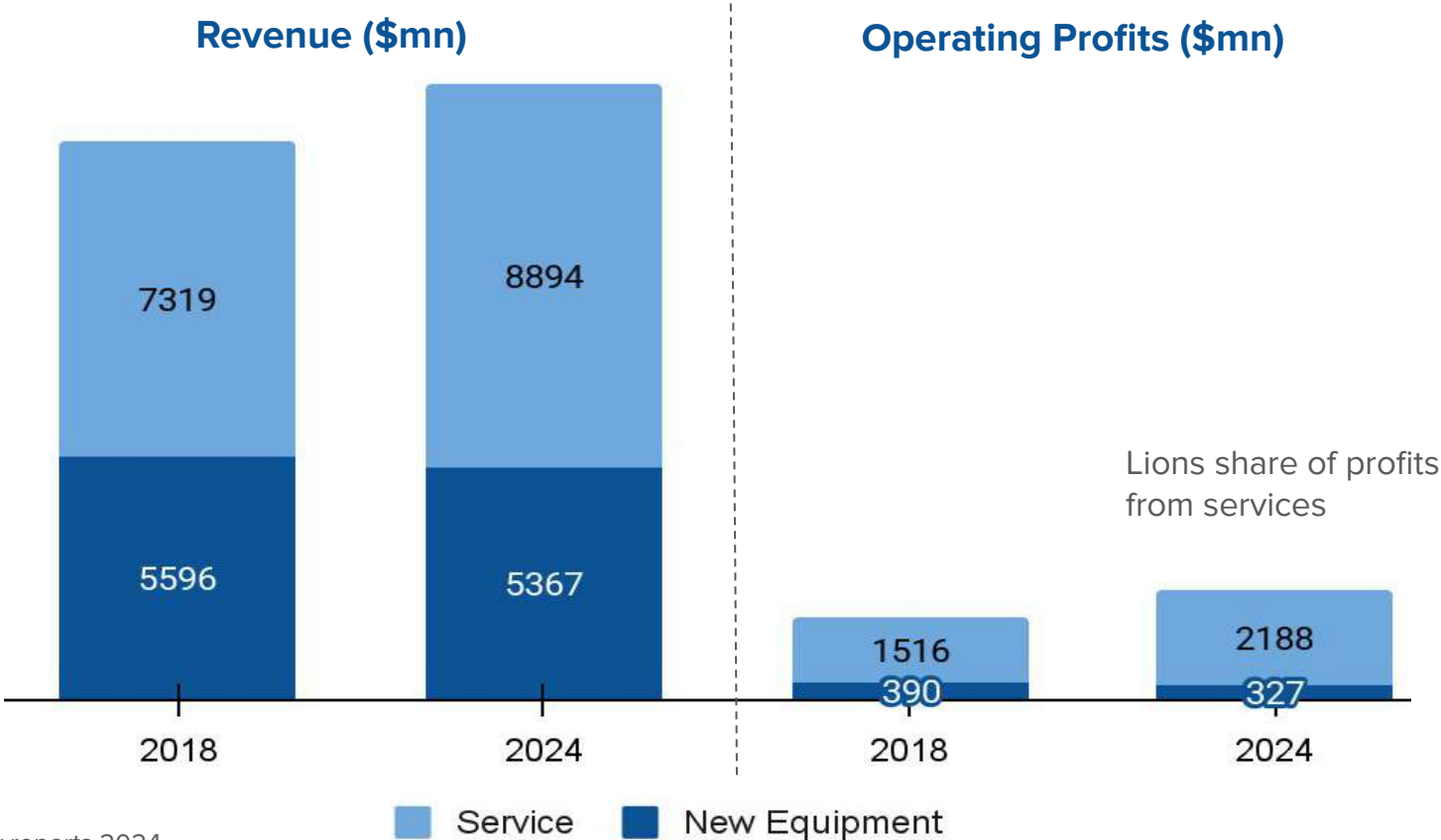
Otis makes thin margins on new equipment but makes good margins on Service

Otis offers service solutions for equipment of other manufacturers too.

It expects good growth to come from China where its service portfolio is very small

Service has operating margin of 24.6% vs. a 6% operating margin for new equipment.

Otis - most of the growth in Revenue and profits comes from Service



Source: Company reports 2024

Spirit Airlines - from the World's Most Profitable Airline to Bankruptcy



Spirit Airlines was a pioneer in the Ultra-low cost carriers category in aviation

It was not exactly known for its comfort and experience (often called the most hated airline) but was very profitable.

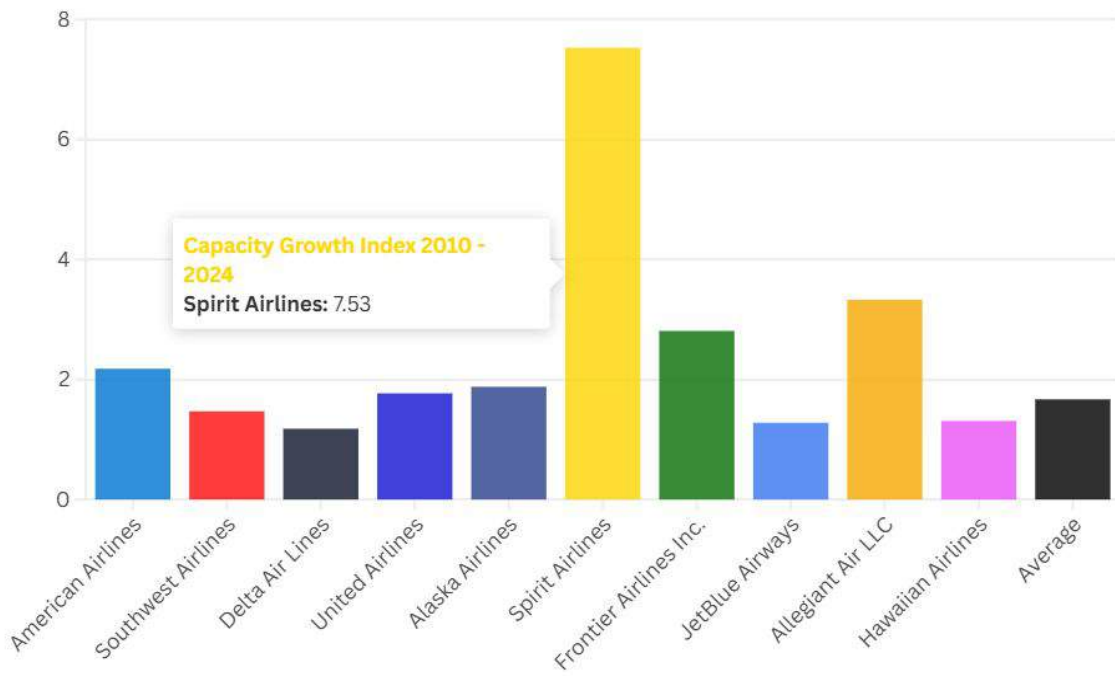
In 2013, it had net profit margins of about 17%, the highest in the industry

It used to have very strong cost focus. **But it made the mistake of aggressive expansion and often into very competitive markets which drove up prices while lowering revenue per passenger**

It has been flirting with bankruptcy for the past few years

Spirit Airlines expanded capacity the most among airlines in the last decade and hit a perfect storm of headwinds since the pandemic

US Domestic Airline Capacity Growth Index
2010-2024



Spirit Airlines faced a number of headwinds since the pandemic

Salary and wages increased as airlines signed record union deals and there were pilot shortages post pandemic

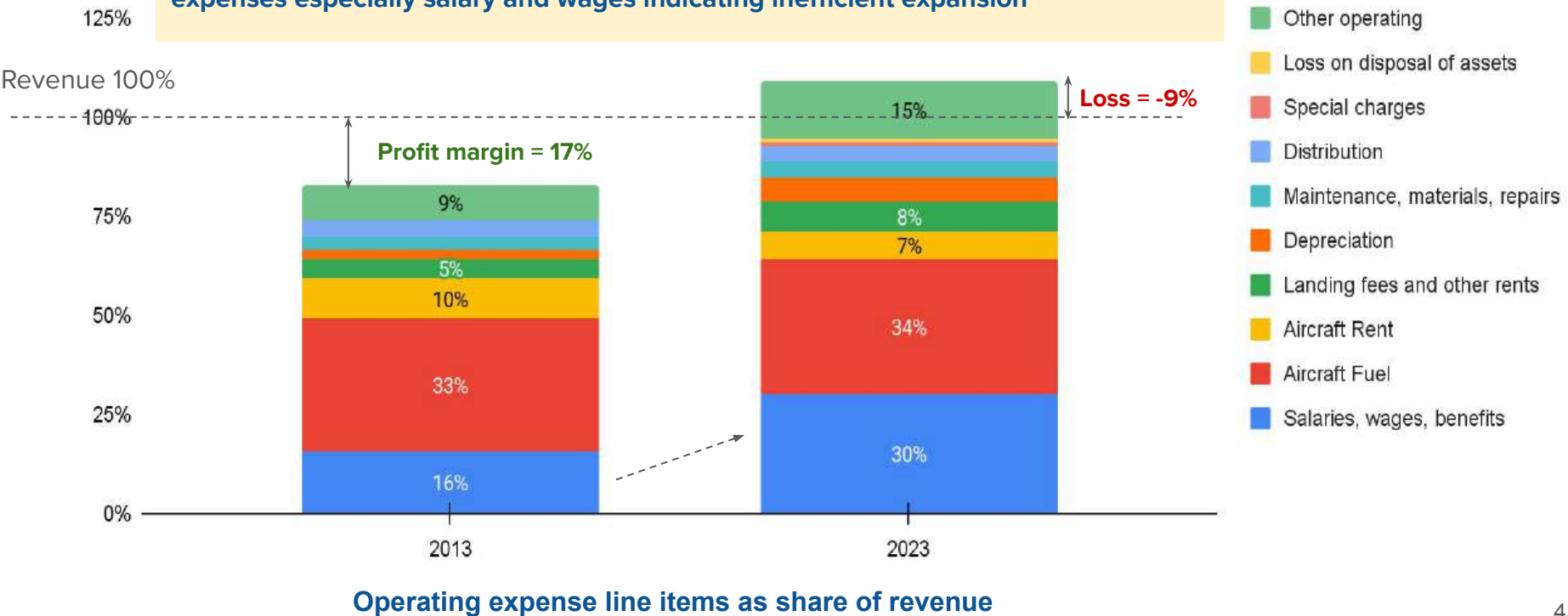
Bigger carriers were battling with fares to defend core markets

Spirit had expanded into markets that were very competitive and with lower utilization

Around 20% of its fleet was grounded due to delays of engine from Pratt and Whitney

Spirit Airlines - How the present operating expenses compared to its heyday

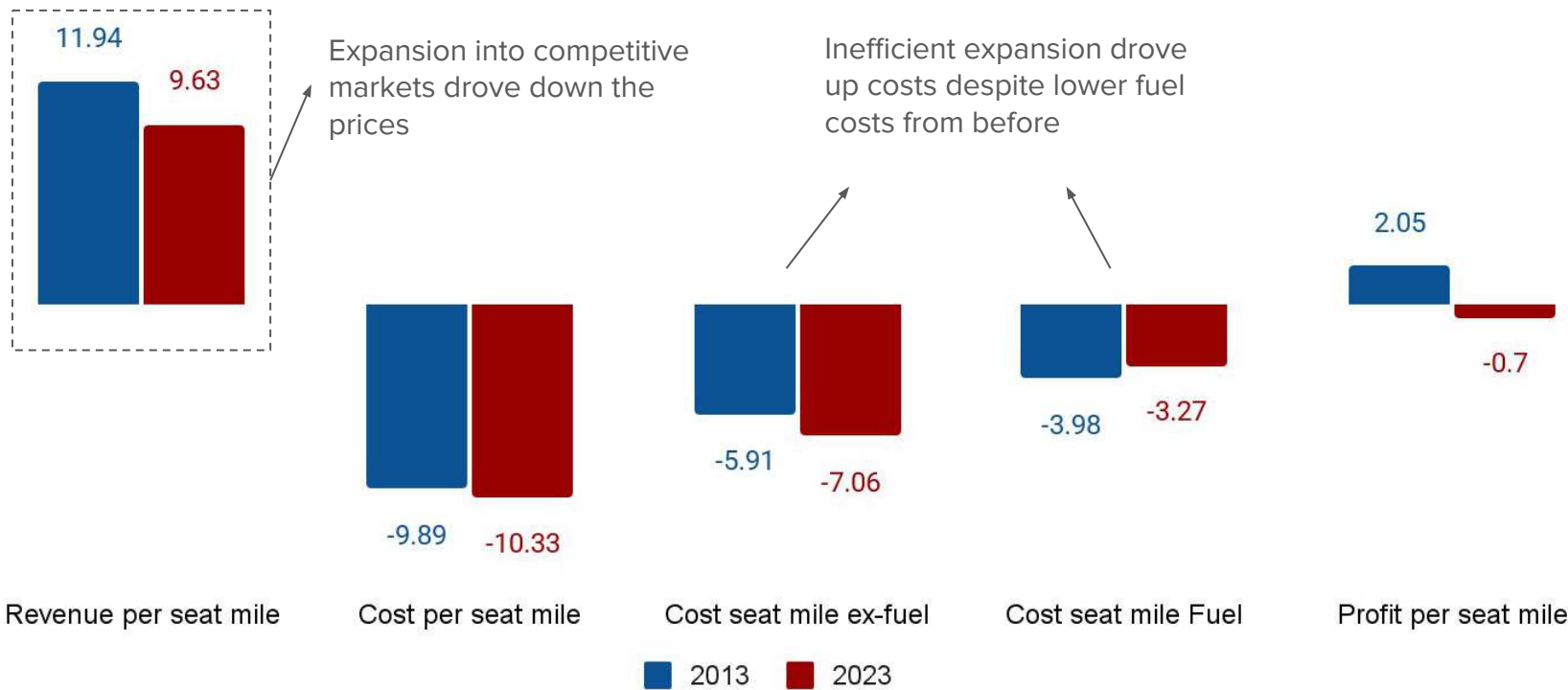
Spirit Airlines Operating expenses as share of revenue shows huge bloat in expenses especially salary and wages indicating inefficient expansion



Source: Company reports

Unit Economics (per seat mile) shows rise in non-fuel expenses and lower revenue due to inefficient expansion by Spirit Airlines

Revenue and Cost per seat mile (in cents)



Source: Company reports

Ryanair, the unapologetically low-cost airline making consistent profits (\$14bn revenue and \$36bn market cap)



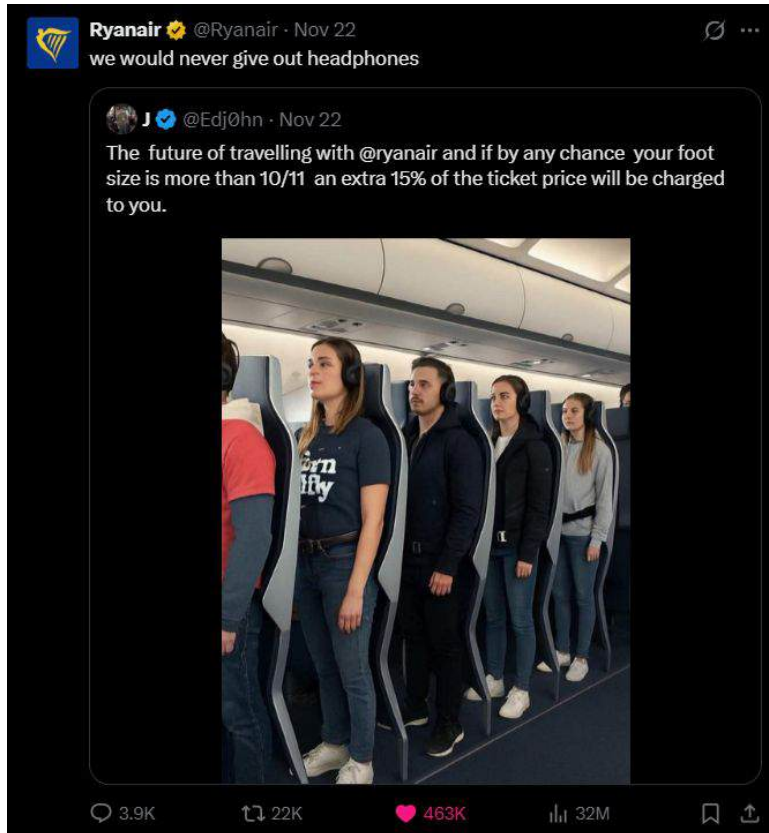
Ryanair is a low-cost airline carrier that operates in Europe and is one of the most and consistently profitable airlines

Ryanair is known for its **brash and unapologetic attitude towards standing out on its low cost** and being on time while **not being great in comfort and customer service**

It flies 200mn guests annually and over 3500 flights daily to 37 countries. Target of flying 300mn annual guests in 2034

Ryanair focuses on the customer who is price sensitive and who may not even take the trip if the price was expensive

Ryanair, the unapologetically low-cost airline making consistent profits



How Ryanair keeps its costs so low

*“Ryanair’s low fares are designed to stimulate demand, particularly from fare-conscious leisure and business travelers **who might otherwise use alternative forms of transportation or choose not to travel at all.**”*

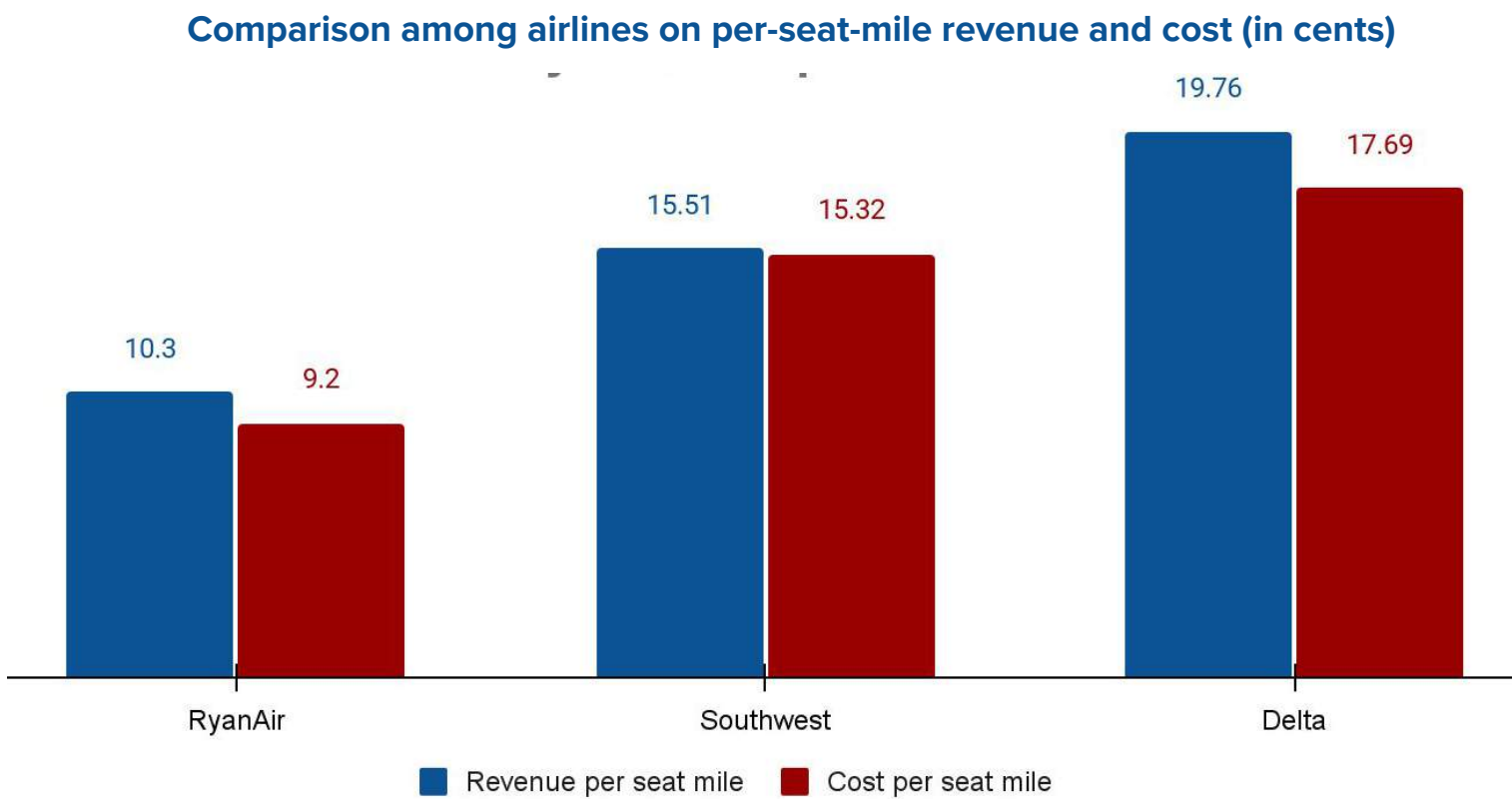
Offers only short-haul (average route length of 780 miles) and **point to point** - no need to offer frills like in-flight meals. Also no need for baggage transfer and assistance if point to point.

Operates **only Boeing 737s**. Standardizes and reduces training costs. Contract with Boeing gives it a much better price. **During bad times, it purchases excess Boeing 737 aircraft at discounts.**

Operates **out of low-cost airports** where it is major airline (better bargaining power) resulting in lower charges and fees

Outsourced customer service to third party. Requires internet check-in.

Unit Economics shows **Ryanair's** affordability and superior cost structure



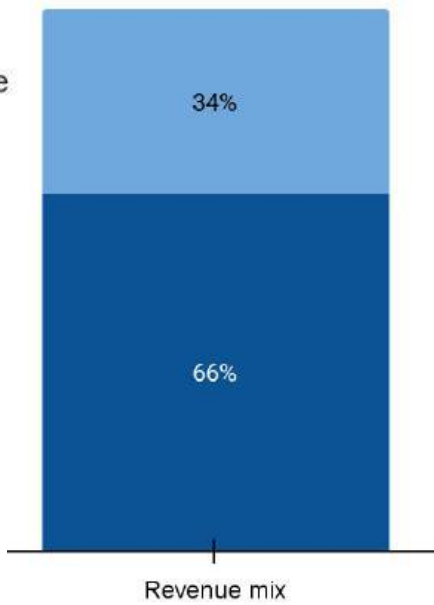
Source: Company reports

Ancillary revenue is critical for **Ryanair** profitability. Low Staff costs indicate very high productivity.

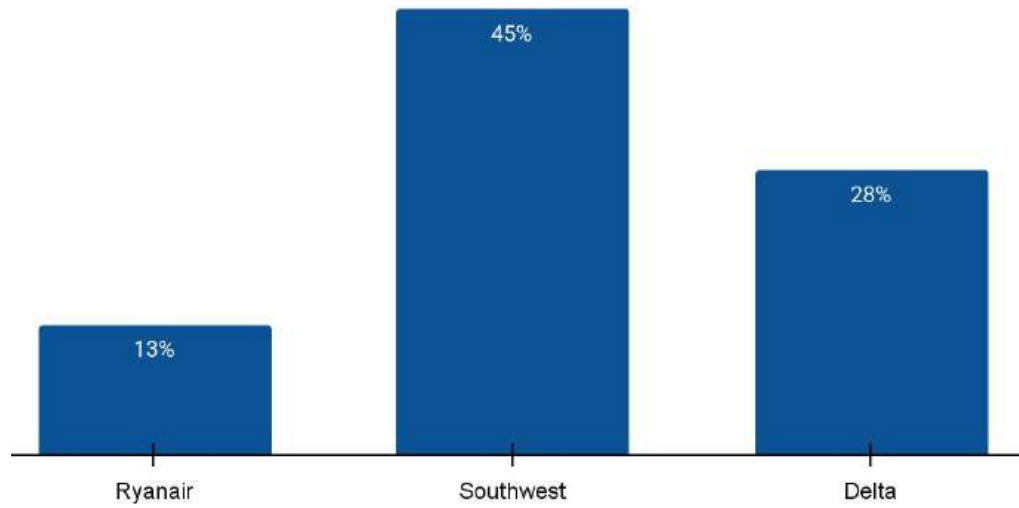
Ancillary revenue refers to in-flight meals, priority boarding, extra baggage etc.

Ancillary revenue
Passenger revenue

Ryanair does \$14bn in revenue

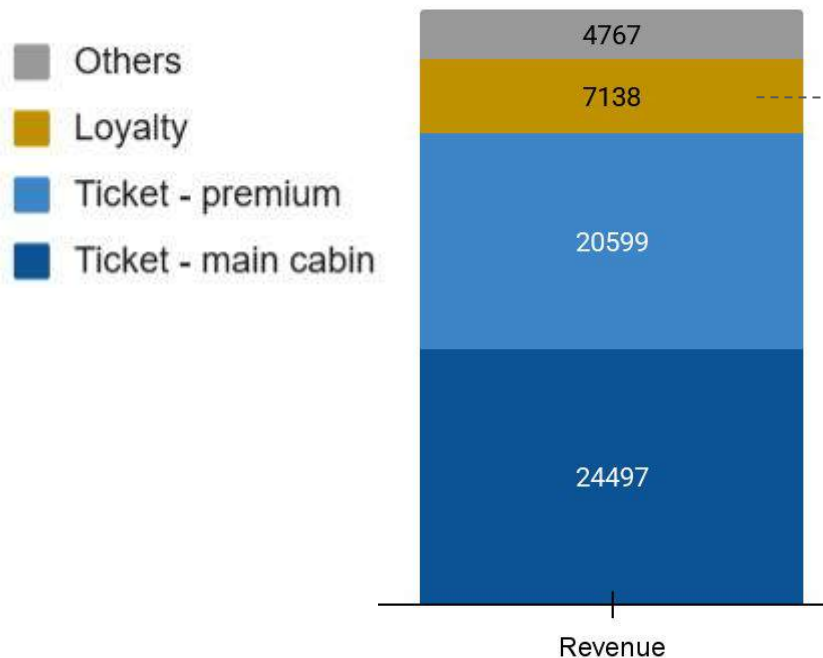


Below is salaries, wages and benefits as share of Revenue. The low number for Ryanair indicates very high productivity



Delta Airlines - largest US Airlines - most of its profit comes from Loyalty Program (and through Premium Tickets)

Delta Airlines Revenue \$mn 2024



Total Operating Profit was \$6bn

Delta sold \$7.4bn worth of points (!) to Amex. Likely made \$3.7bn in profit

Delta likely made a loss on cabin tickets and a profit on premium tickets.

Luckin Coffee - The Chinese Chain disrupting Starbucks (\$4.8bn revenue and \$10bn market cap)



Luckin Coffee is one of the biggest coffee chains in China which is aggressively expanding internationally including in the US

In China, where tea is the predominant drink of choice, Luckin attracts interest by selling **coffee-based drinks rather than centering around pure coffee** like Cappuccino and Espresso

It went through a major accounting scandal in 2020 but has bounced back under new ownership

Luckin operates a **mobile-first grab-and-go format**, positioning as a cheaper alternative to Starbucks

Luckin Coffee - operates a grab-and-go and mobile-first format with innovative coffee-based drinks



Luckin Coffee has mostly grab-and-go stores that are much smaller in size than Starbucks



The chain accepts customer orders only via its mobile app. One has to order on app



The chain does frequent menu innovation and focuses on coffee-based drinks rather than pure coffee. It also offers minimal food

The **Luckin Coffee** offers much better value to customers because of its unique choices

The pickup or Grab-and-Go focus helps in **smaller store sizes** and reduces cost of operations which can be **reinvested into pricing**

Frequent discounts promoted on app and new catchy drink launches

Mobile app helps in **effective low-cost promotions**

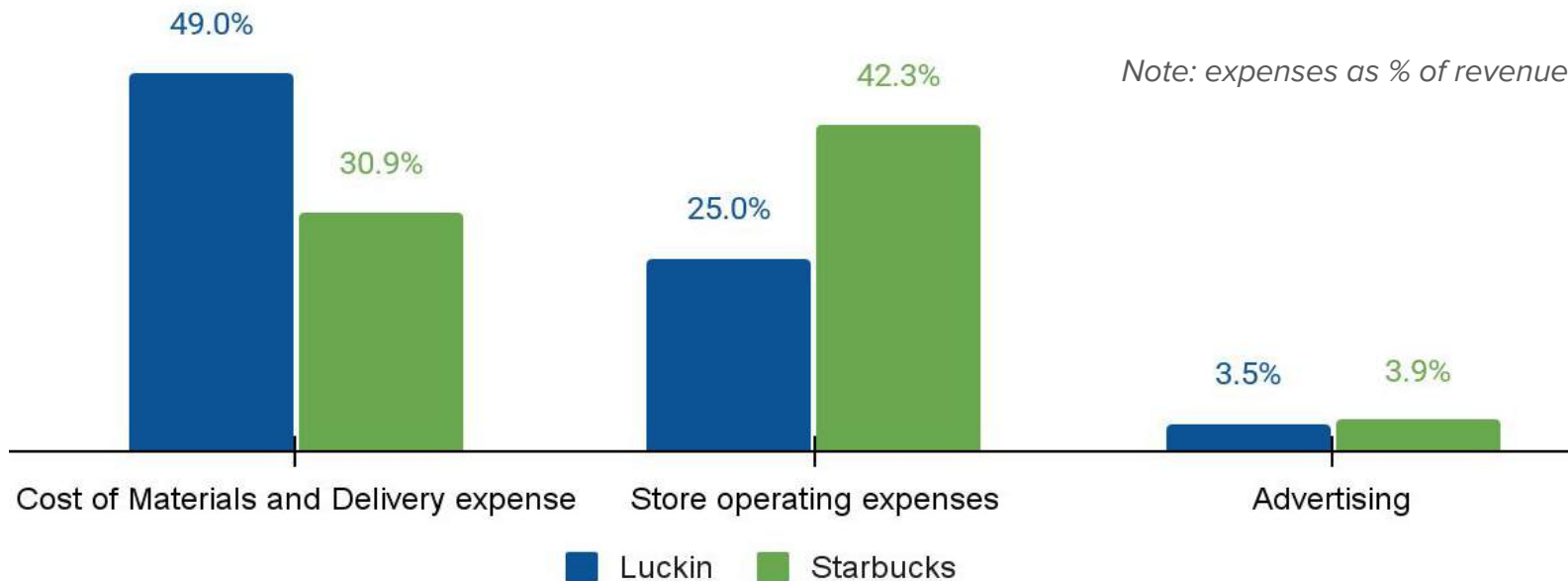
It also helps in handling store traffic and reduces wait times

Higher profit per store due to high traffic and lower cost of operations

High traffic to store from app notifications and through social media frenzy

Comparison of **Luckin Coffee** Financials compare to Starbucks reveal the stark difference in choices and model

Luckin has a much lower Gross Profit because of its low prices and higher discounts but is able to save on store operating costs due to its much smaller store sizes



Robinhood - making investing and trading in a wide range of assets friction-free

Robinhood is the most prominent mobile-first discount brokerage in the United States that millennials and Gen-Z cohort uses to trade stocks, ETF and more. It is known for its gamified approach to stock buying

Trade anytime,
day or night.

Trade your favorite stocks and ETFs
24 hours a day, 5 days a week.



Trade crypto at
one of the lowest
costs on average.



Watch your
cash grow with
3.5% APY.

Earn on uninvested cash
with Robinhood Gold.

The New
Gold Standard

Earn money, even if
you're not investing.

Earn up to 3.5% on your uninvested cash
when you activate interest. No cap, and
you can withdraw or invest at any time.
First 30 days free, then just \$5/month.

Rates subject to change.

Get started

Trade all in
one place.

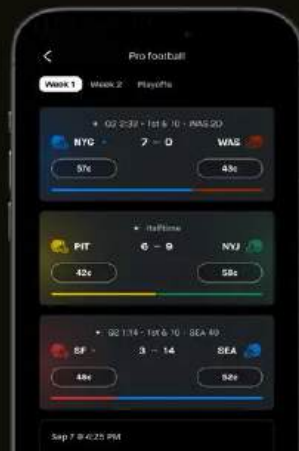
Stocks, ETFs, options, futures
& crypto available on Robinhood.

Options fees may apply.



Trade on football
outcomes.

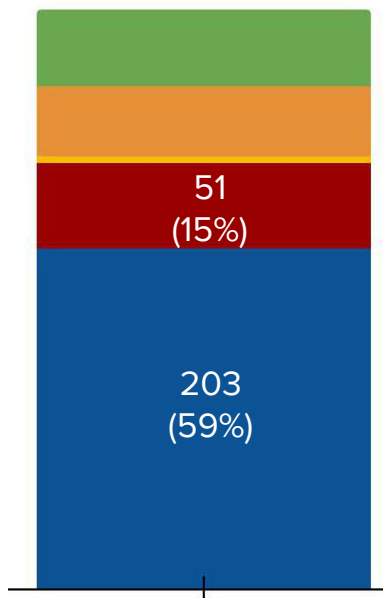
Make predictions before
and during the game.



Robinhood makes its revenue from transaction-based revenues and from interest

Robinhood Customer assets mix (\$bn)

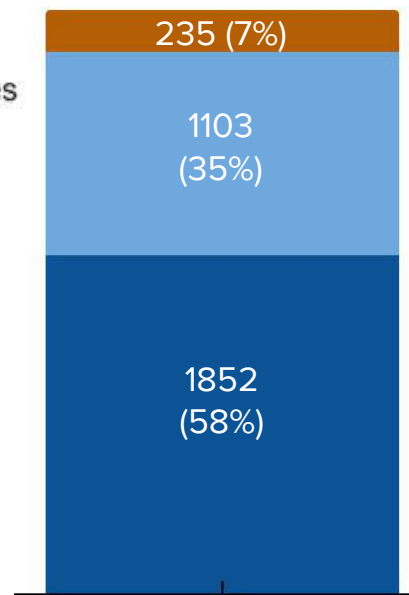
- Cash held by customers
- Retirement accounts
- Options
- Crypto
- Equities



Platform Assets (\$bn) Sep'25

Robinhood revenue mix (\$mn)

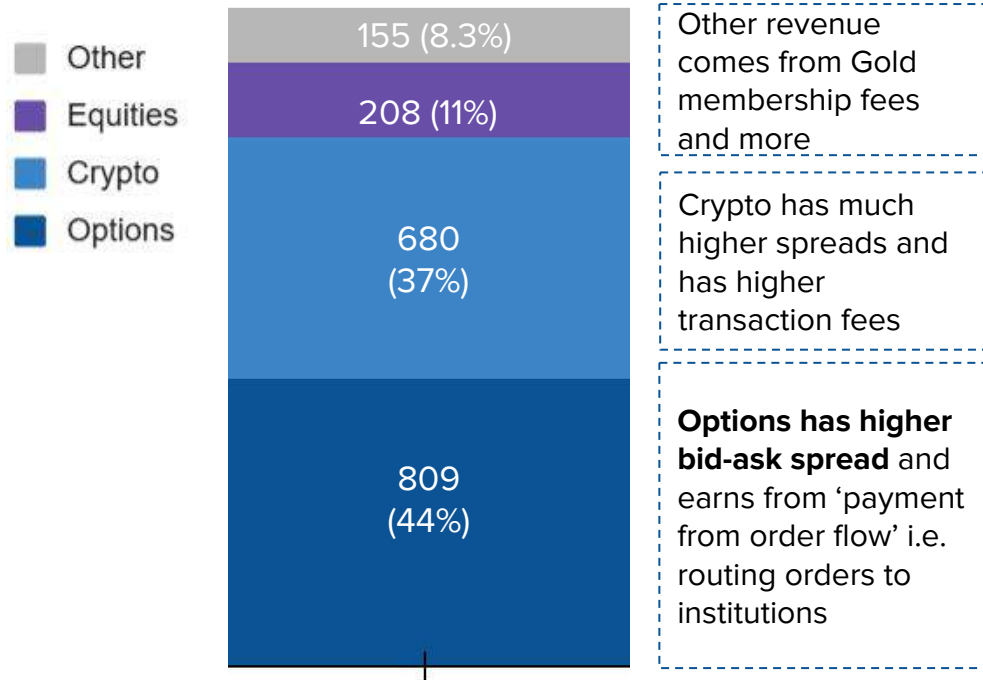
- Other revenues
- Net interest revenues
- Transaction-based revenues



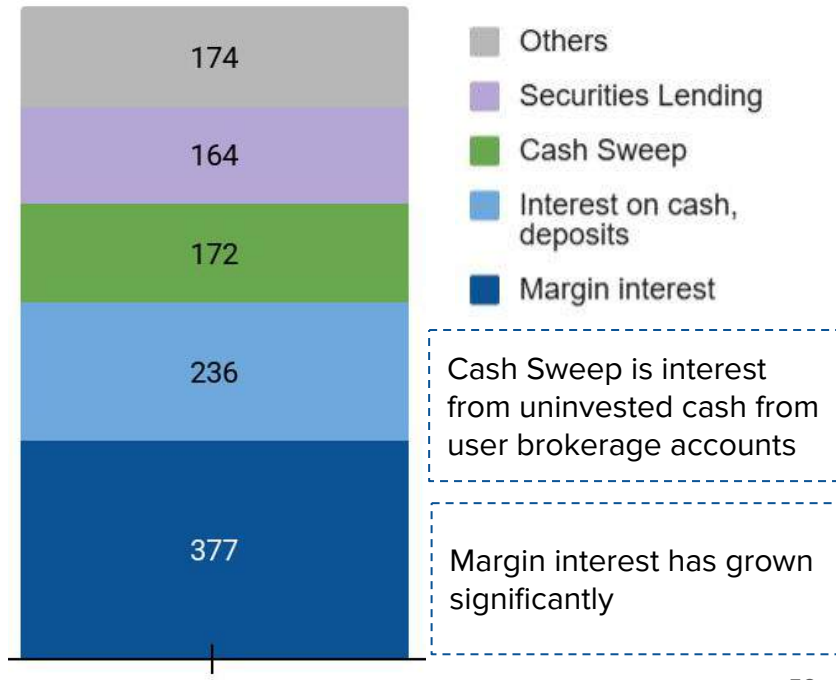
9M Sep'25 (\$mn)

In transaction fees, most of **Robinhood's** revenue comes from Options and Crypto

Transaction Revenue 9M Sep'25 (\$mn)



Interest Revenue 9M Sep'25 (\$mn)



Robinhood has boomed in this bull market which is seeing appreciation in all sorts of assets and heightened trading activity



Sep'24 to Sep'25

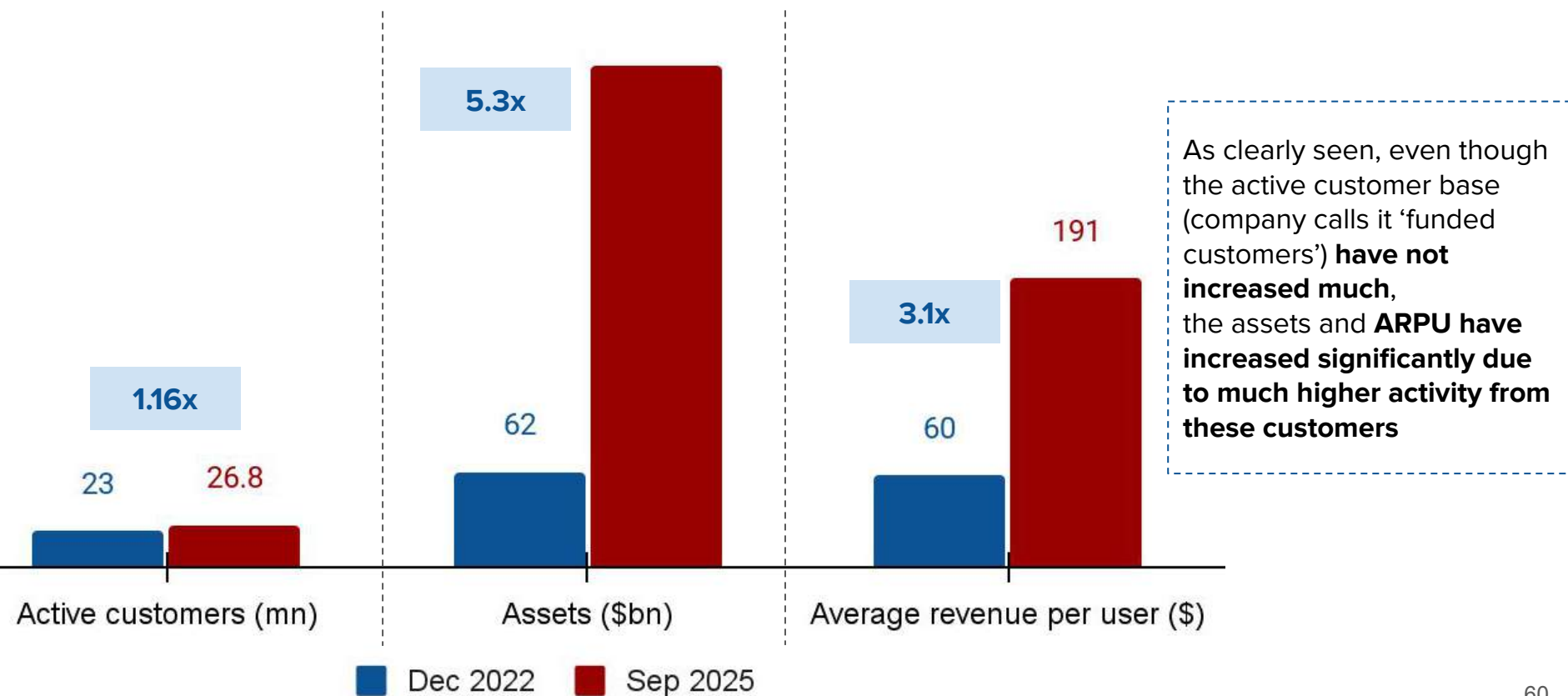
Active Customers (million)
24.3 → 26.8

Equity notional volume (\$bn)
86 → 239

Options contract (million)
136 → 219

Crypto Notional Volumes (\$bn)
3.7 → 23.5

Robinhood has boomed in this bull market through higher activity from customers and by offering more avenues for these customers resulting in huge increase in ARPU



DMart, India's biggest value Grocery chain operates one of the most efficient retail businesses in the world



DMart is India's biggest grocery retailer with sales of \$7bn and market cap of about \$30bn

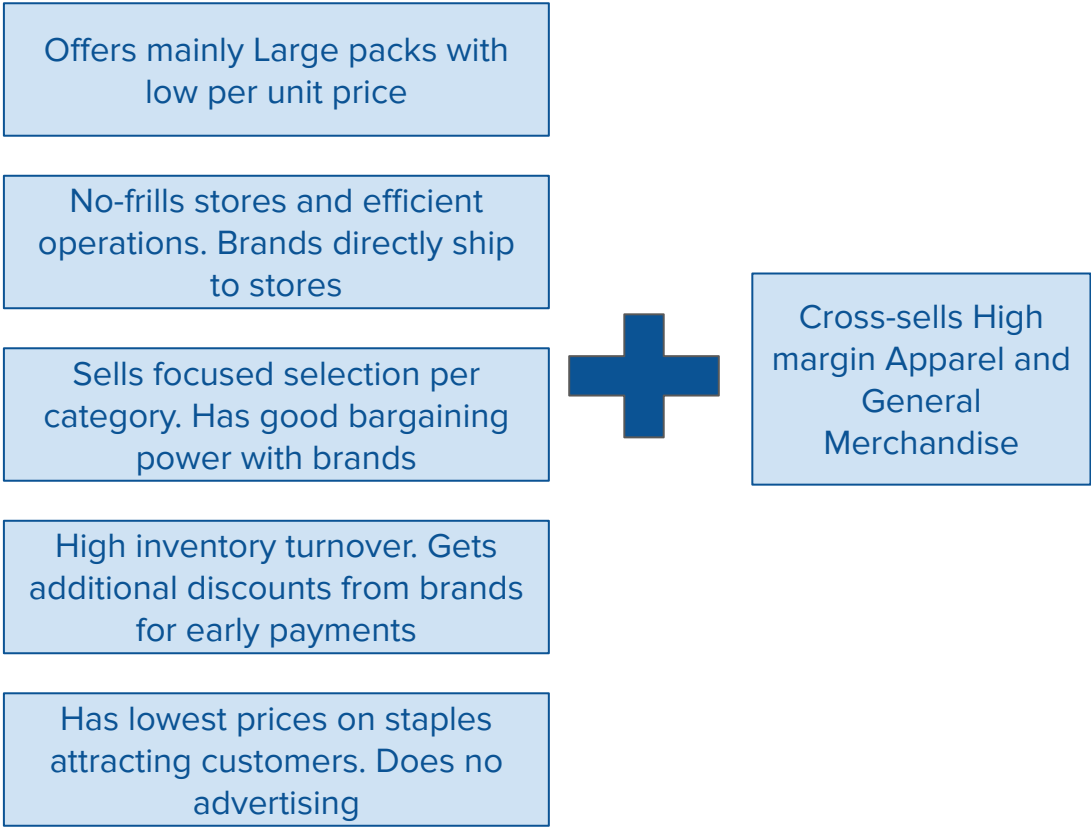
DMart operates 400+ no-frills large format stores with very efficient operations.

The company caters to the middle class **'stock-up' customer who wants to save money on monthly grocery purchases**

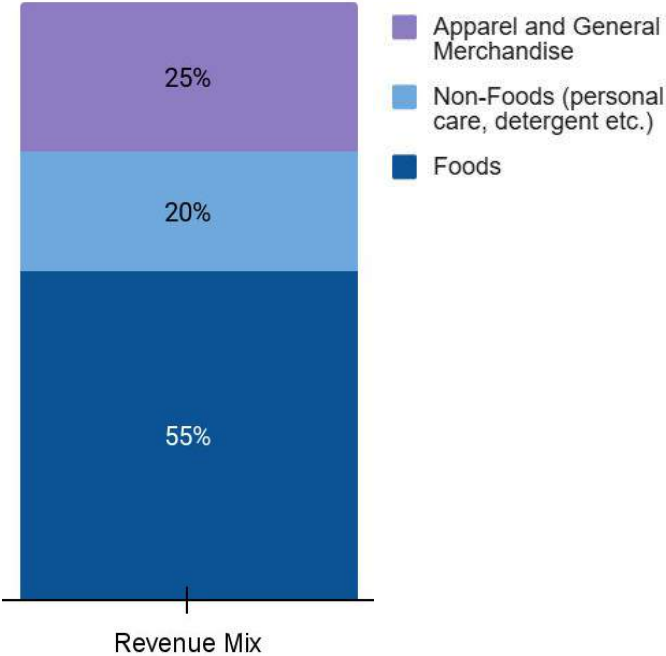
The company **owns the land** (not common for businesses in India) and saves rental money

It goes **toe-to-toe with industry stalwarts like Walmart and Costco in terms of efficiency**

How **DMart** offers the lowest prices for customers

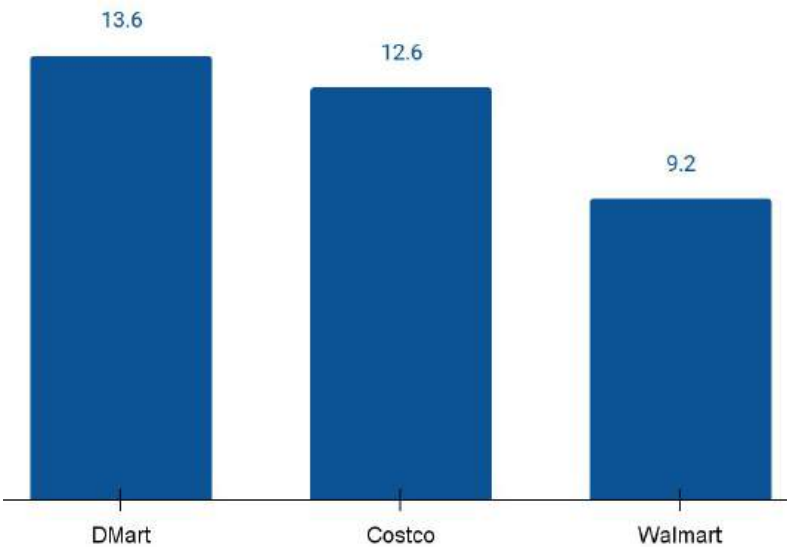


DMart makes margins from apparel and general merchandise

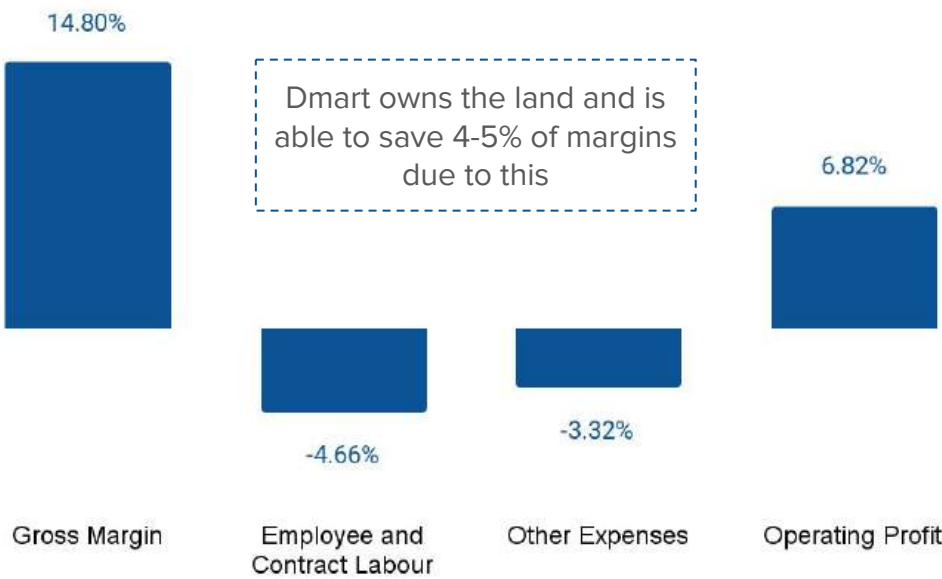


DMart excels in efficient operations and makes operating profit of 6.8% even on thin Gross Margins

DMart does higher inventory turns than Costco and Walmart



DMart makes good operating profit even on thin Gross Margins



DMart attracts customers with great pricing in staples, wide coverage of (brand funded) BOGO (Buy-one-get-one) offers and cross-sells General Merchandise for margins

Dmart has very attractive prices on 'loose' staples and private label staples



Dmart offers larger packs that have lower per unit prices



Dmart makes its margins from Apparel, Home, General Merchandise



Dmart has many SKUs with Buy-one-get-one offer



Domino's India is the OG Food Delivery service in India



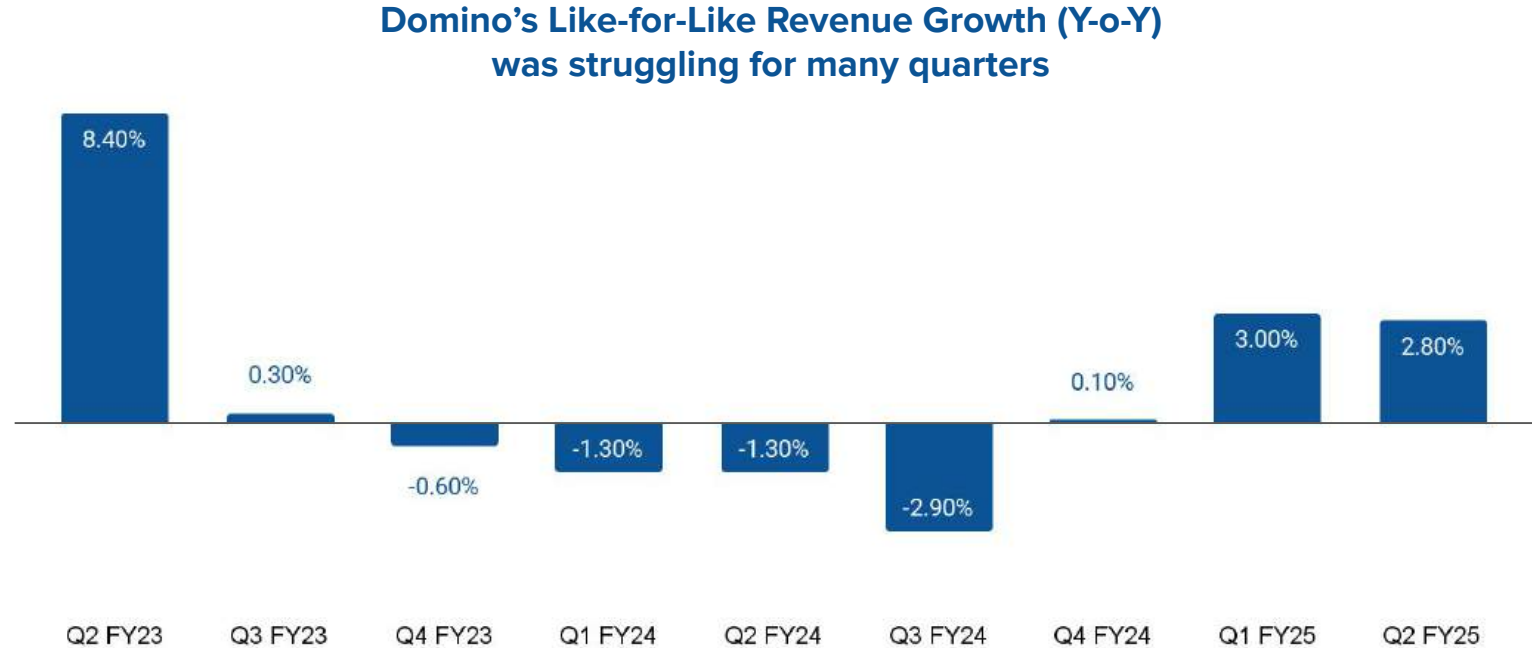
Domino's India is run by the master franchisee Jubilant Foodworks

From India entry in 1995, It is the biggest QSR chain in India with more than 2200 stores

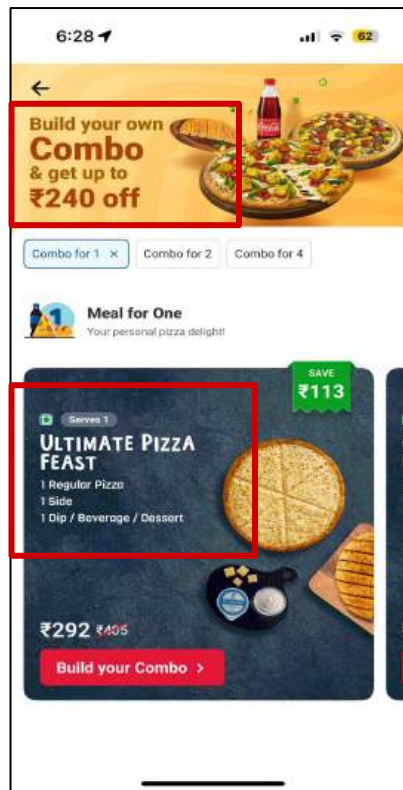
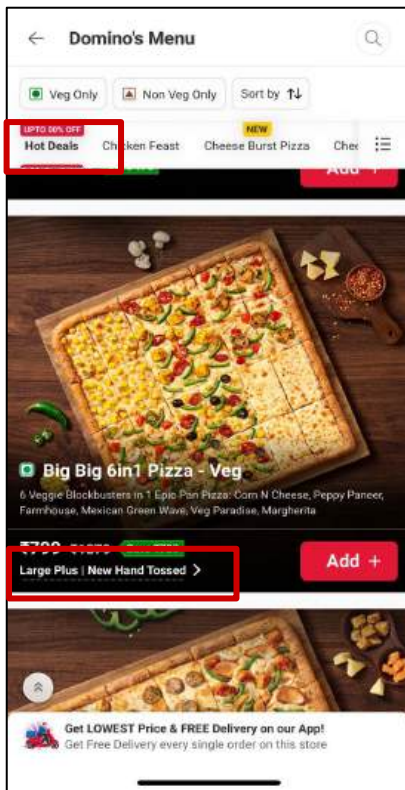
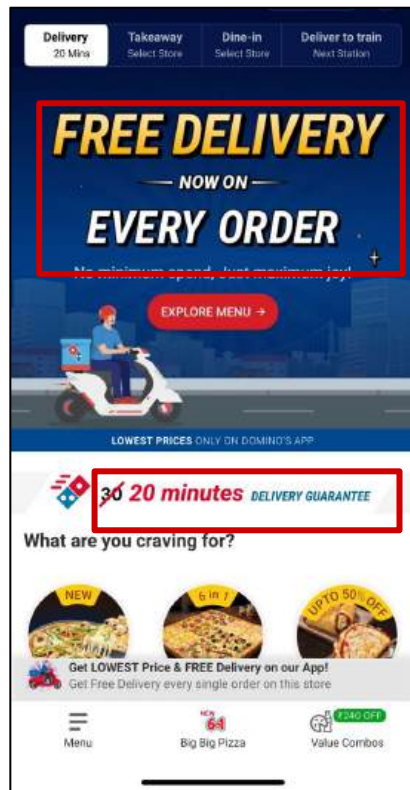
It does its own delivery and is one of the most recognizable food brands in India

The master franchisee has in the recent years **expanded to other countries** like Sri Lanka, Turkey and Bangladesh and has also **become the franchisee for more brands like Popeyes**

Domino's India (The OG Food delivery) value proposition of convenience and reliability was lost with scale up of Food Delivery giants (Swiggy and Zomato)



What did it do? Domino's doubled down on Value and Speed to regain growth



The Big Initiatives are paying off

Free delivery on most orders has removed friction to order

Multiple locations have **20 minute delivery** with guarantee

Multiple 'hot deals' and **discounts throughout the week**

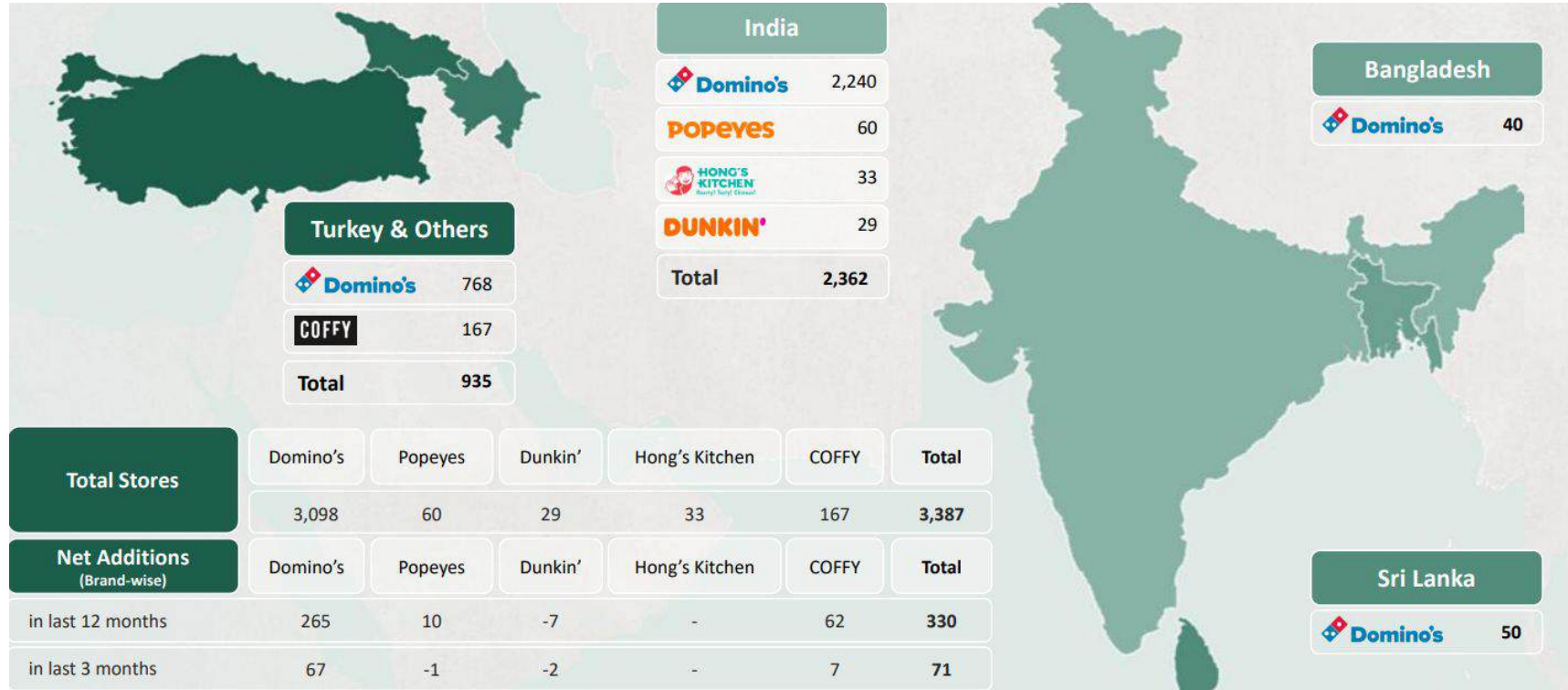
'Value for money' menu innovation. Very large pizzas for parties/groups and affordable 'meal for one' combos

Continued growth in loyalty program *Cheesy Rewards*

Domino's doubled down on Value and Speed to regain growth. 72% of Sales is from Delivery channel



Parent Company of **Domino's India** Jubilant Foodworks is taking the Domino's approach to its other brands and in more international markets



Five Below is a unique retailer - A Dollar Store focused on Tweens (\$4bn revenue and \$10bn market cap)



Zany Brainy was a retailer in the 1990s selling educational toys and multimedia products for kids aged 4-13. The company went bankrupt

The founders got back together and started a new concept Five Below in 2002 aimed at **Tweens (10-19 years old) and their parents** as a 'Dollar Store for Fun'

The core concept (hence the name) was that **everything in the store will be available for \$5 or below and will offer trendy products**

The company has expanded fast in the last decade

Five Below is a unique retailer - A Dollar Store focused on Tweens

Five Below Core Model

Fun, Trendy products (crafts, gadgets, toys, snacks, party supplies, decor, candies etc.)

Focused on age group 10-19 (and their parents)

Every item sold is 5\$ and below

'Trend Right' products - constantly changes assortment based on trends

Stores are near big chains like Walmart so Parents, kids can complete shopping trip here



Five Below identifies and curates Trendy Products

Five Below identifies what it calls 'Trend Right' products



Five Below merchandising teams **scours online channels, social media and communities to identify trends early**

The differentiation is in trendy assortment in a very fun and curated environment

It works with suppliers (many in China) to manufacture items at \$5 or below price point

The assortment keeps changing with trends and customers keep discovering new items every month

Many customers also post on social media on trendy products giving Five Below free visibility

Five Below has grown fast and is recession and disruption proof

TREND-RIGHT "WOW" PRODUCTS AT EXTREME VALUE ACROSS 8 AWESOME WORLDS

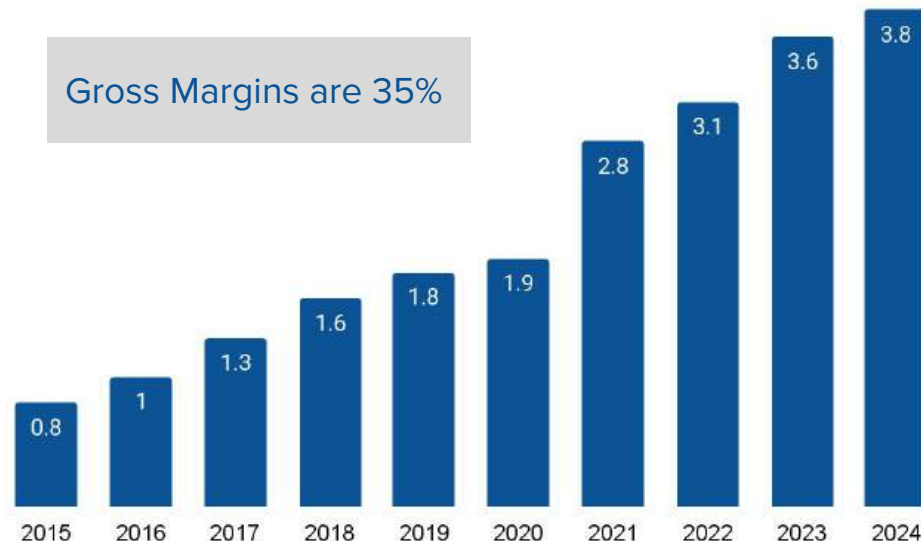


Recession Proof - The low price point helps in highly affordable indulgences for customers

Disruption Proof - The low price point protects against online competition who have fulfillment costs

Five Below Sales \$billion

Gross Margins are 35%



Revenue Mix: Leisure: 45%; Fashion and Home: 30%; Snacks and Seasonal: 26%

In an inflationary environment, it is difficult to offer all products under \$5.
Here's what **Five Below** did



A separate section within the store called **Five Beyond** (after a few branding iterations) with the tagline 'still below the rest'

This helped in offering even more trendy assortment at the right price points

Not only de-risked but increased sales!

Essilor Luxottica: Success through Exceptional Vertical Integration (140bn Euros market cap)



Essilor Luxottica is the world's largest eyewear and eyecare brand with a market cap of 140bn euros and revenue of more than 26bn euros.

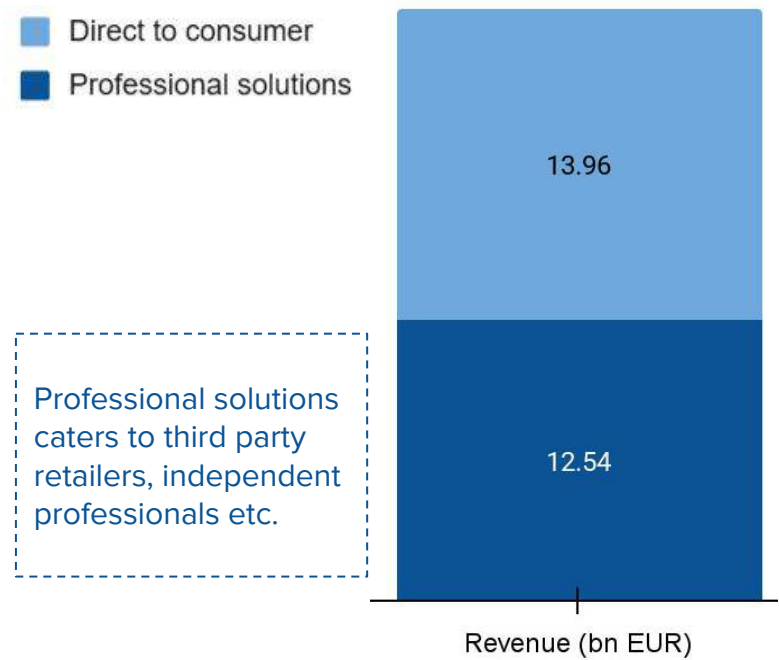
It is **highly vertically integrated** from equipment manufacturing to lens manufacturing to owning brands to **owning its stores and e-commerce websites**

It has a significant moat with more than 15,000 patents and its own distribution.

Ray-Ban and Oakley contribute to 17% of sales

Essilor Luxottica consistently has acquired retailers (and e-commerce platforms) to strengthen its distribution moat

Essilor Luxottica does 26bn EUR in revenue
at 63% Gross Margins



Source: Company reports

Consistent acquisitions over the years

Fedon - 2022	GrandVision - 2021	Brille24 - 2019
Barberini - 2019	Fukui (Japan) - 2018	Oticas Carol - 2017
Vision Direct - 2016	My Optique - 2016	Vision Source - 2015

Essilor Luxottica has an exceptional own distribution network with multiple offline retail brands and e-commerce websites

Company sells under 70 offline retail brands

alain mikli paris	aoJO	Apollo	ASPEN
Atasun Optik	BOLON EYEWEAR	brilleland	David Clulow OPTICIANS
Econolentes by GrandVision	Econópticas	EyeQ OPTOMETRISTS	For Eyes
Generale d'Optique	GMO	grandOptical	GrandVision by opti
GrandVision by OPTICA	GrandVision by OPTIMO	instrumentarium	interoptik
KEOPS OPTIKKA	KOCH® OPTIK	Lafam	Laubman&Pank
LENSCRAFTERS BECAUSE SIGHT	Линзастер	LUXOPTICA	+Visiön
MẮT VIỆT EYE CARE	MATHIEU OPTICIEN	McOptic	MIRAMAS
MOLSION	POJOSH	MultiOpticas	by LUXOPTICA

Company owns 20 e-commerce platforms

BRILLE24	Charlie Temple	clearly	contactsdirect
COSTA	e lens	eOTICA	eyebuydirect
FOSTER GRANT	FRAMESDIRECT	GLASSES.COM	glasses direct YOUR GLASSES. YOUR WAY.
LENSBEST EINFACH. BESSER. SEHEN.	lenstore	LENSWAY	LINSEN MAX
NATIVE EYEWEAR	RO READERS.COM	VisionDirect	vogue eyewear

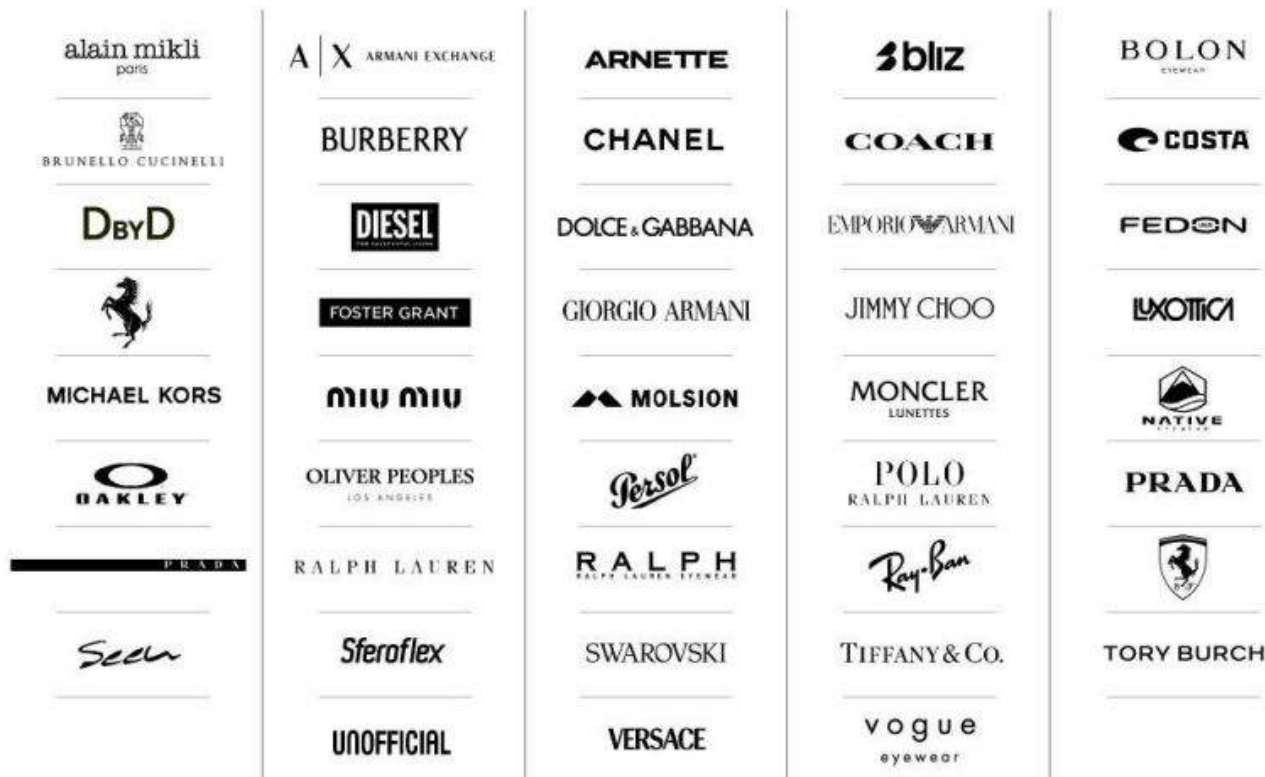
Essilor Luxottica distribution network is a massive differentiation and it mops up a lot of demand both offline and online

Essilor Luxottica has an exceptional own distribution network with multiple offline retail brands and e-commerce websites

Essilor Luxottica owns 70 retail brands like these! (many through acquisitions)



Essilor Luxottica has enduring licenses with the biggest fashion brands



The company has licenses with the biggest fashion brands and the fashion brands too have Essilor Luxottica as almost the only player in town

Gartner - The Technology Research firm has been severely beaten down this year (\$16bn market cap now)

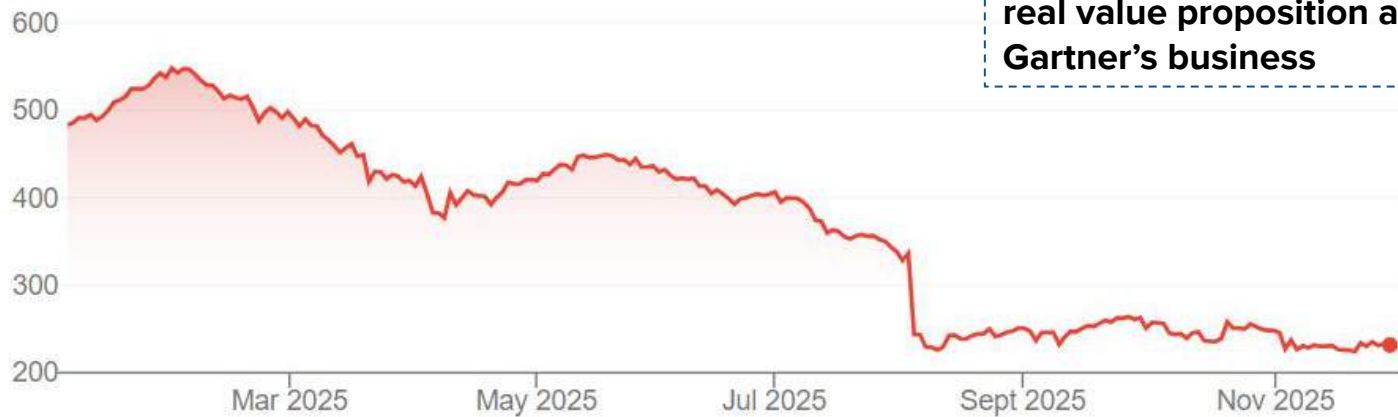
230.78 USD

-252.52 (-52.25%) ↓ year to date

Closed: 1 Dec, 6:21 pm GMT-5 • [Disclaimer](#)

After hours 231.20 +0.42 (0.18%)

1D | 5D | 1M | 6M | YTD | 1Y | 5Y | Max



Gartner stock is severely beaten down this year due to concerns about challenge from AI. For example, could AI automate the research that Gartner produces? **But this may be missing the real value proposition and strength of Gartner's business**

Gartner is like the ratings agency for Tech and sells Advice and Legitimacy

One of Gartner's famous frameworks - Magic Quadrant



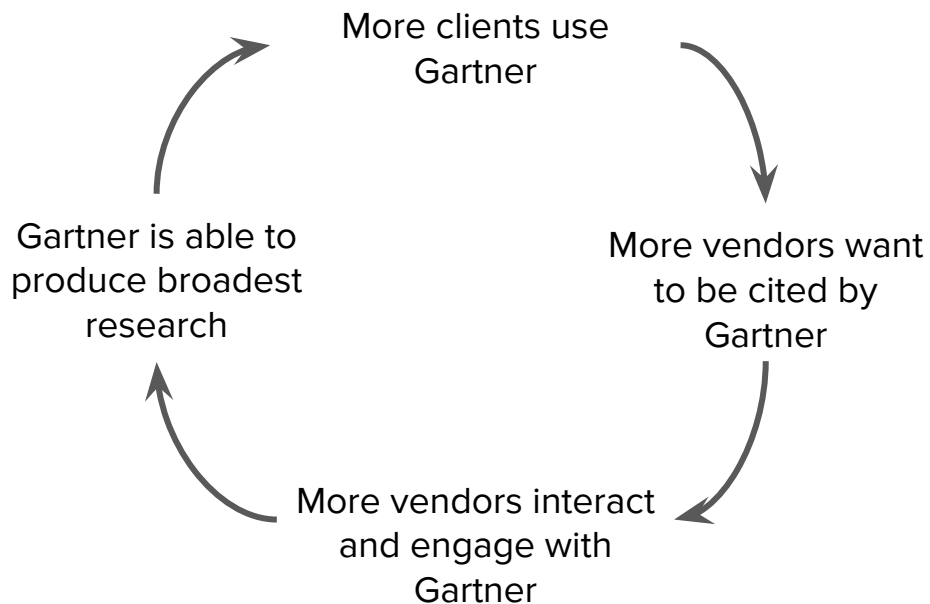
Gartner produces neutral (vendor cannot buy ratings) and the broadest technology research covering a wide range of domains. It had 505,000 client interactions in 2024 alone.

It's target segment is executives who have to make key decisions on tech purchasing and deployment

Gartner's frameworks like 'Magic Quadrant' and 'Critical Capabilities' illustrating the maturity of tech solutions and products have become industry standards and have become a mark of legitimacy for IT and Tech vendors

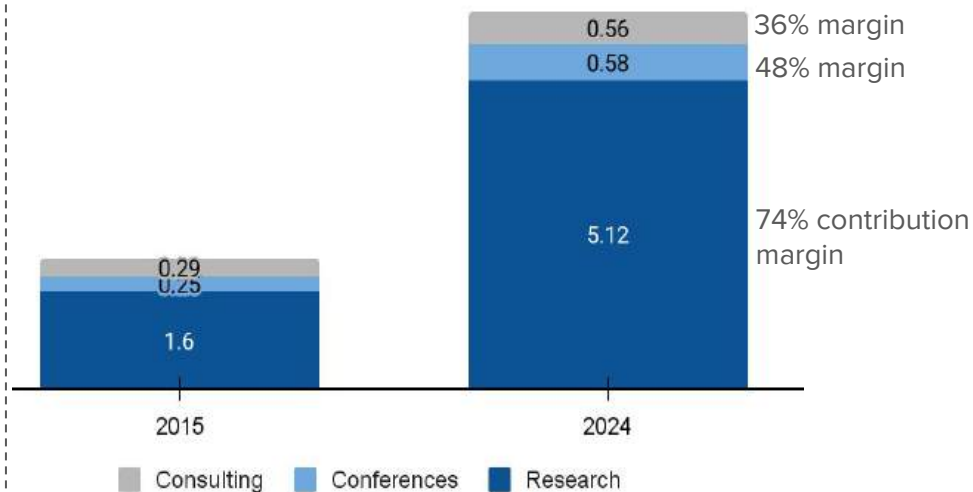
Executives making important multi-million dollar purchase decisions have 'career insurance' when they use Gartner research (similar to "no one got fired for buying IBM")

Gartner thrives as the most 'legitimate' tech research firm



Source: Company reports

Gartner Revenue by Segment (\$bn)



Client retention: ~85%, Wallet retention: ~104%

Gartner has a predictable 'growth algorithm' for increasing its contract value (CV)

A major source of growth is expansion of business within existing clients. There are also consistent modest price increases every year



Lithia Motors - Ambitious 'roll-up' play in Car Dealerships



Lithia Motors (aka Lithia Driveway) is an omni-channel car retailer (both online and in-store) selling both new and used cars

Lithia is a serial acquirer and is aggressively acquiring smaller car dealerships in the United States

It operates around 459 stores. Just in 2024, it acquired 146 stores

Most of the auto retail market is independent car dealerships. **Lithia is an ambitious roll up to consolidate the market**

Lithia invests 35% to 45% of Free Cash Flow into acquisitions

Lithia Motors aggressively rolls up and adds value to the acquisitions via process improvements and integrating into network

From Lithia Annual Reports last few years

“During 2019, we acquired nine stores (for \$286mn)... and we expect these acquisitions to add over \$825 million in annual revenues.”

“During 2022, we acquired 31 stores (for \$1.1bn) and we anticipate these acquisitions to add nearly \$3.5 billion in annualized revenues”

“During 2023, we acquired 56 stores (for \$1.1bn) and we anticipate these acquisitions to add nearly \$3.8 billion in annualized revenues”

“During 2024, we acquired 146 stores (\$1.1bn) and we anticipate these acquisitions to add nearly \$5.9 billion in annualized revenues”

Source: Company reports

Lithia Motors rollup formula

Buy independent stores in good locations
for 3x to 7x EBITDA multiple

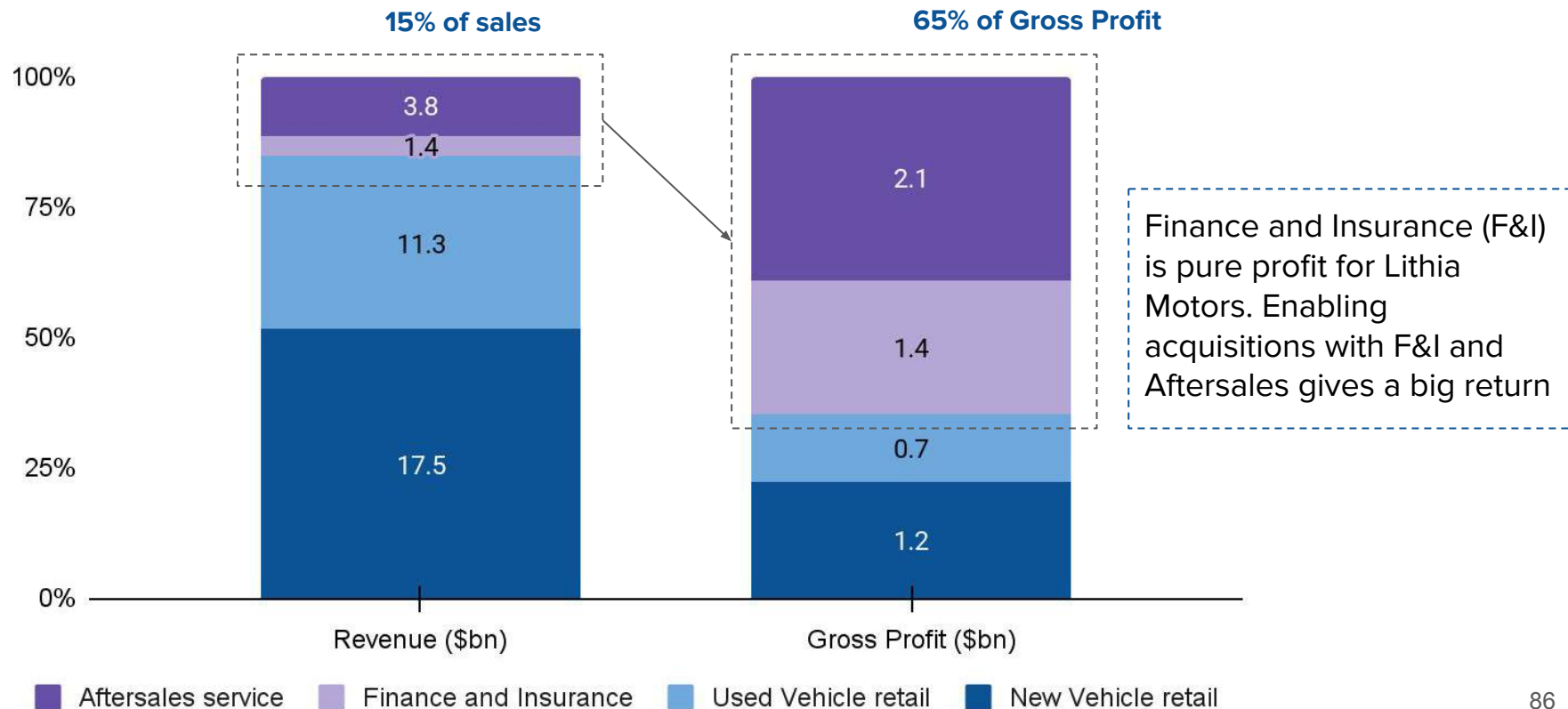


Centralize Admin and leverage scale
procurement to drive cost savings

**Integrate stores within omni-channel
network to increase demand**

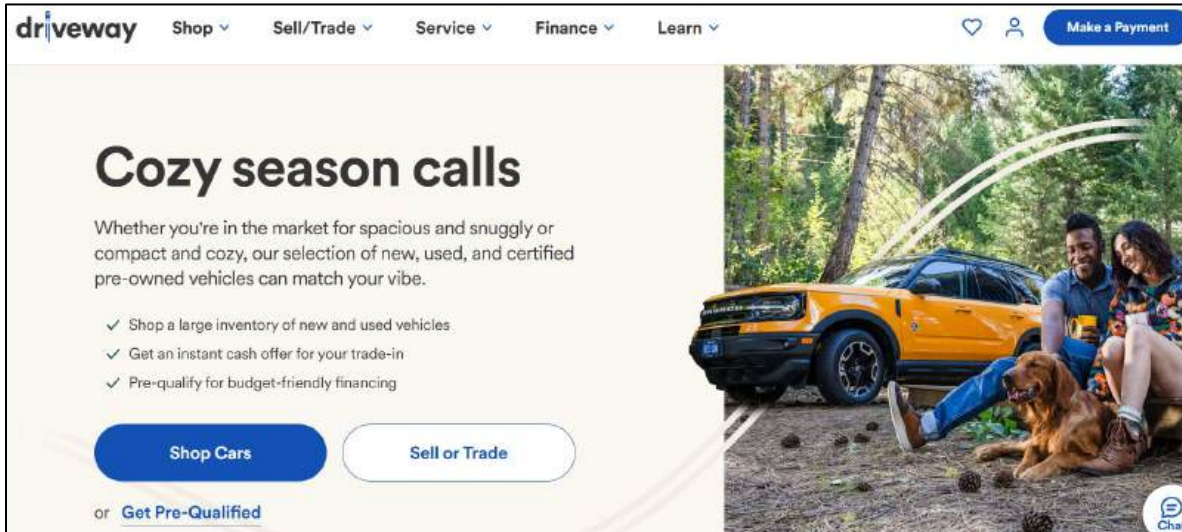
Increase share of **high-margin ‘Finance
and Insurance’ and ‘Aftersales’**

Finance and Insurance (F&I) and Aftersales contributes to most of the Gross Profit for **Lithia Motors**



Lithia Motors integrates acquisitions into its omni-channel network to drive demand

Customers can book a used or new car online on Driveway or GreenCars websites and can collect it at any Lithia dealership or get it delivered at home



The screenshot shows the Driveway website interface. At the top, there is a navigation bar with links for Shop, Sell/Trade, Service, Finance, and Learn, along with a heart icon, a user profile icon, and a 'Make a Payment' button. The main content area features a large heading 'Cozy season calls' followed by a paragraph: 'Whether you're in the market for spacious and snuggly or compact and cozy, our selection of new, used, and certified pre-owned vehicles can match your vibe.' Below this are three bullet points: '✓ Shop a large inventory of new and used vehicles', '✓ Get an instant cash offer for your trade-in', and '✓ Pre-qualify for budget-friendly financing'. There are two buttons: 'Shop Cars' and 'Sell or Trade'. At the bottom left, it says 'or Get Pre-Qualified'. On the right side of the main content area is a large image of a yellow SUV parked in a wooded area with a couple and a dog sitting in front of it. A 'Chat' button is visible in the bottom right corner of the image area.



“Most consumers begin their shopping, buying, or selling activity on our store websites, Driveway.com, and GreenCars.com”

Copart - helping (mostly) insurance companies sell badly damaged vehicles (\$37bn market cap)

Copart is a unique online auction platform that helps get value out of badly damaged vehicles

2015 BMW X1 XDRIVE28I 

 Watch



Vehicle details

 Share

Lot number:	92106195
VIN:	WBAVL1C59FV*****
Title code:	AB - BOS - REBUILT 
Odometer:	248,394 km (ACTUAL) 
Primary damage:	NORMAL WEAR
Secondary damage:	MINOR DENT/SCRATCHES
Estimated retail value:	\$9,000
Cylinders:	4
Body style:	STATION
Color:	GRAY
Engine type:	2.0L4
Transmission:	AUTOMATIC
Drive:	All wheel drive
Vehicle type:	AUTOMOBILE
Fuel:	GAS

Bid information

[Glossary >](#)

Bid status:	
Eligibility status:	 Check now >
Sale status:	Minimum bid 
Time left:	0D 7H 52min  Add to calendar
Current bid:	\$950.00
	Seller reserve not yet met 

Your bid:

☒ Max bid ☐ Monster bid 

\$

(\$25.00 Bid Increment) [Incremental bid guidelines](#)

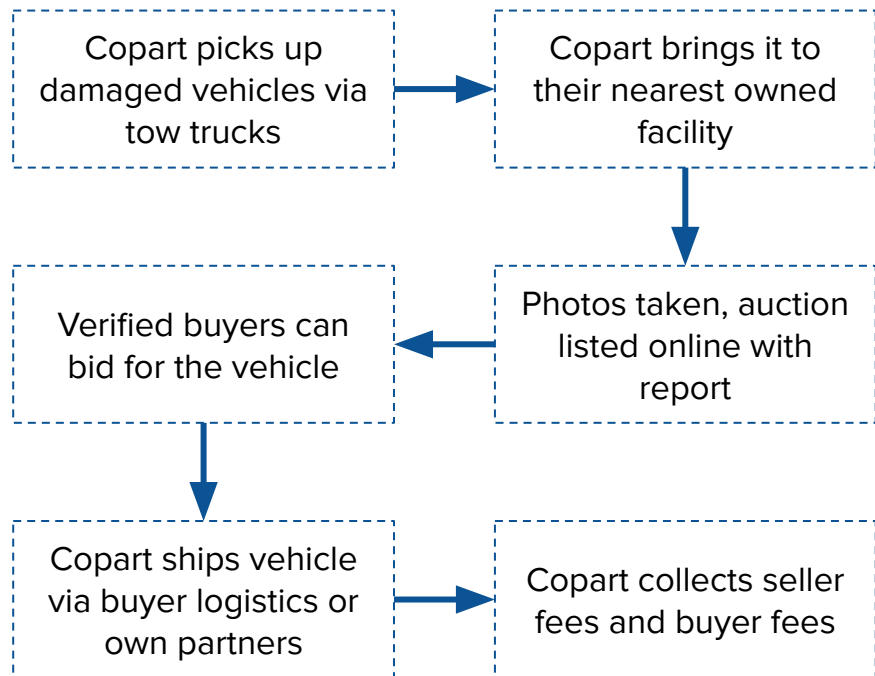
Bid now



All bids are legally binding and all sales are final. [Learn more](#)

Copart - helping (mostly) insurance companies sell badly damaged vehicles (\$37bn market cap)

How it works



80%+ of revenues processed comes from Insurance companies who are keen to salvage value out of badly damaged vehicles that may be beyond repair.

Copart's auction model gets the best value for insurers

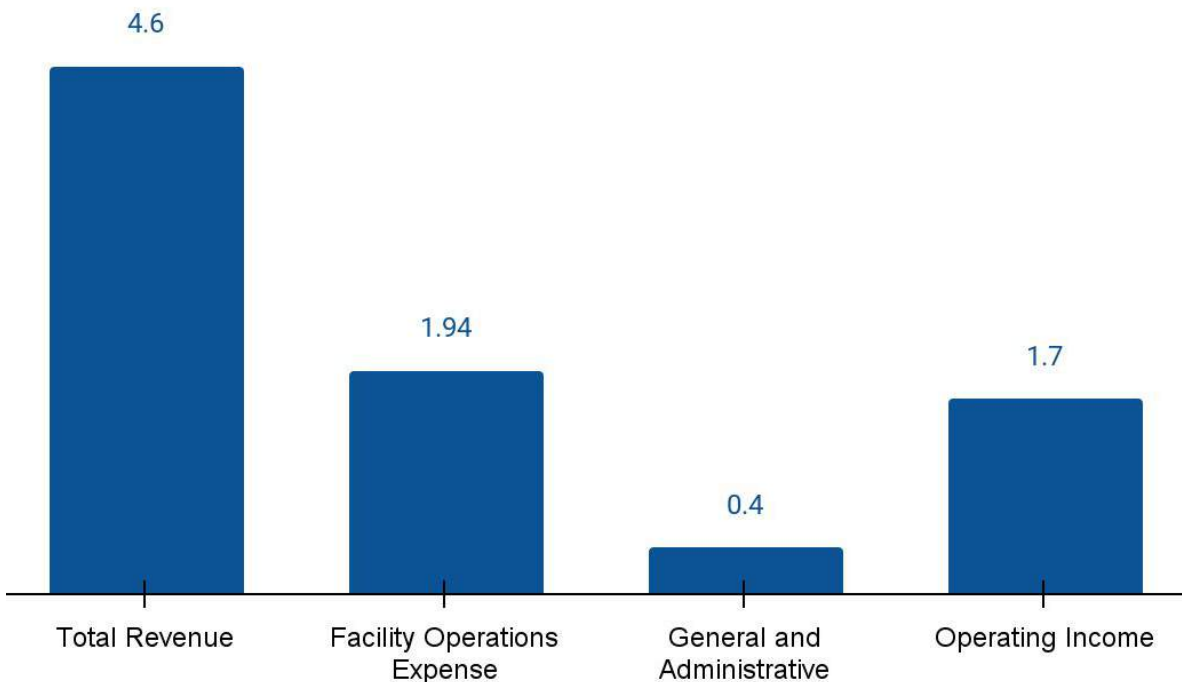
Buyers are keen to pay for many reasons - for example, **lower standards in other countries or need for low-supply auto parts**

Copart gets buyers from hundreds of countries. 265k vehicles are available for sale everyday. 3Mn+ vehicles are sold every year

Copart has facilities in 250+ locations

Copart does \$4.6bn in annual revenue at an operating margin of 37%

Copart FY25 Performance (\$bn)



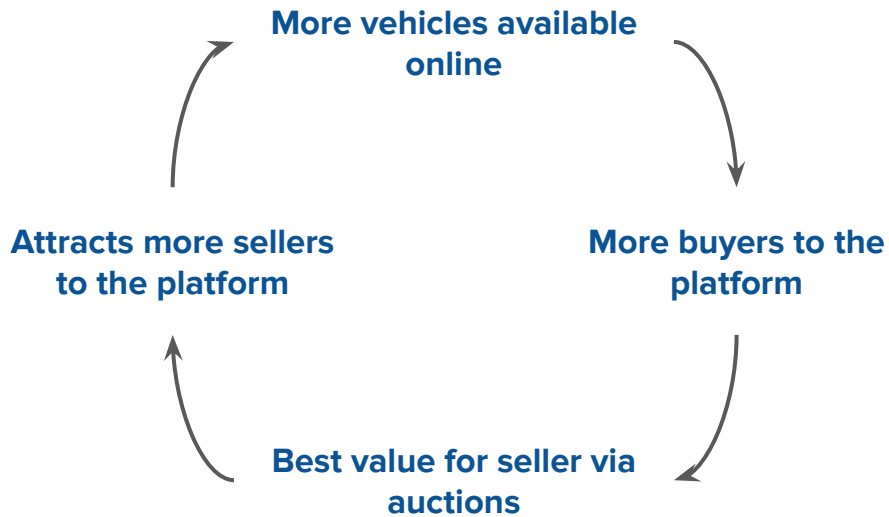
Most of the revenue comes from United States

31% of vehicles were sold to buyers out of state from vehicle location

38% of vehicles were sold to International buyers

Copart has deep moats due to its scale (especially storage facilities) and network effects

Copart Network Effects



Massive 250+ storage and processing facilities not easy to replicate



Coca Cola - Beverage Diversification beyond Colas through Acquisition

15 billion-dollar brands grown organically

3 billion-dollar brands added via acquisition

12 billion-dollar brands created after acquisition

Total beverage portfolio...



...addressing numerous drinking occasions

PERFORMANCE



ENHANCE



MOTIVATION



FUEL



EXPERIENCE



CONNECT



DELIGHT



Coca Cola - Beverage Diversification beyond Colas through Acquisition



Acquisitions

Confidence in Acquired Brands Creating Value Over Time



~25%

EPS Growth Driven by Acquired Brands Since 2016^(a)

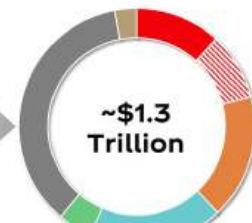
Coca Cola has significantly increased its addressable market through diversification within beverages

2017 Total Addressable Market^(a)



■ Colas
■ Sparkling Flavors
■ JDP

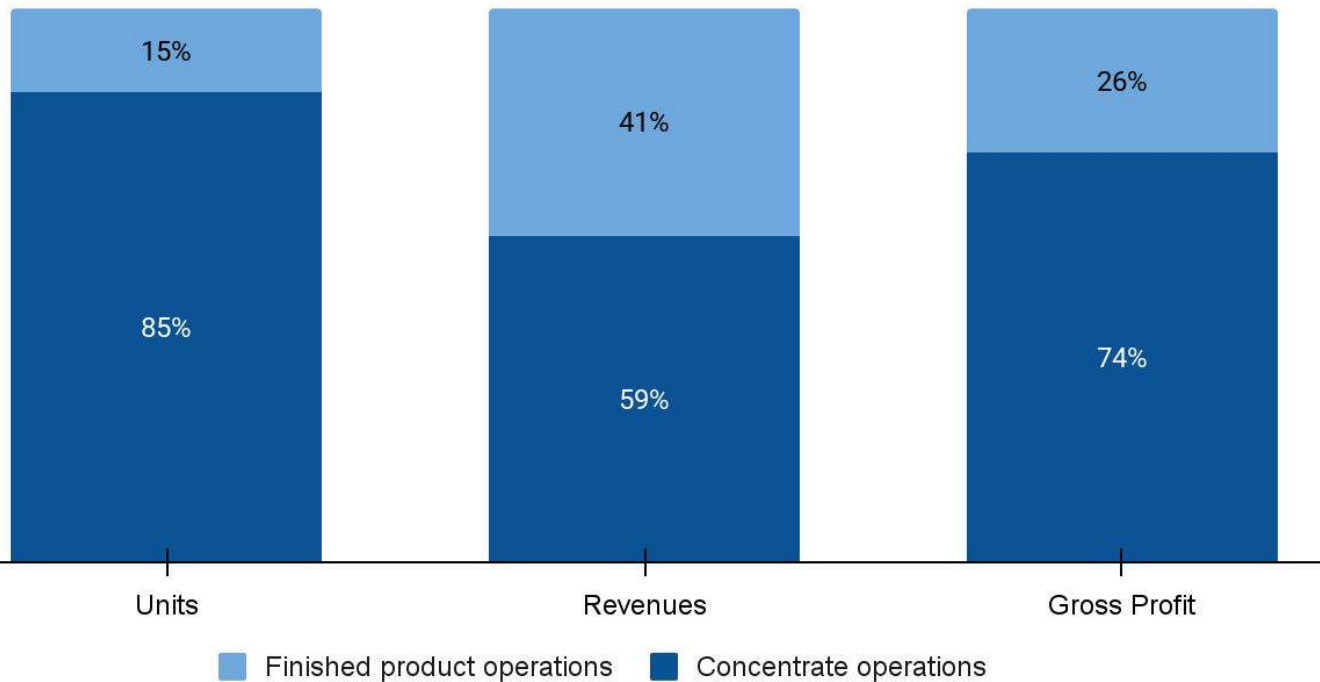
2022 Total Addressable Market^(a)



■ Hot Beverages
■ Emerging^(b)

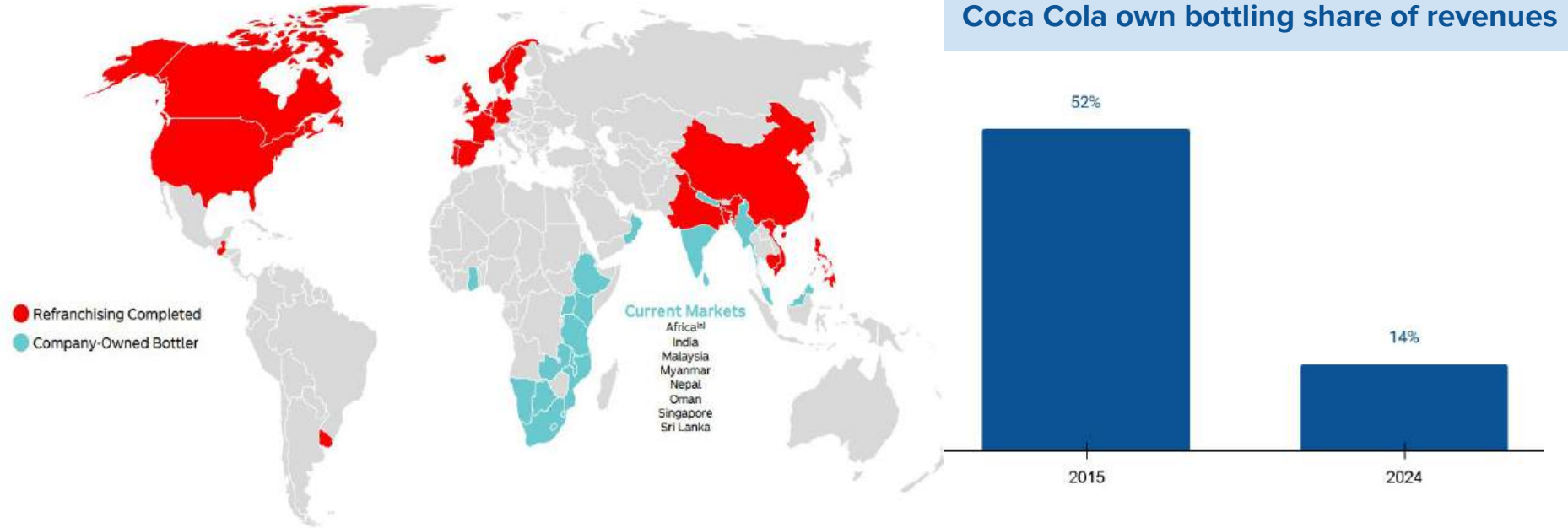
Coca Cola gets more margins by selling concentrate vs. selling finished products....

Contribution of Concentrate vs. Finished Products



In Concentrate operations, Coca Cola sells concentrates and syrups to bottling partners who use them to develop finished products. **Concentrates have much higher margins for Coca Cola than finished products**

... the company is 'refranchising' to drive margins



Union Pacific (\$140bn market cap) Railroad giant - Steady profits in a consolidated industry



Freight Railroads a few decades ago were a miserable industry with very high competition and poor profits

But in the past several decades, the industry has highly consolidated with mergers with only 6 major railroads today and Union Pacific is the biggest with 37% market share.

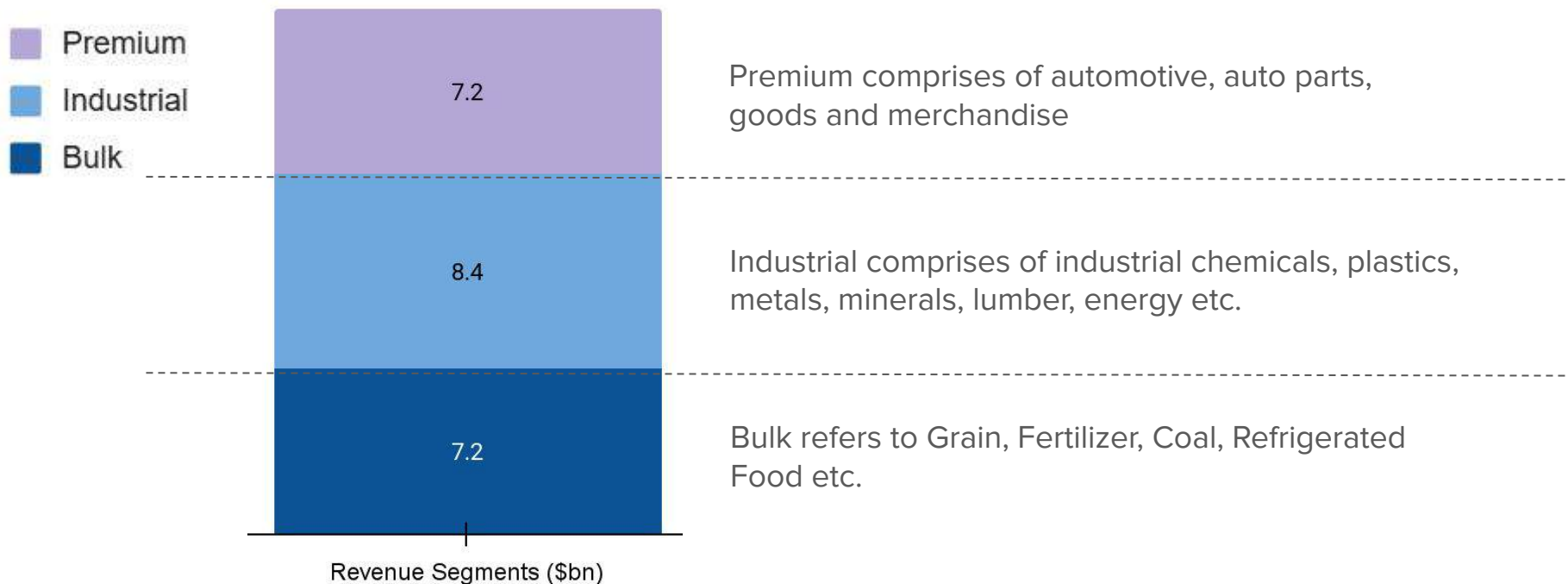
Each Railroad own the operating rights and owns the tracks where they operate and hence is almost like a **monopoly on the tracks they own**

Rail freight is very attractive to clients due to the low cost of transport

Union Pacific does about \$24bn in revenue at an operating margin of 40%!

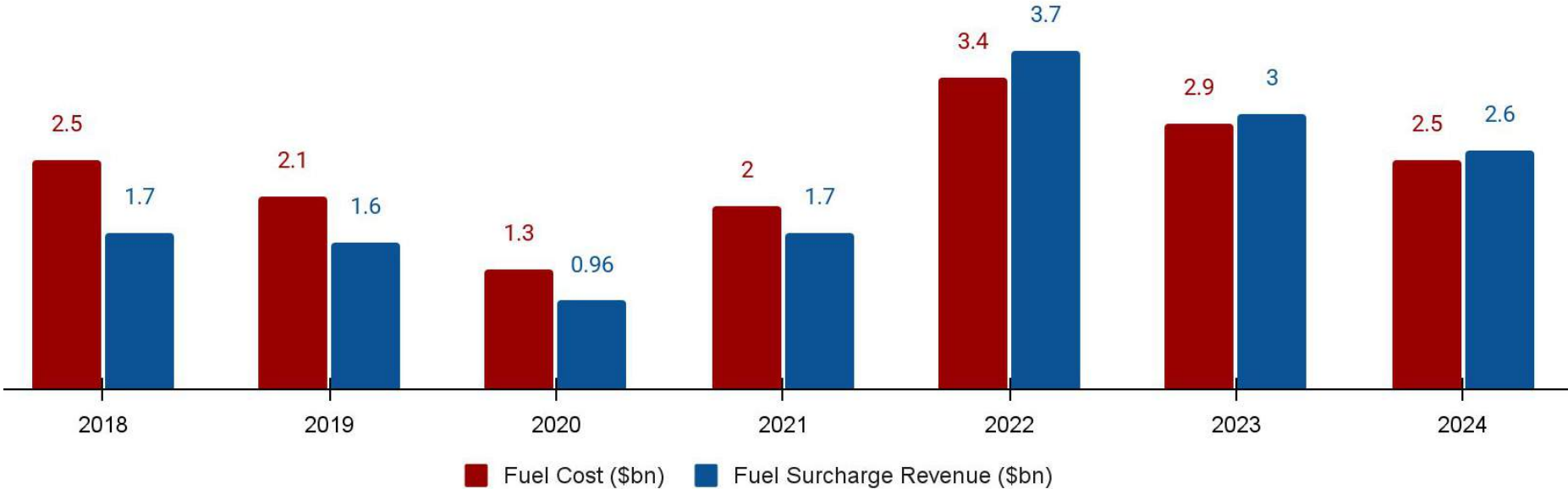
Union Pacific generates revenues from a variety of clients

Segment revenue 2024 (\$bn)



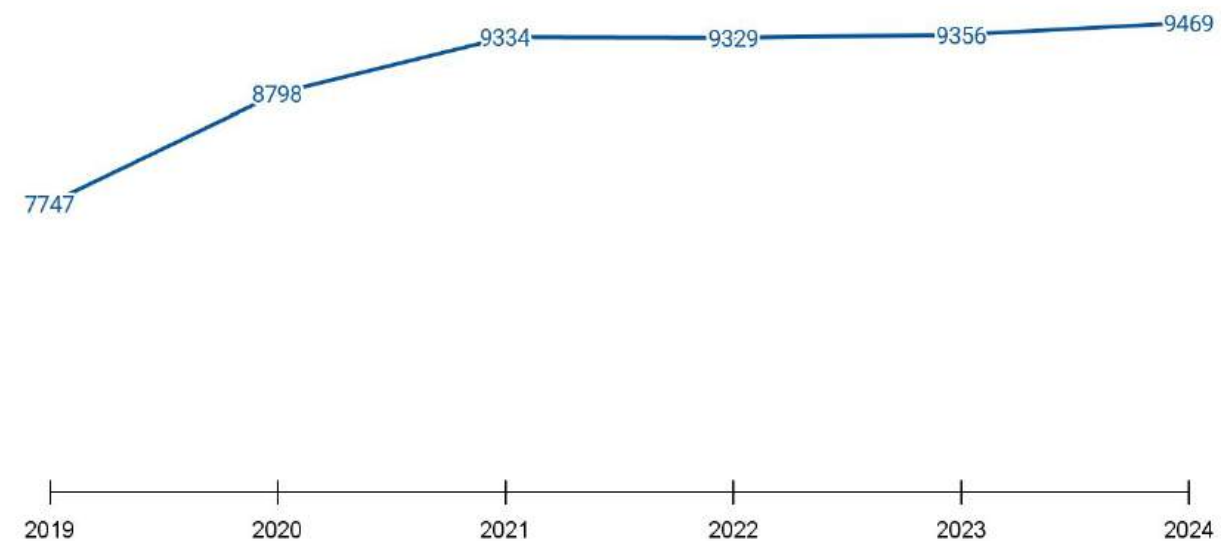
Union Pacific (and other Railroads) also benefit from ‘Fuel Surcharges’ they charge clients. This can be more than the fuel cost expense they incur

Originally intended as a measure to protect against sudden price increases, fuel surcharges charged to clients are more than the actual fuel cost



Union Pacific benefits from continuous operational improvements

Train length in feet. Longer trains (where possible) are more efficient and bring better margins



At Union Pacific, we leverage a tool called Train Builder to simulate and replicate the forces trains experience based on the terrain they travel. We use the data to determine how a train will handle while en route, where cars should be placed in the lineup, the number of locomotives needed and the best routes. Armed with this knowledge, Union Pacific trains are built to support the natural ebb and flow of our customers' needs and keep our 23-state network fluid.

Imagine placing your online grocery order. If you place separate orders for a few things at a time (rather than your entire list at once), it takes longer for the store to get your order ready, and other customers are impacted with longer wait times, too. The same is true of trains, short trains congest the network - EVP of Operations

Live Nation - The Concerts and Ticketing Behemoth (\$31bn market cap)



Live Nation is the world's largest concert and entertainment ticketing company

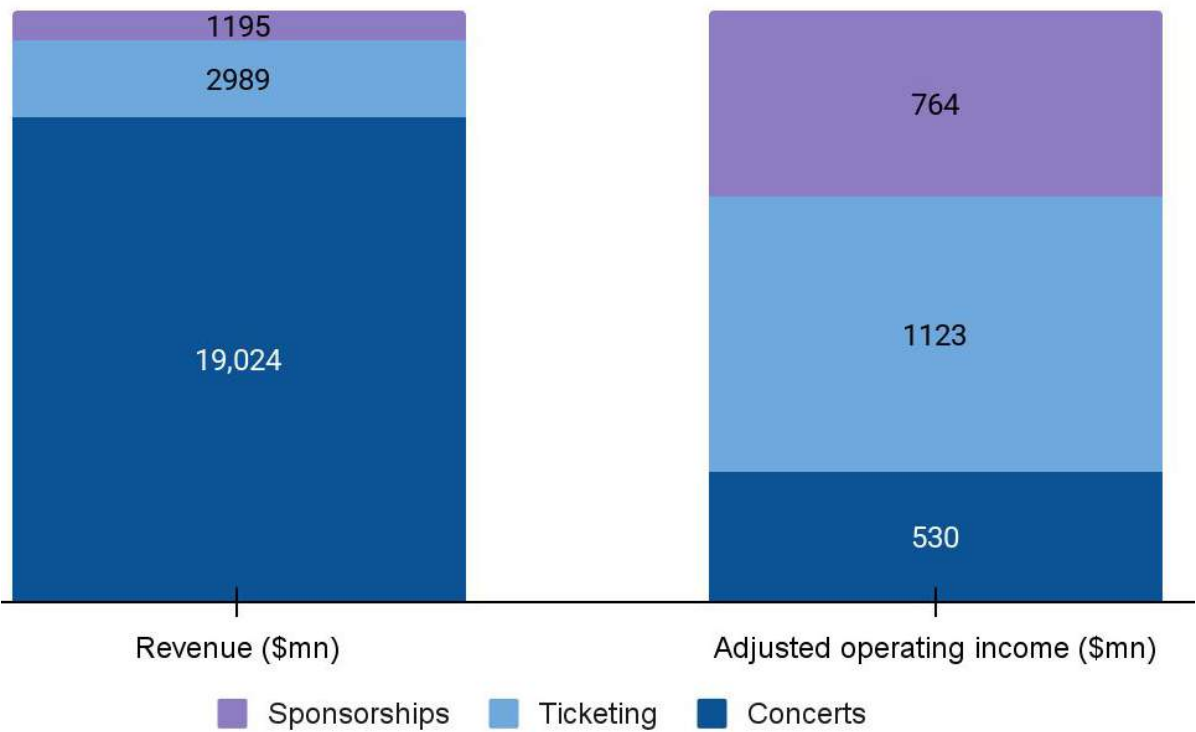
It provides Ticketing services via TicketMaster to own events and third party clients (11,000 clients)

In just 2024, it connected 788 million fans to artists in 54000 events in 51 countries

It also generates significant sponsorship revenue due to its event scale

Live Nation generates most of its revenue from Concerts but most of its profits from Ticketing and Sponsorships

Live Nation Revenue and Operating Income by Segment (2024)



Concerts generate 82% of revenue but only 22% of the operating income

Concert income comes from sale of tickets generated by the concert but most of it goes to artists who command huge share of income. Where Live Nation owns venues, it also generates income from parking, food etc.

Live Nation and TicketMaster leverage each other's scale to drive 'exclusivity' contracts

Live Nation takes equity stakes in many of its food and beverage suppliers

Live Nation often demands its partners adopt TicketMaster as the exclusive ticketing partner

Live Nation owns or has exclusive booking rights for 394 venues and 137 festivals

Concert giant Live Nation backs functional-seltzer brand Hiyo

Live Nation partners up with bottled water maker Liquid Death

Live music giant Live Nation recently has recently announced it has taken an equity stake in the notably edgy Liquid Death brand of prepackaged water.

INDIANAPOLIS (WISH) – CVT Soft Serve, founded by Joe Nicchi, has revolutionized the ice cream industry with its portable soft serve pouches, now available at 3,000 grocery stores and Live Nation amphitheaters nationwide.

Live Nation Fuels Owen's Craft Mixers Expansion To Reach Key Concert Destinations

Williams-Sonoma - Thriving in a struggling industry (home and furniture)



Williams-Sonoma is one of the largest specialty home and furniture retailers in United States

It has a collection of 9 brands (Pottery Barn, West Elm, Pottery Barn Kids, Williams Sonoma being the largest)

Howard Lester acquired Williams-Sonoma in 1970s and Pottery Barn in 1980s both for very cheap and built it into the giant it is today

It is one of the best performers in the space where other companies have struggled in the last few years

Williams-Sonoma - Thriving in a struggling industry (home and furniture)



Source: Google Finance

Williams-Sonoma is one of the best performers in the space where other companies have really struggled in the last few years

Other companies have struggled due to a weak home market, competition from both big box retailers and e-commerce firms and weak consumer sentiment

How has the company been able to do this?

Williams-Sonoma posts strong margins and ROIC and has outperformed peers

OUR REVENUES

\$7.7B
2024 REVENUE

REVENUE BY BRAND

Pottery Barn	\$3.040B
West Elm	1.841B
Williams Sonoma	1.303B
Pottery Barn Kids & Teen	1.107B
Other*	0.421B
Total	\$7.712B



* Includes revenue from global franchise operations, Rejuvenation, Mark & Graham, and GreenRow.

KEY FINANCIAL MEASURES

54.0%
NON-GAAP ROIC

14%
EPS GROWTH*
since 2021

17.9%
NON-GAAP
OPERATING MARGIN*

\$4.1B
RETURNED TO
SHAREHOLDERS
through dividends and share
buybacks in the last 5 years

TOTAL RETURN TO SHAREHOLDERS**

122%
1 YEAR

181%
3 YEAR

569%
5 YEAR

Williams-Sonoma keeps its design in-house and sees it as a key differentiator

Our Aesthetics & Price Points

Our in-house design capability has enabled us to grow our brand portfolio across a wide range of aesthetics and price points that span life stages.



“Our in-house design gives us the ability to customize and serve the specific needs of our customers across a wide range of aesthetics and price points. Customers know they are getting the best quality and value” - Laura Alber, CEO

90% of products sold are proprietary and are not available anywhere else. This is a major differentiator

150 strong in-house designers and artists

Williams-Sonoma has done well by being a true omni-channel retailer (65% of business from e-commerce)



65% of business comes from E-Commerce

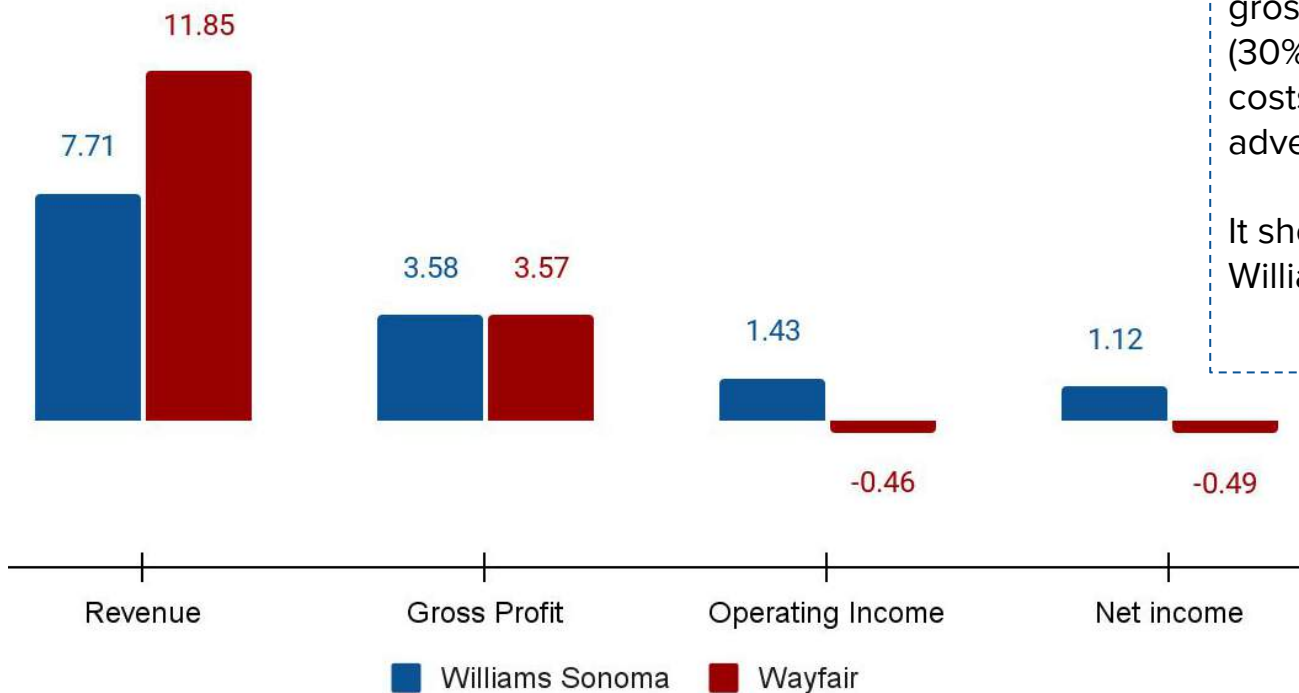
The company offers **in-store design consultations and cooking classes**

Williams-Sonoma launched its e-commerce early in 2000. It has become a profitable business

VIRTUAL DESIGN APPOINTMENT (60 MIN)	IN-STORE DESIGN APPOINTMENT (60 MIN)	IN-HOME DESIGN APPOINTMENT (60 MIN)
SELECT A Williams Sonoma design expert will meet you online to discuss your project goals.	SELECT A Williams Sonoma design expert will meet you in your local store to discuss your project goals.	SELECT A Williams Sonoma design expert will visit your home, located within a 60-mile radius of the store, to discuss your project goals.

Williams-Sonoma comparison with pure-play e-commerce player Wayfair shows its superior business model

P&L Comparison Williams Sonoma and Wayfair (\$bn) 2024



Williams-Sonoma has much higher gross margins (46%) than Wayfair (30%) and much lower operating costs (including fulfillment, advertisement costs)

It shows the superiority of Williams-Sonoma's model

Ollie's Bargain Outlet - the quirky off-price chain consistently executing (\$7bn market cap)



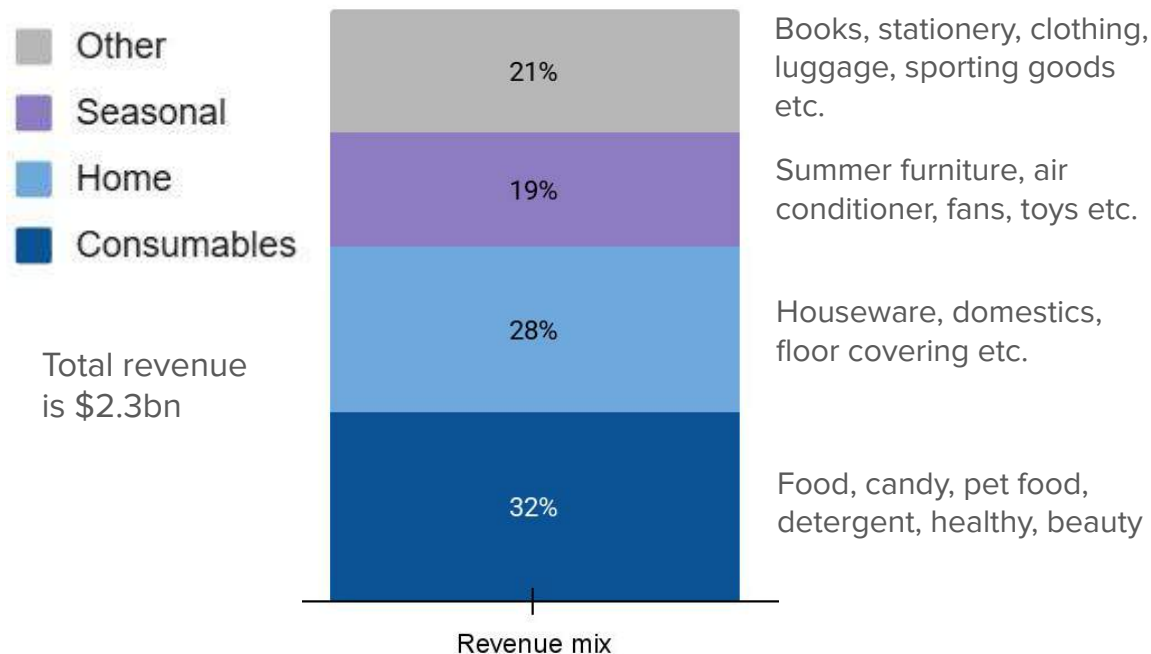
Ollie's Bargain Outlet founded in 1982 is a US-based discount store chain that runs 600 stores (usually 30,000 sq.ft) in 34 states

It **sells mainly older inventory and excess inventory** that manufacturers and other retailers are not able to sell

It procures this inventory at deep bargains and sells them at great value to customers in barebones stores (they call 'semi-lovely' stores)

It does around \$2.3 bn in sales with an operating margin of 11%

At the heart of Ollie's success is its Procurement and Assortment Strategy



Ollie's buys mainly excess and close-out inventory that others are not able to sell

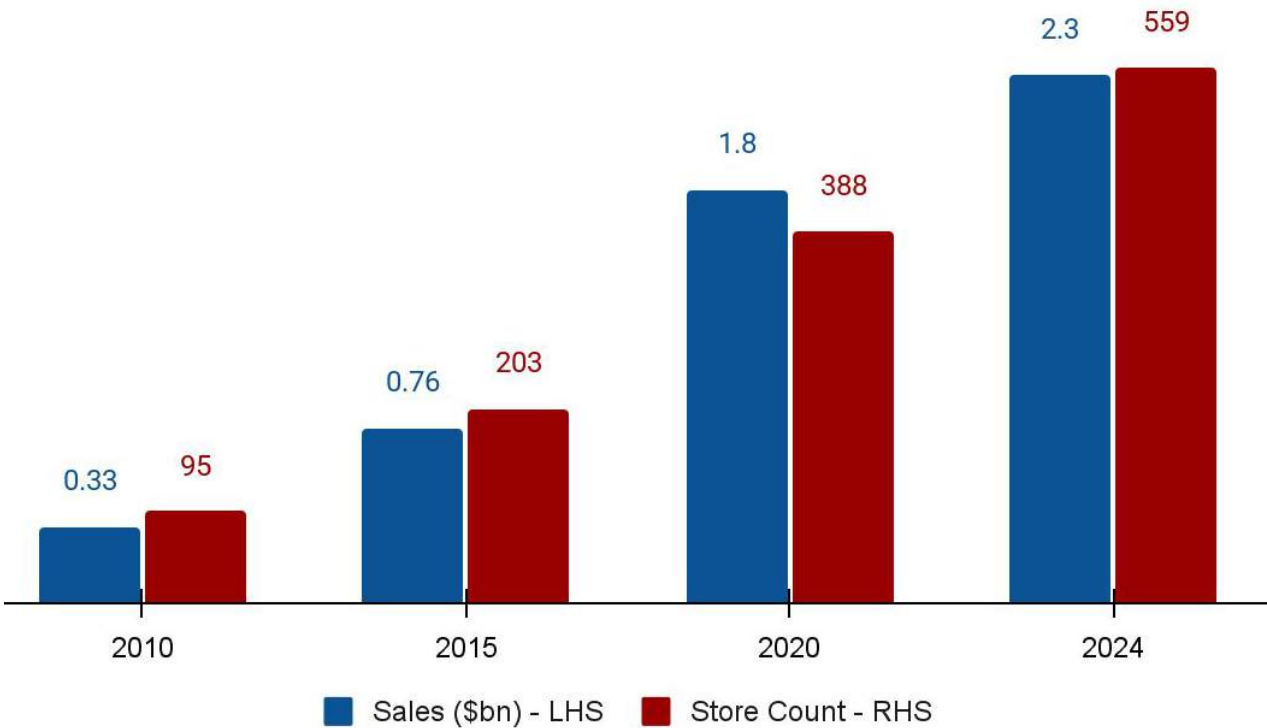
It does 65% sales from close-out inventory and 35% sales from its own private label inventory with deep value

Its consumables selection is a differentiator (and brings people to stores) and offers great value vs. competitors. These are usually safe to consume but closer to the manufacturer expiry

Because it procures as and when great bargains are available, its stores have constantly changing inventory and give a treasure hunt feel to customers

Ollie's has consistently grown its sales and store count over the years

Ollie's has posted very steady growth over the years



Ollie's has a very well received loyalty program called Ollie's Army. 82% sales comes from its Loyalty members

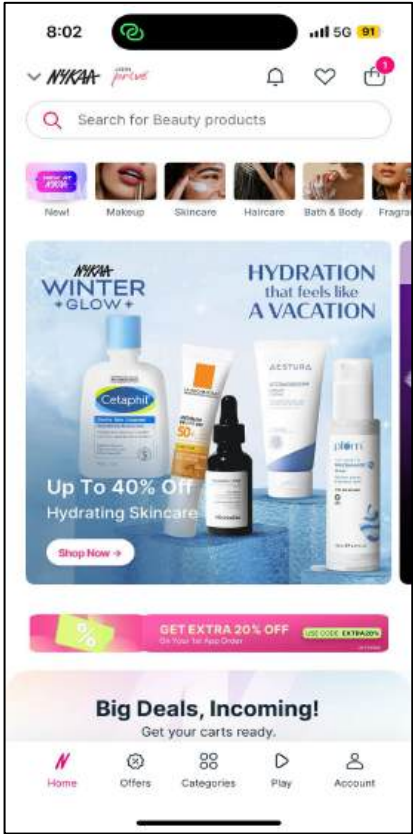
15mn loyalty members (Ollie's Army)
contribute to 82% of sales.
10% off on every 250 points

RANK BENEFITS	0-249 PTS	250-499 PTS	500+ PTS
Promotional Offers	✓	✓	✓
Ollie's Army Night Invite	✓	✓	✓
Military Discount The First Tuesday of Every Month	✓	✓	✓
Surprise Offers		GREAT OFFERS!	EVEN GREATER OFFERS!
Exclusive SNEAK PEEKS OF coming deals		✓	✓
ANNUAL RANK O-WARD		20% OFF ONE ITEM O-WARD	30% OFF ONE ITEM O-WARD

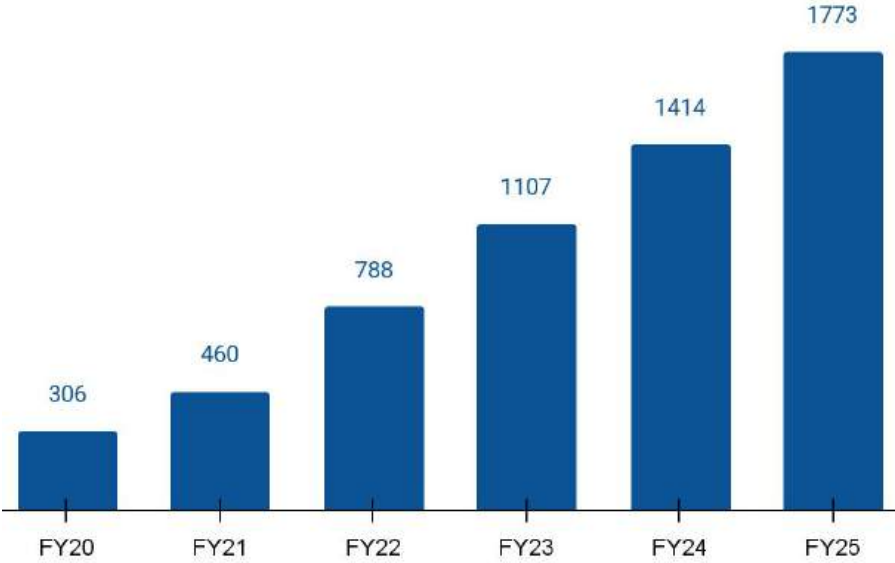
Ollie's spends 3% of sales on advertising. Half of ad spend is on printing and distributing flyers to customers



Nykaa, The Indian online beauty retailer thriving amidst heavy competition



Nykaa GMV in \$mn. 76% of GMV comes from Beauty and Personal Care



Nykaa is the biggest online beauty retailer and **caters to mostly urban mid-affluent and affluent** segment of customers

The market is fragmented with heavy competition from horizontal e-commerce players like Flipkart and Amazon and from offline retail

In a market rife with trust issues on authenticity and quality, Nykaa has carved out a lucrative position for itself with authenticity and being the first choice for premium brands

Nykaa has built a leading position in a crowded market with authenticity and being the first partner of choice for premium brands...

Perception of Authenticity and Trust attracts affluent customers



Premium and Luxe Brands often prefer to partner first with Nykaa

digsonchavez • 7mo ago

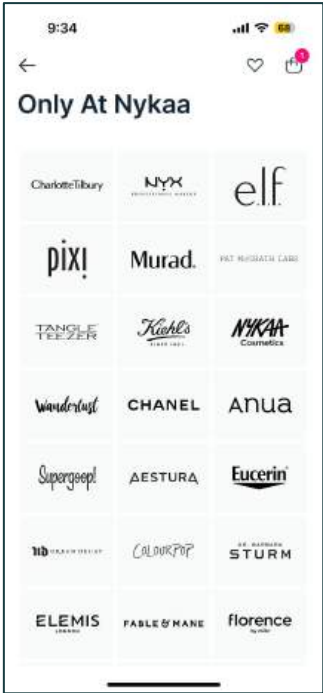
Because Nykaa is an authorised seller. Amazon pe anyone can sell anything. So many times people have complained about getting aata when ordering protein powder etc

ImTheMafia_ • 7mo ago

Possibility of getting a dupe / fake product on Amazon is high. On the other hand you may not get as much as discount like Amazon but it guarantees a genuine product delivery. When it comes to skincare and makeup specially. I finally shifted from Amazon to nykaa because of this reason only. Nykaa is not bad though you get free products on your orders I love that lol

Issval123 • 2y ago

I think their UI looks class and I like that about the site, I have used purplle and isn't like that. Plus authenticity matters because I keep hearing fake product complains from Amazon. I am reducing nykaa purchase because of the fake discounts they run. But it's fun to window shop at nykaa. They have a lot of products too I think.

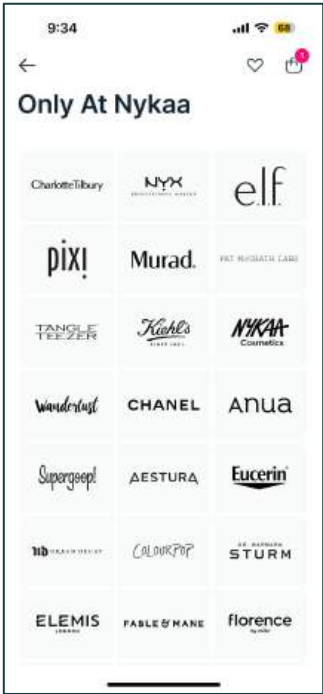


... which drives huge selection advantage for **Nykaa**

Premium and Luxe Brands often prefer to partner first with Nykaa

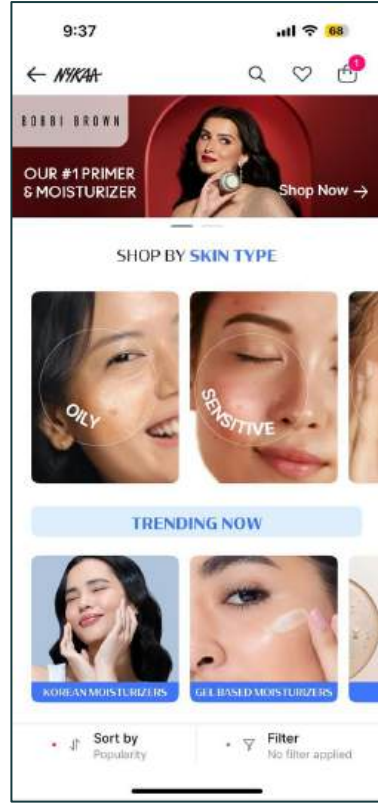
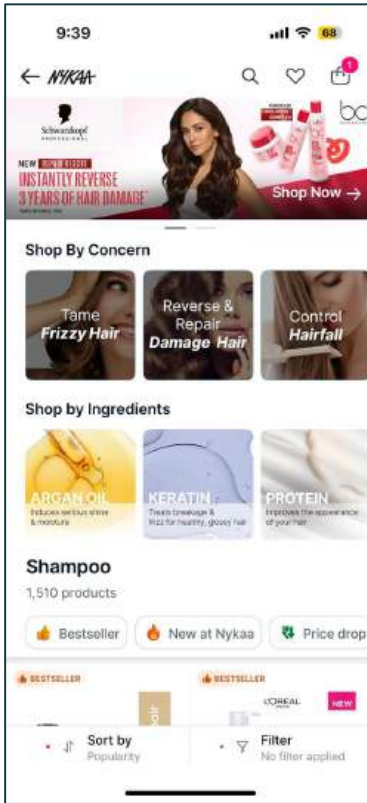
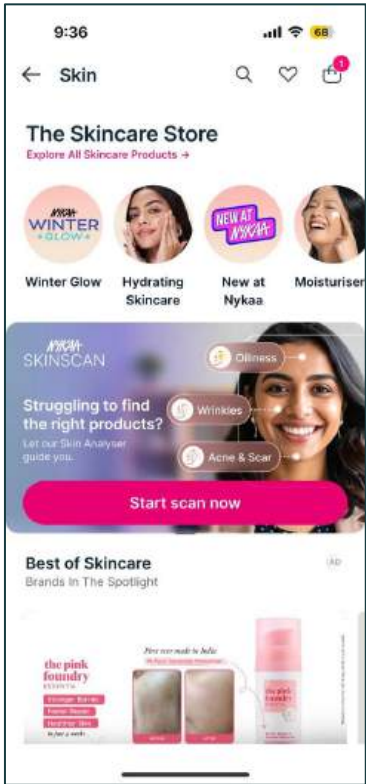


Flywheel among the higher income customers

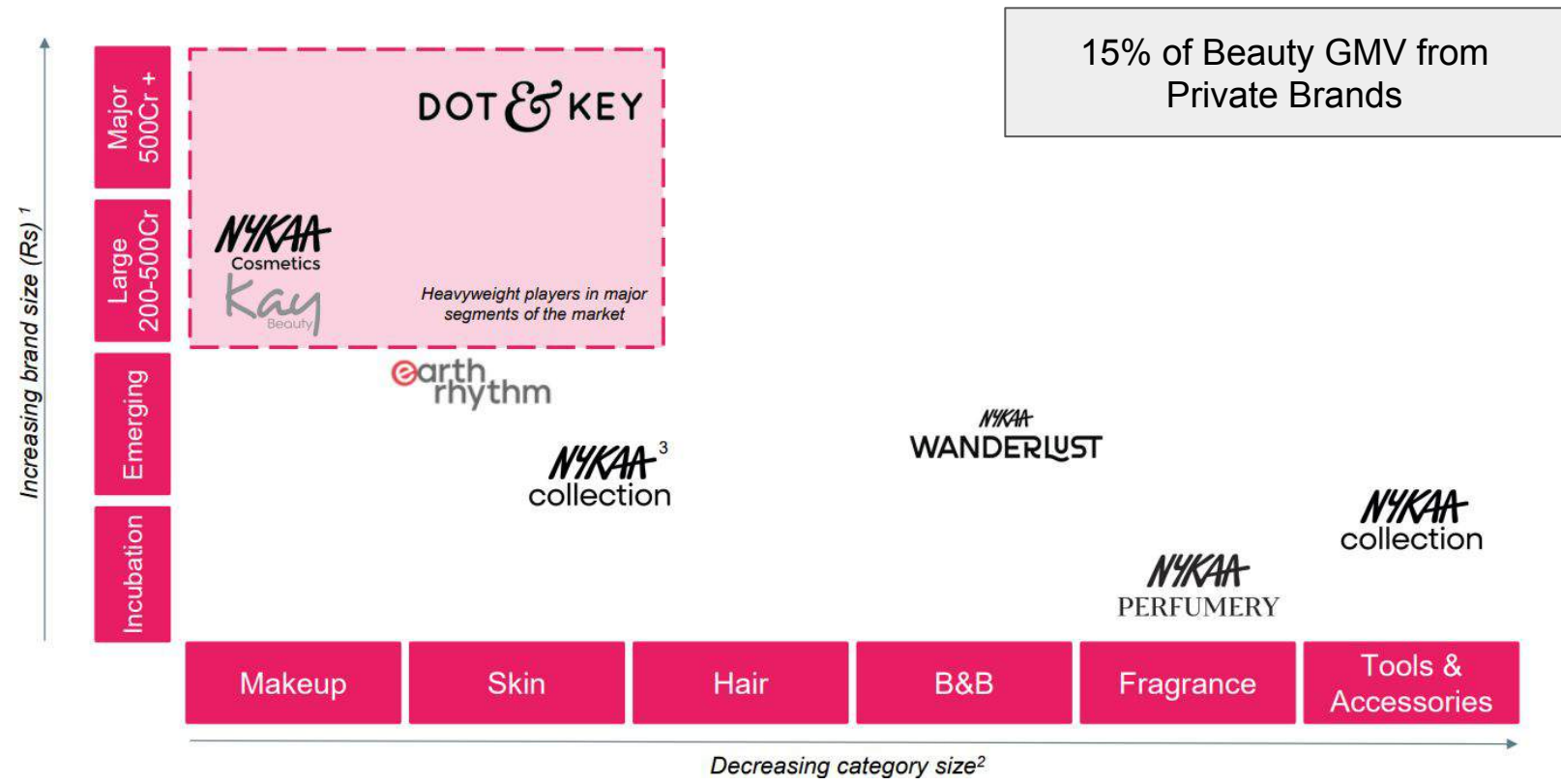


Affluence signal: 70% of Nykaa visitors browse via iOS (per annual report)

Nykaa has a beauty-first platform experience which further appeals to premium brands



Amid the competition, Nykaa has been de-risking by building its own private label brands with decent success



Sources: Investor Presentation

Royal Caribbean - The fantastic business of Cruises

Icon of the Seas - cruise ship five times bigger than the Titanic



Why Cruises are a great business

Great price value proposition compared to 'land vacations'

Very high barriers to entry - high capex

Demand much higher than supply. **Bookings done several months in advance**

High onboard monetization

Highly underpenetrated. A fraction of overall tourism industry. Lot of headroom to grow

Guests tend to return for repeat bookings

Royal Caribbean - Cruises have an attractive price proposition for customers and demand far outstrips supply. Occupancy for Royal Caribbean is 108%!

Unpack once to...

Visit Multiple Destinations

And Enjoy Dozens of Included Onboard Amenities

Art Exhibitions	✓
Bars and Restaurants	✓
Broadway-Style Production Shows	✓
Comedy Club	✓
Cooking Demonstrations	✓
Fitness Center	✓
Game Shows	✓
Kids Camp	✓
Live Music	✓
Mini Golf	✓
WaterWorks	✓

Additional Amenities

Premium F&B Options	✓
Bolt Sea Coaster	✓
Casino	✓
Photography Studio	✓
Shops	✓
Spa	✓

Royal Caribbean is the largest cruise business in the world

Operates 68 ships and 167k berths and reaches 1000 destinations on all 7 continents

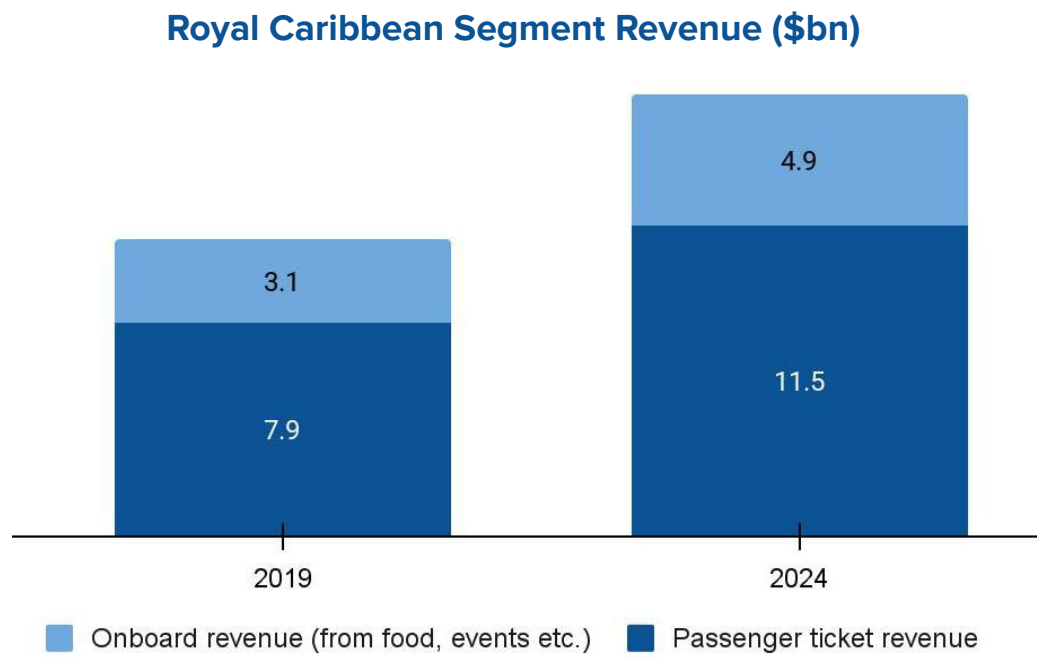
Has 23% share of total industry berths and 40% revenue market share

Total Revenues of \$16.5bn and has a market cap of \$76bn. 25% Operating margin

Operates two other brands - Celebrity Cruises (premium segment) and Silversea cruises (ultra-luxury segment)

75% of Revenue is from the US

Royal Caribbean - 30% revenue comes from onboard services like food, events, photography and more

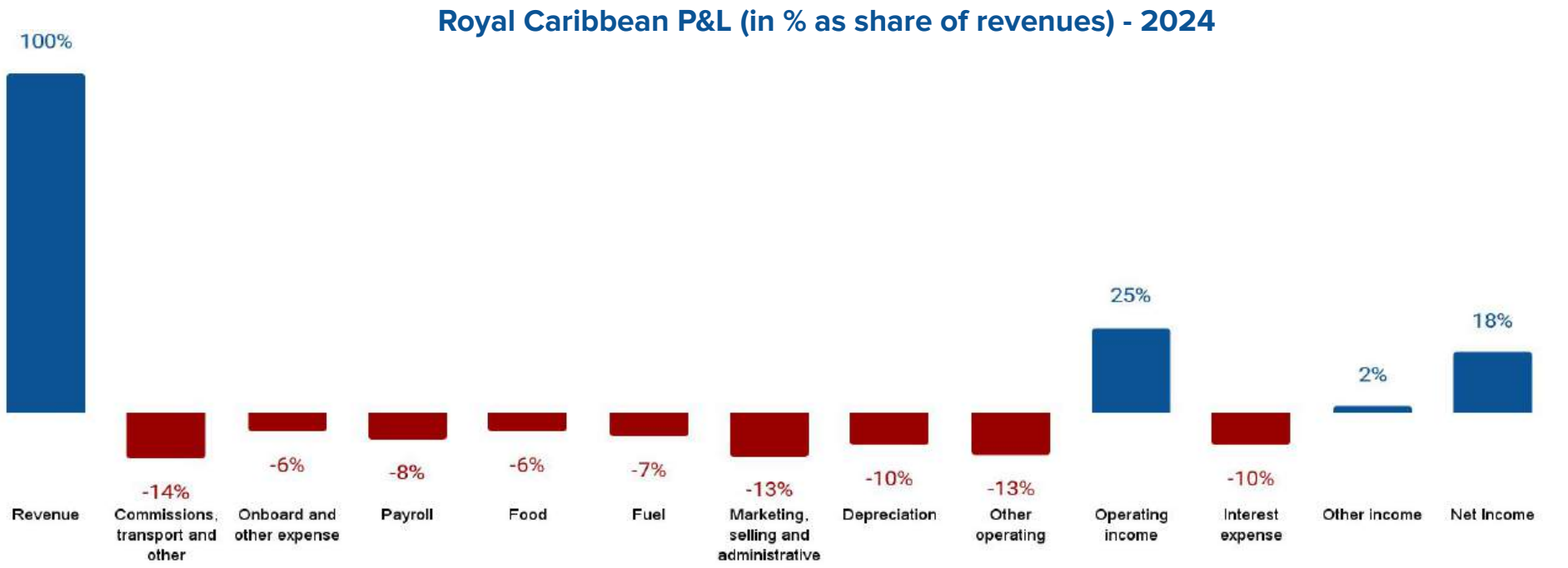


Royal Caribbean carries a **customer deposit balance of \$5.7bn!** (basically advance booking)

The company employs sales executives on the cruises to nudge customers for repeat bookings



Royal Caribbean - has a solid operating margin of 25%



Dick's Sporting Goods - thriving by Doubling Down on Experience (\$20bn market cap)



Dick's Sporting Goods is the biggest pure-play sporting goods retailer in the United States with **revenue of more than \$13bn**

The company has **36% in Gross Margins** and around **11% in Operating margins**.

Revenue mix is 36% sales from Hardlines, 33% from Apparel and 28% from Footwear. Nike alone contributes to 25% of sales.

It operates about **850 stores** (723 stores under Dick's Sporting Goods brand) under various concepts. Store size usually is 50,000 sq.ft

The company has thrived by **doubling down on experience** and is one of the **last standing pure-play offline sporting retailers in US**

Dick's Sporting Goods has excelled in a store-in-store format where it is able to elevate its merchandise and brands it carries



The store-in-store format (curated sections for each sport, brand) gives a very experiential shopping feel to customer while elevating and helping attract the best brands



In the last few years, it has been experimenting with the 'House of Sport' format - huge 100,000 sq.ft stores where customers can engage and experience any sport

Rock Climbing at House of Sports Store



Practice baseball at The Cage in a House of Sports store



In the last few years, it has been experimenting with the 'House of Sport' format - huge 100,000 sq.ft stores where customers can engage and experience any sport



'Athletes' (the name Dick's uses for customers) can experience sports in-store like trying on skating rink or a mini-golf course or baseball swings

Dick's has indicated this format will become as big as its original format



The format doubles down on experience in a market where e-commerce and big box offline stores have driven out other players

Dick's has a popular loyalty program that contributes to most of its sales and also invests in Digital experiences such as the Game Changer app to keep its customers engaged

	SCORECARD	SCORECARD GOLD
How to Enroll	Free to sign up in-store, online or in the DICK'S mobile app	\$500+ Annual Spend Or be an active ScoreRewards credit cardholder
Earn Points for Purchases at Our Family of Brands* 300 Points = \$10 Reward	1 Point for Every \$1 Spent	1 Point for Every \$1 Spent
Free Shipping on Orders \$49 or More**	●	●
Insider Access to Offers, Deals and Products	●	●
Faster Online Checkout Log in to access account details	●	●
Earn Points with MOVE Connect your fitness tracker to earn daily Points	●	●
Pick Your 3X Points Day***		●
Annual \$10 Reward†† Spend your Reward on whatever you want at our family of brands!		●
Dedicated Customer Service Line Sign in to view the contact number		●



ScoreCard the loyalty program of Dick's has 25 million ‘athletes’ who do 75% of sales. The Gold tier members alone contribute to around 45% of total sales

Gamechanger app helps live stream school/youth sports and standalone generates \$100mn revenue



Dick's also operates specialty brands with curated experience

Golf Galaxy (acquired in 2007) provides a curated Golf focused experience

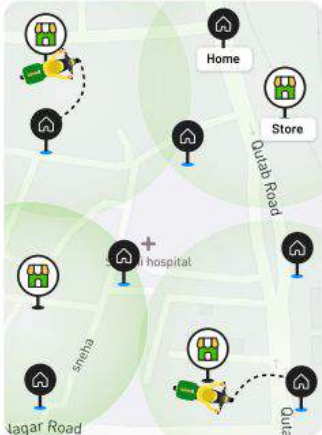
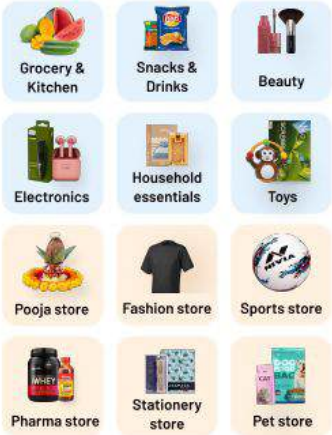
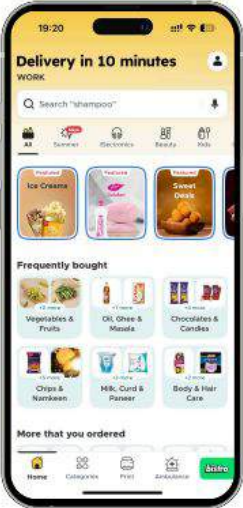


Going Going Gone is a discount format which Dick's uses to liquidate its excess inventory



Blinkit (owned by Eternal): Cracking Quick Commerce in India (\$4.5bn GMV run-rate)

Blinkit is the Quick Commerce leader offering 7000+ SKUs from each of their 2000+ dark stores, consistently in 15 minutes



Why is quick commerce working?

1. Mirrors existing offline customer behavior in India - frequent top-up purchases delivered quickly when needed
2. Addresses majority of customer's needs across multiple categories such as food (staples and fresh), electronics, beauty, general merchandise, festive needs ++
3. Reliable quick delivery eliminates the need for planning

On demand delivery in 10 minutes...

... of a wide assortment of products across categories...

... through a dense network of stores located in a 2-3km radius from customers

Why Quick Commerce works in India - population density, low labour costs along with sub-scale existing retail ecosystem are key reasons

Subscale and Fragmented Retail Ecosystem

Sub-Par Selection in Offline Retail



**Better Value Proposition
vs. Local Convenience
Stores**

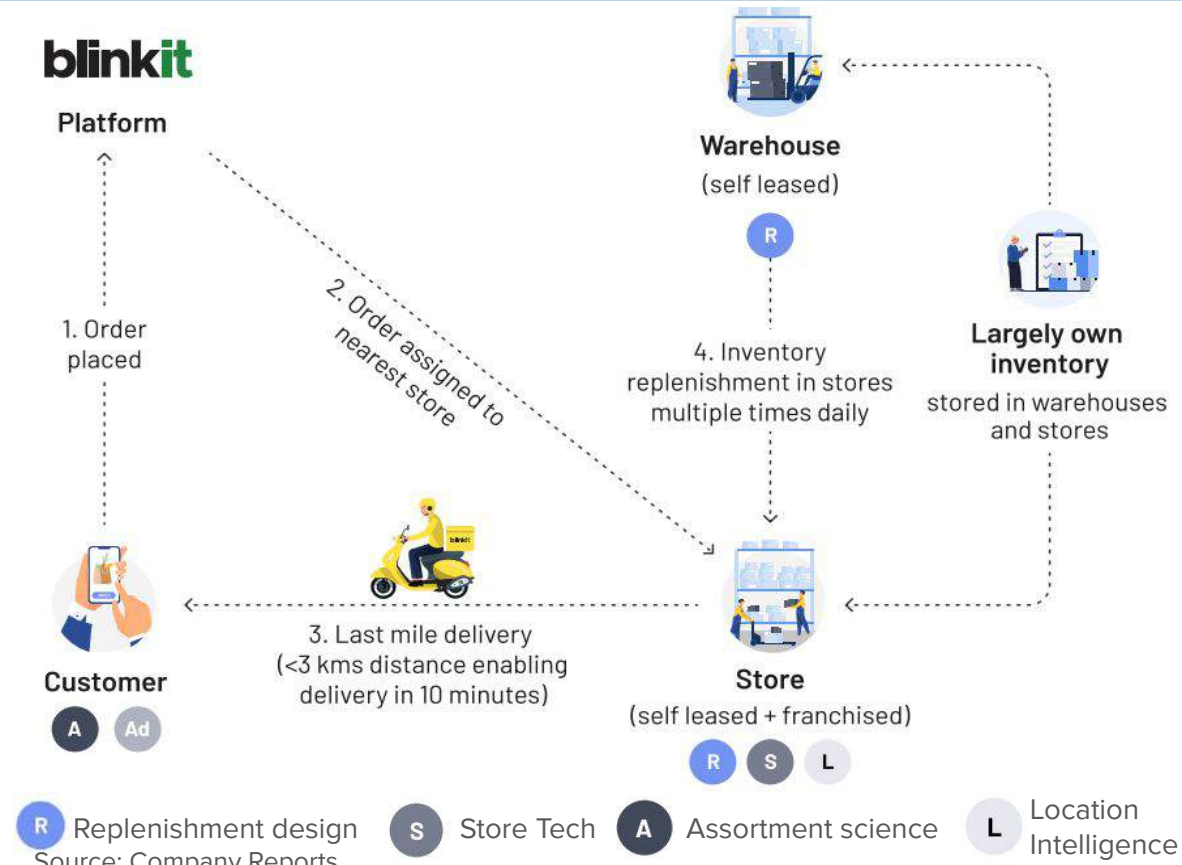
High Population Density

Low cost of Labour



Feasibility of Operations

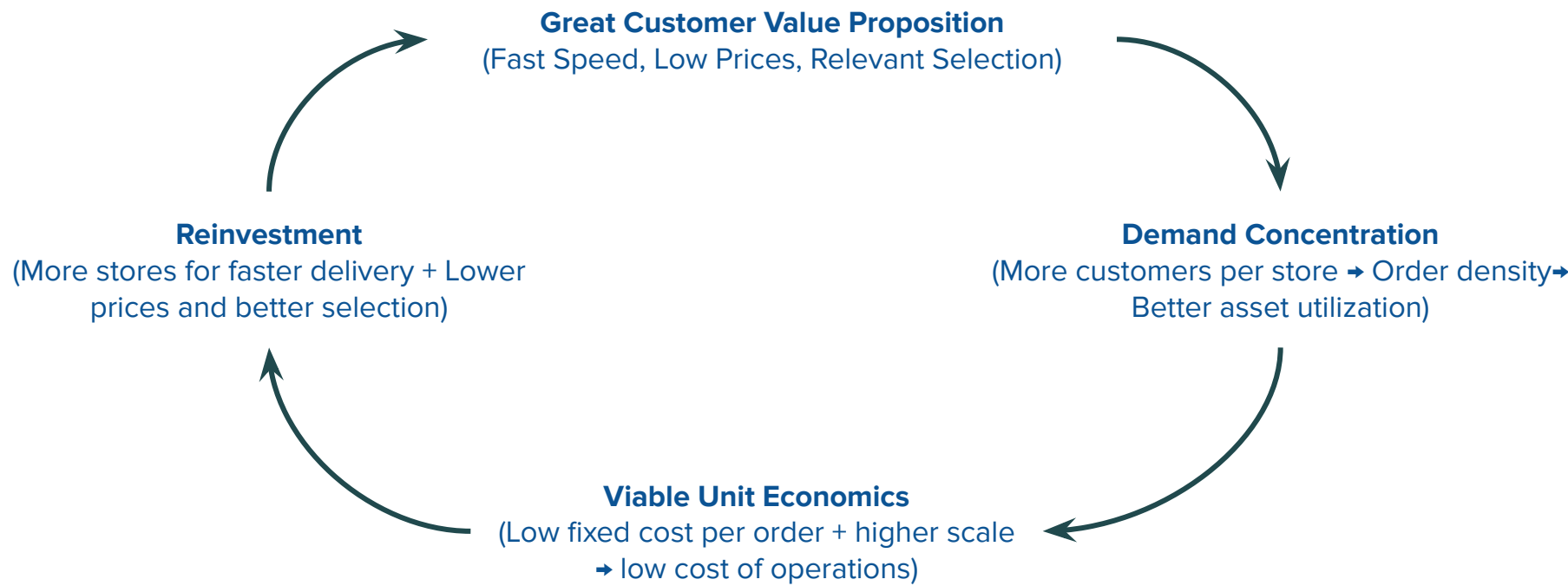
Blinkit's Assortment and Supply Chain Model is key to making it work



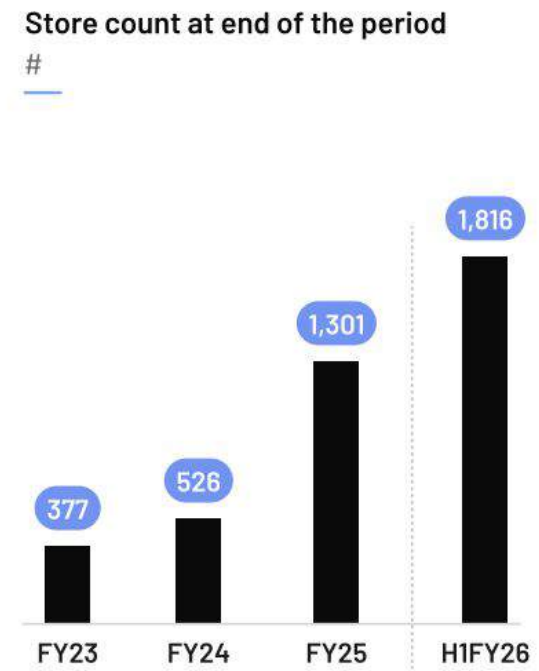
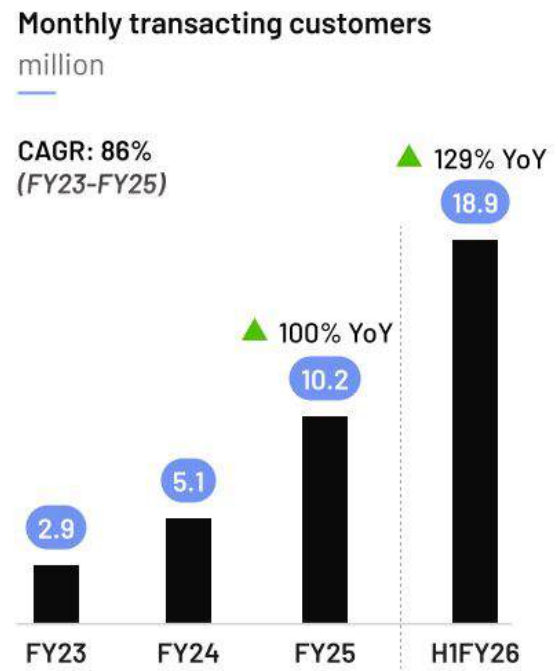
The Secret Sauce

- Consistent High availability** of urgent items like milk, dairy, bread, vegetables bring customers repeatedly
- Constantly refining store selection.** Taking small bets via daily replenishment from warehouse. Ruthlessly cutting selection that doesn't perform
- Flexible bring-your-own-vehicle labour model** with fixed+variable incentives to have consistent delivery partners to ensure reliable and fast delivery
- Cracking the **right selection mix** and **order-level pricing design** to achieve **sustainable AOV and Gross Margins**

Blinkit's Quick Commerce Flywheel

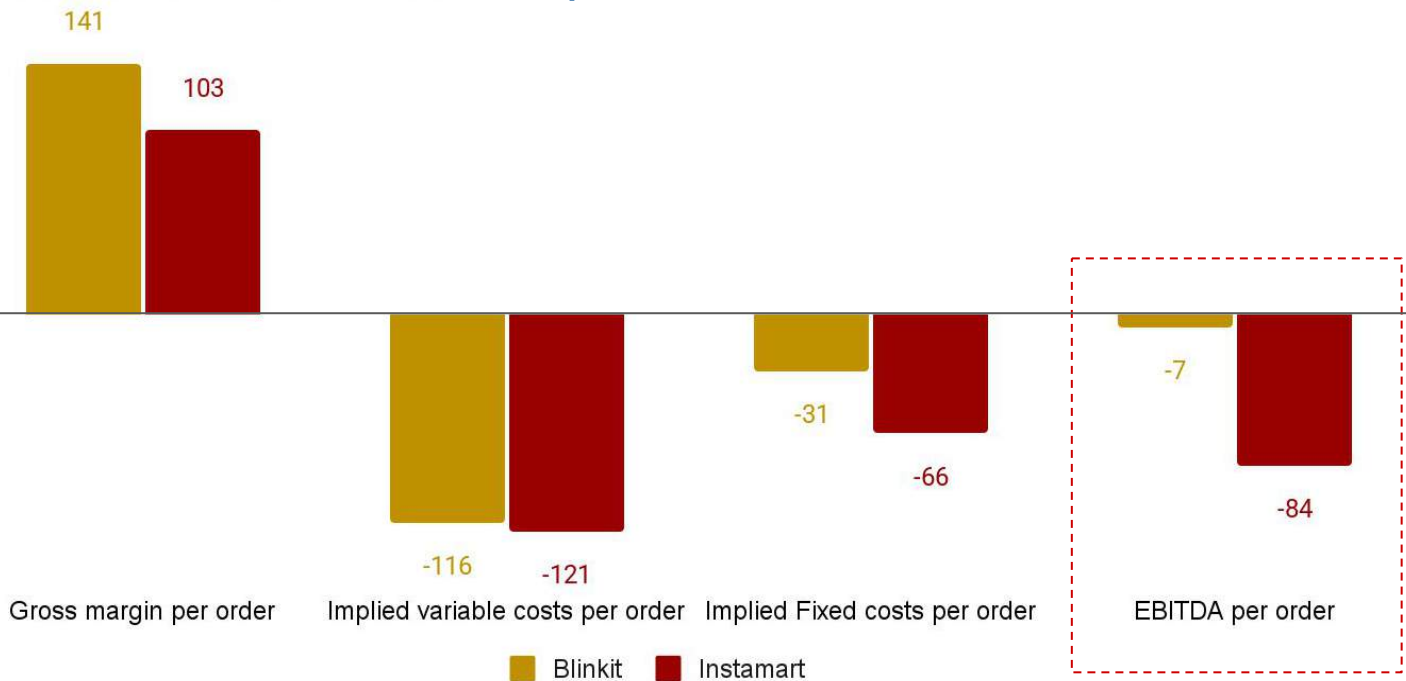


Blinkit's business has seen very fast growth. ~4x GOV in 2 years!



Comparison with nearest competitor (Swiggy Instamart) shows **Blinkit's** superior unit economics

Blinkit and Instamart per-order economics in Rs. (Q2 FY26)



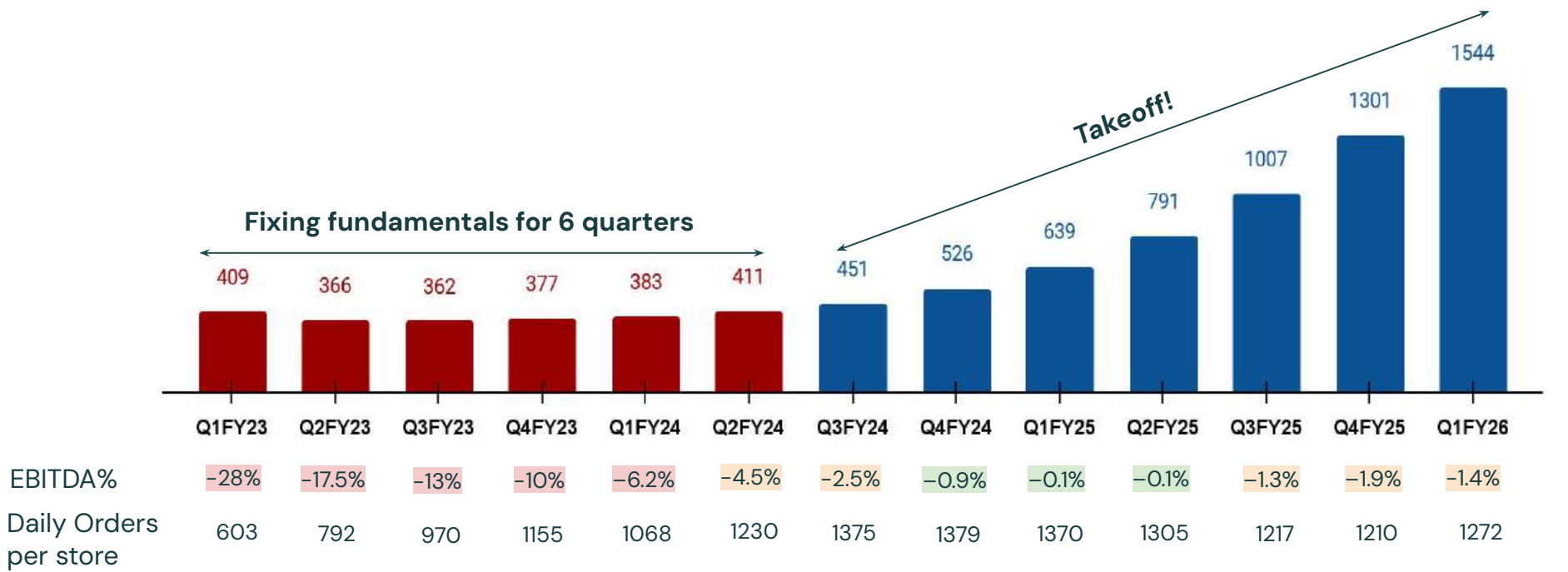
Blinkit financials seem quite attractive at the moment vs. Instamart and also illustrate the challenge of this business

You need sufficient revenue/gross margin – low discounting, good ads revenue, charge delivery fees from customers

Higher orders per store is crucial to bring down the Fixed cost per order

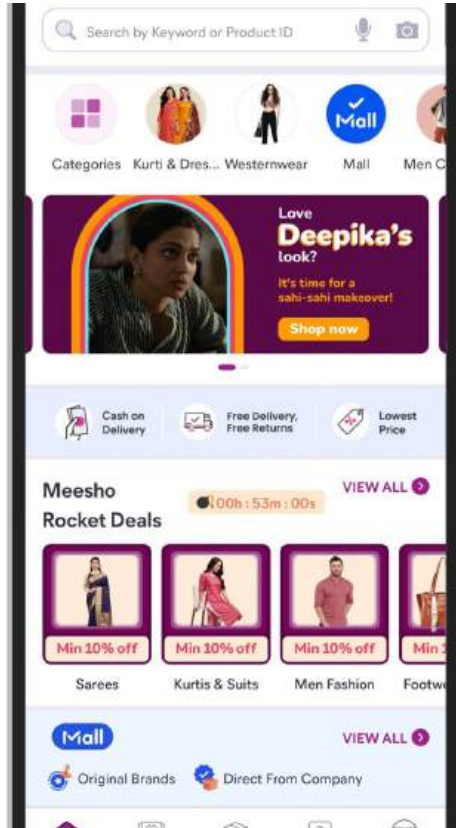
Blinkit took a year long pause in its store expansion to correct economics before expanding further

Number of Dark Stores (Blinkit)



Source: Company Reports

Meesho - Fast growing Indian hyper value e-commerce player with the zero-commission model (\$8bn market cap)



Meesho is a hyper-value e-commerce company (like Temu and PDD) in India

Meesho experimented with various wholesale and reseller models but shifted to B2C e-commerce in 2021 with a **zero-commission model focused on unbranded products**

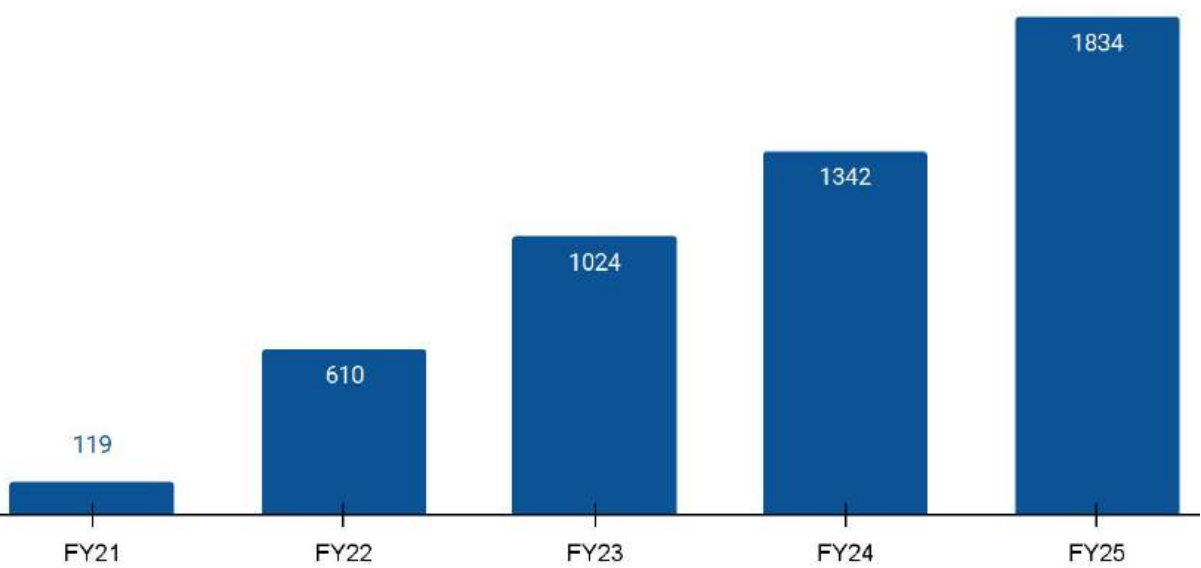
It was able to attract lots of sellers and **direct manufacturers from clothing hubs due to this model**

Its main **customer base is Tier 3 customers especially women**

It has grown very fast in the last four years and recently went public with a market cap of \$8bn

Meesho - Fast growing Indian hyper value e-commerce player with the zero-commission model

Meesho has shown very fast growth (below orders in Mn), annual transacting base of 200mn+ and GMV of \$5.7bn



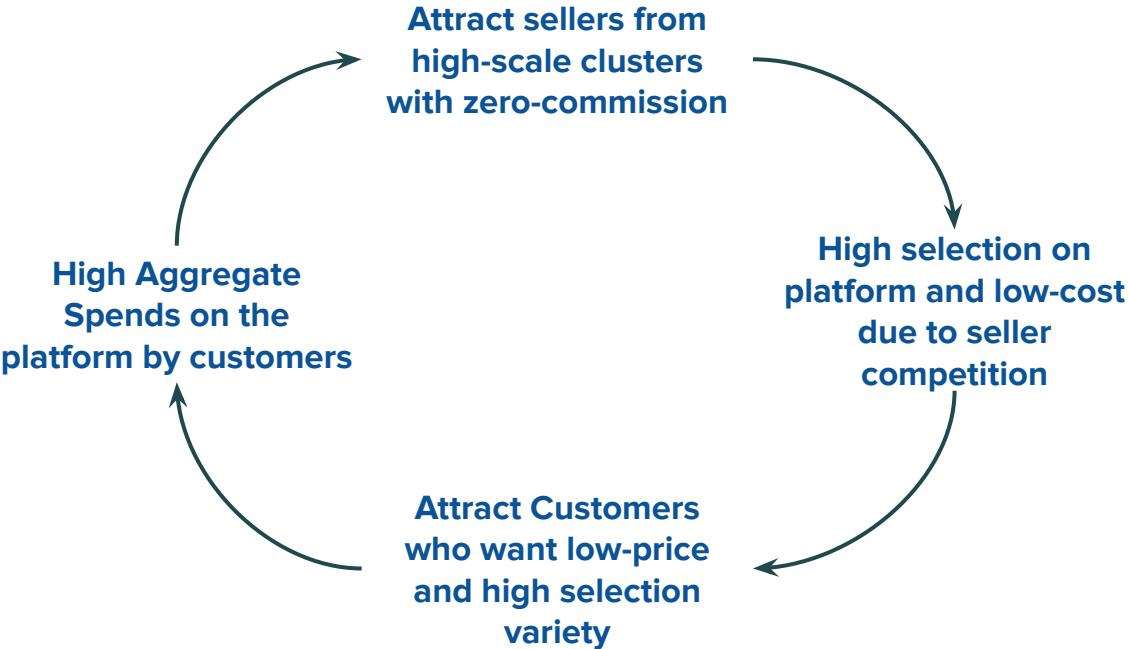
Source: Company Reports

Meesho operates on very low AOVs



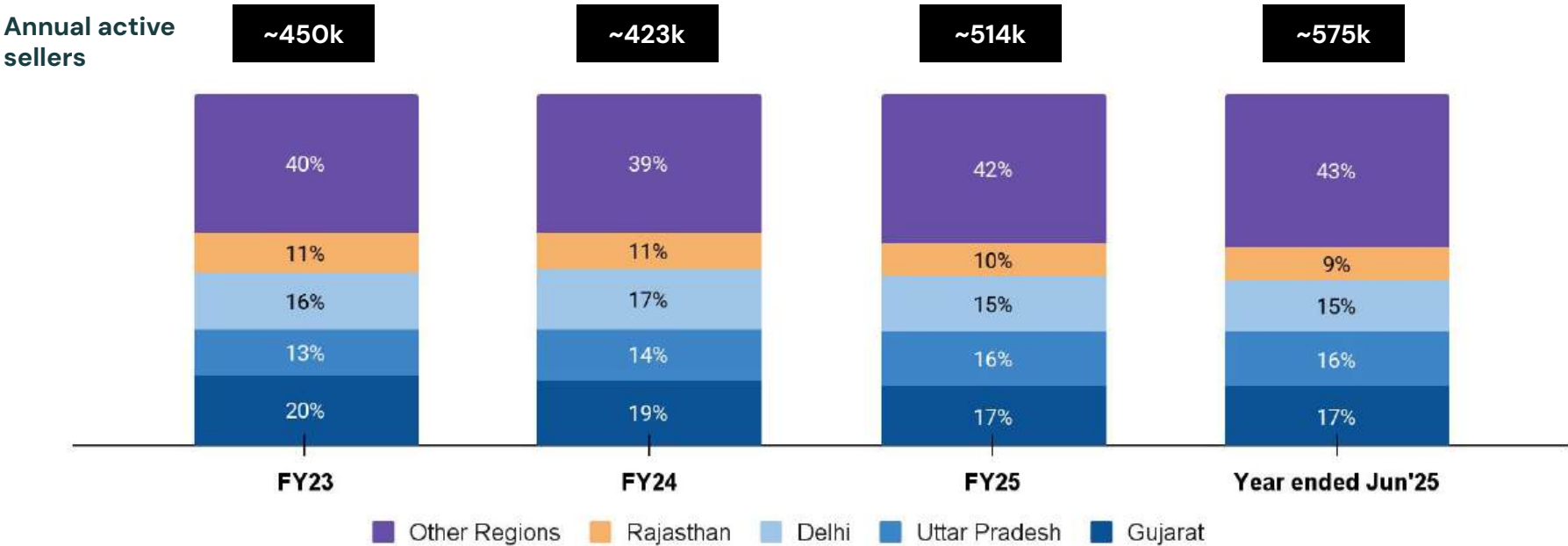
How Meesho makes it win-win-win for customers, sellers and platform

- High seller density from manufacturing clusters driving down product prices
(Attract with zero commissions)
- Low-Cost and completely asset-light Supply Chain
(by compromising on speed of delivery)
- Main Profit model is Advertising
(most of the profits)



Increasing Seller Density and Unlocking supply from high-scale clusters are key to low prices on Meesho

Cluster contribution to Active Seller base on Meesho



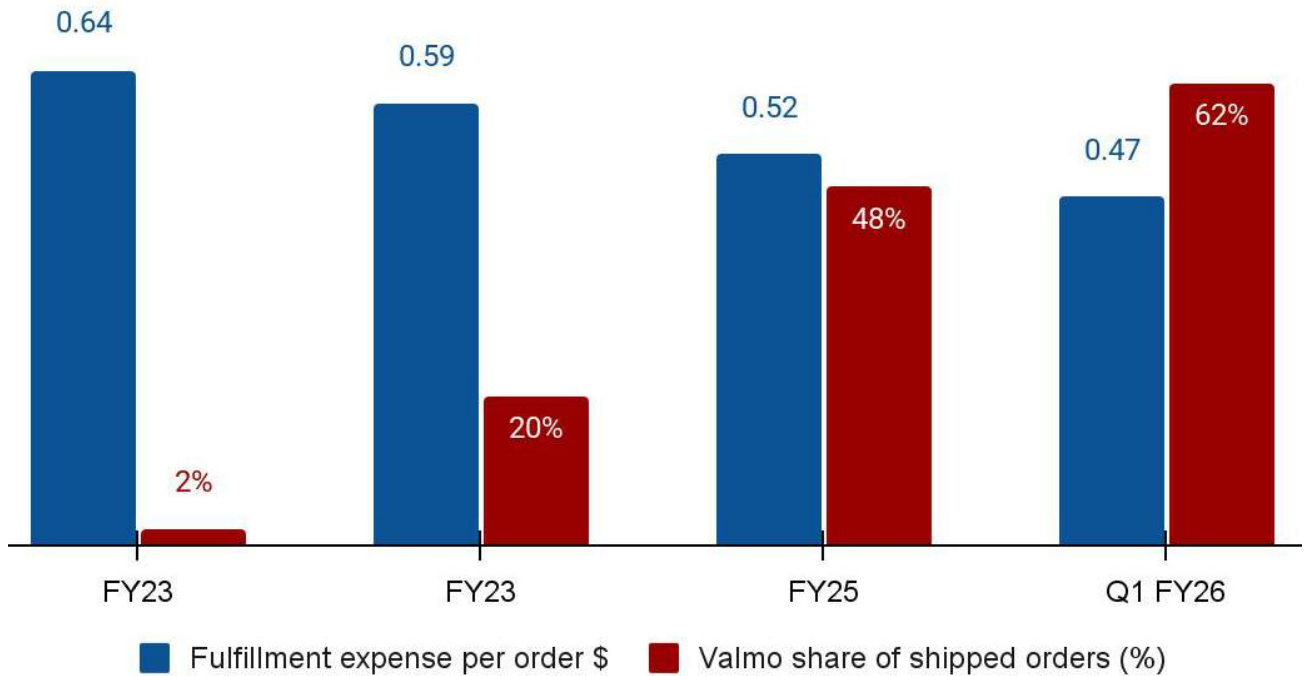
In Hyper-value commerce, need to squeeze costs to the dollar. **Meesho** has done this in logistics with its asset-light ‘Valmo’ model

What is Valmo: Valmo is an asset-light logistics network that brings multiple logistics service providers across the value chain and Meesho orchestrates the allocation of orders basis cost and service quality



In Hyper-value commerce, need to squeeze costs to the dollar. Meesho has done this in logistics with its asset-light 'Valmo' model

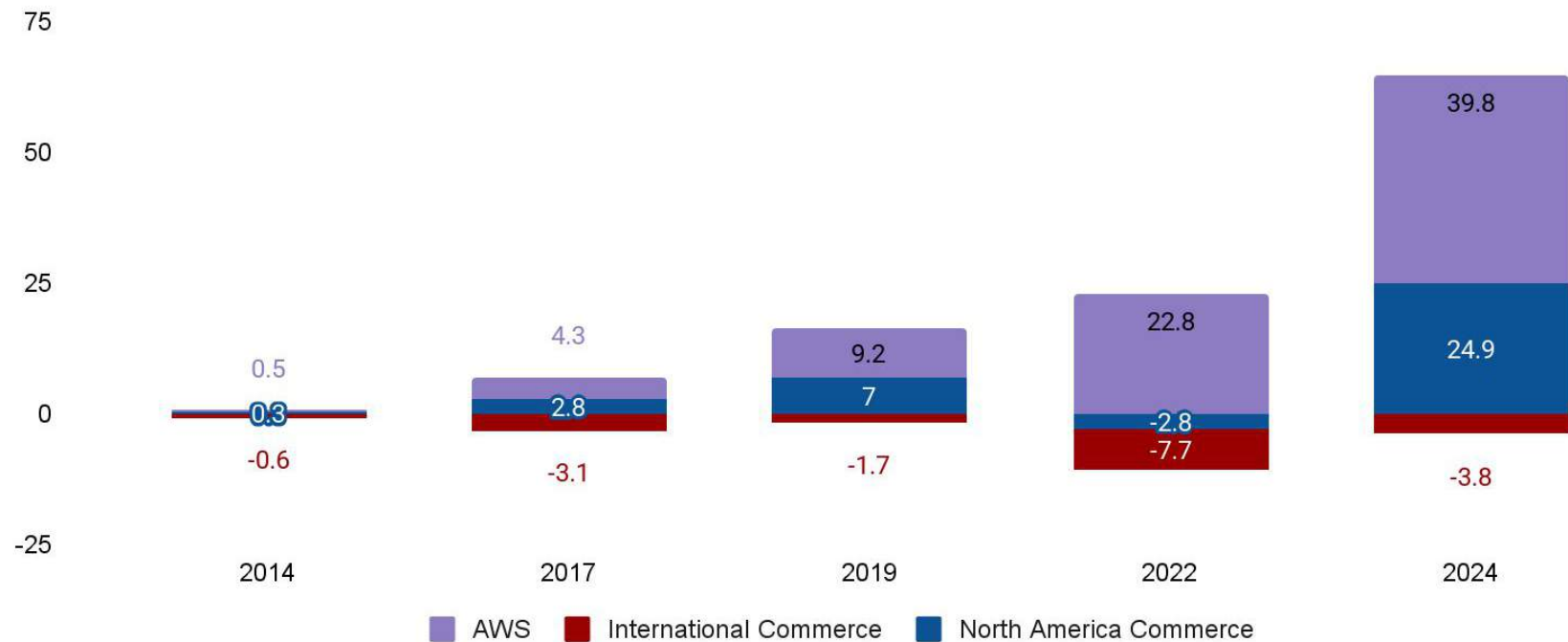
Meesho Logistics expense per order and Valmo contribution



Meesho has significantly scaled its Valmo model and has squeezed costs down (rest of the shipments comes from other scaled third party players)

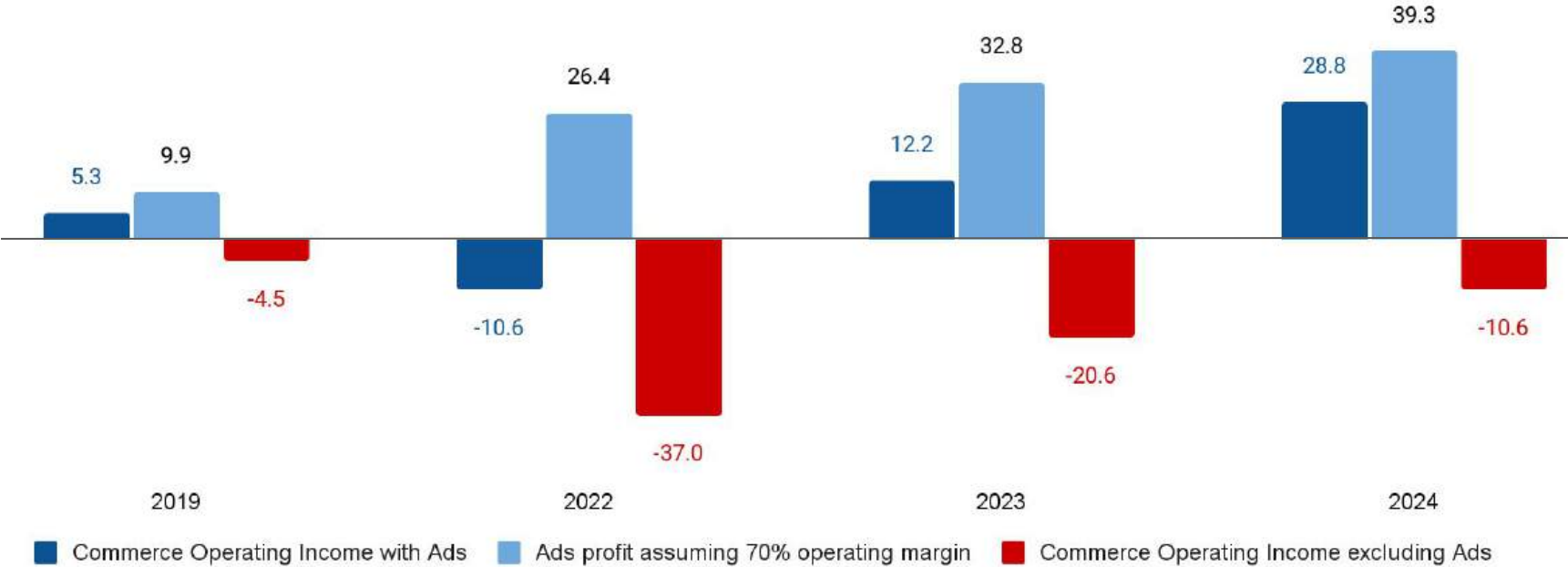
Amazon: Most of the Profit comes from AWS. In the last year, e-commerce profitability has significantly improved

Amazon Segment-wise Operating Income (\$bn)



Amazon Commerce: Advertising is what makes it profitable

Amazon Commerce Operating Income with and without Ads (\$bn)



Motorola Solutions: Successful Pivot from Mobile to Safety and Security

Motorola had pre-iPhone success due to mobile phones and cellular devices. It divested division in 2011 after decline

It has pivoted fully to Safety and Security Solutions



Motorola Solutions: 70% Revenue comes from Public Safety and 30% from Enterprises

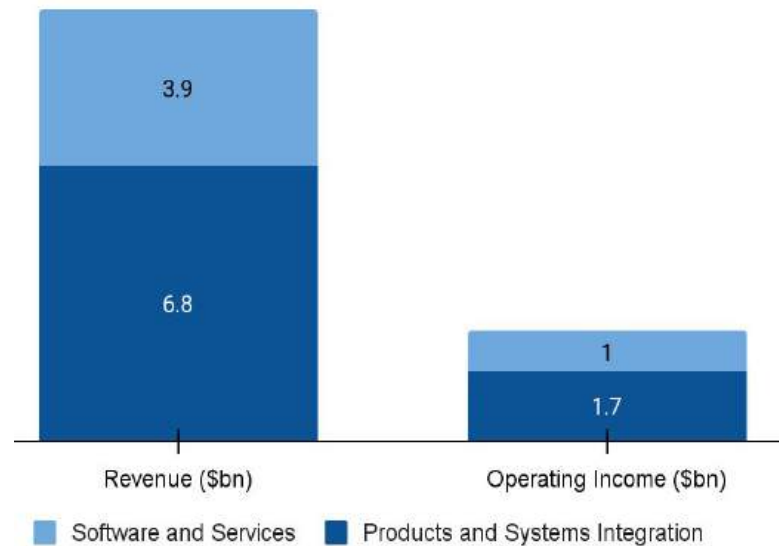


Motorola Solutions: Very active in acquisitions to add product lines and capabilities and has been critical to its growth



Acquisitions have been a big part of Motorola's transformation. I consider three factors to be critical to our success in acquisitions: (1) Disciplined focus on strategic value (2) Prudence in business case and projections (3) Dedicated post-close execution and integration - VP Strategy and Ventures

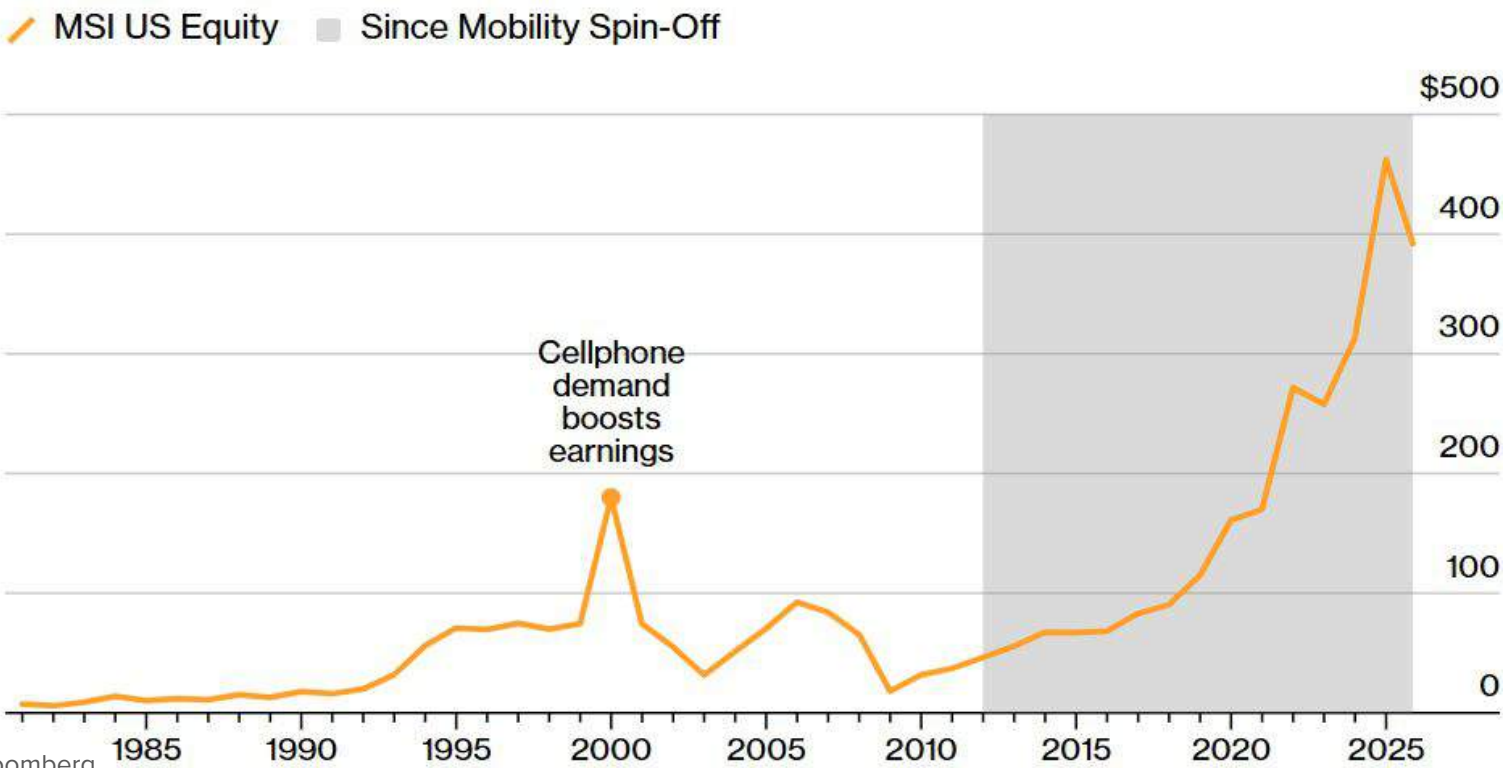
About 37% of Revenue comes from recurring Software and Services



Source: Company Reports

Motorola Solutions: The Pivot has been successful for investors with further tailwinds due to increasing global spends on security and safety

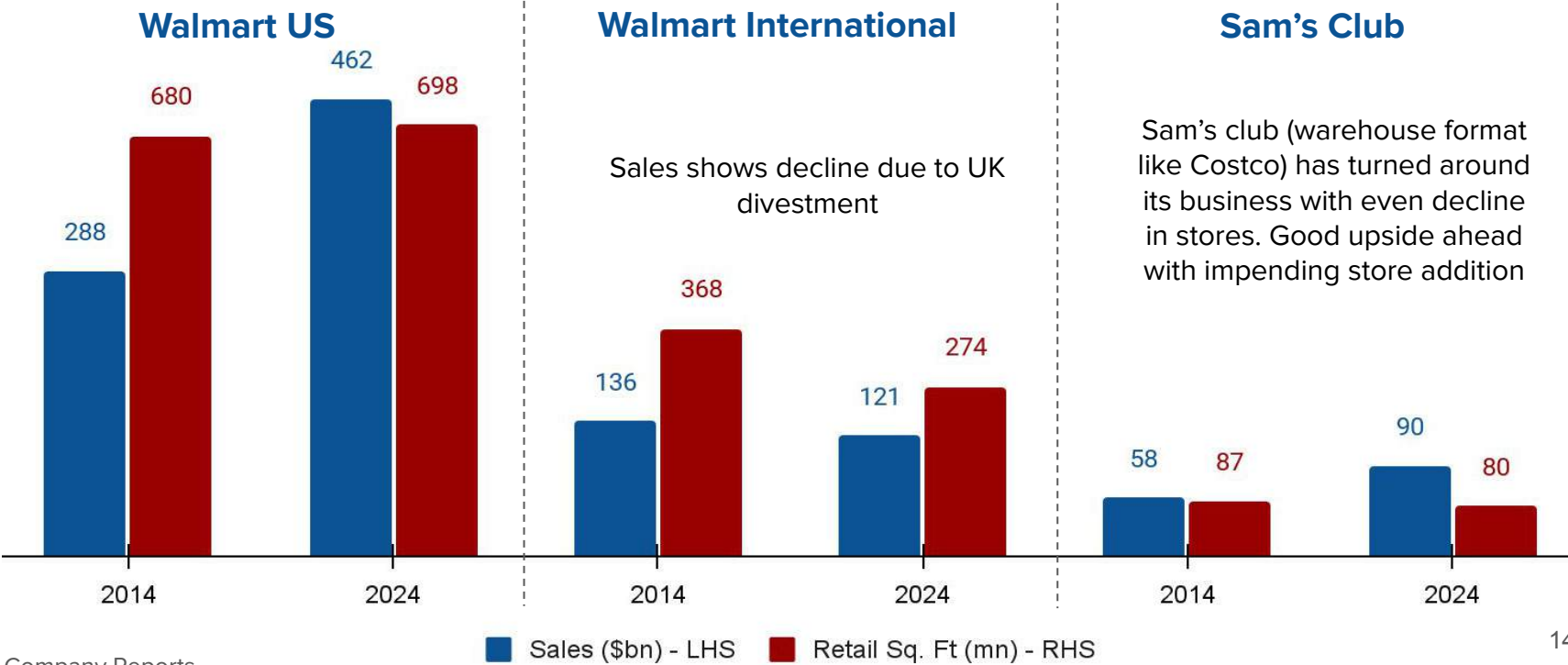
Motorola Solutions' Investor Return Tops 1,000% Since Split



Source: Bloomberg

Walmart: A transformed business for the future. Decline in total stores and sq.ft.
E-Commerce sales is \$121bn. Total Revenue \$672bn

Walmart has reduced total stores and retail sq.ft yet has increased total sales significantly. (1) E-Commerce has given very good gains. (2) In formats like Sam's Club, Walmart is doing much better operations today



Source: Company Reports

Walmart: Profit model is also changing. 37% of Operating Income generated from Membership and Ads. Ads expected to grow fast

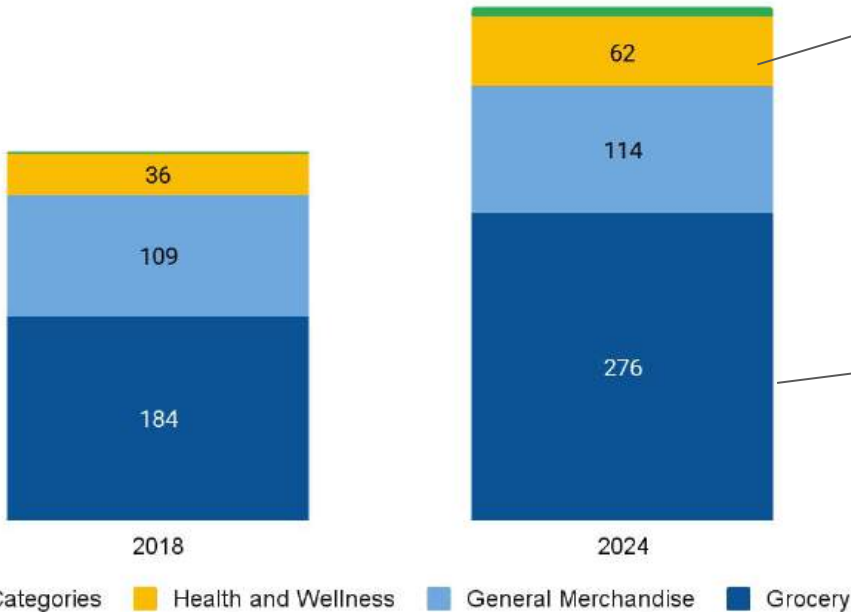
Walmart Margin Comparison 2024 vs. 2014



Total Operating Income	\$29.3bn
Membership and Other income	\$6.4bn
- Walmart Membership	\$4.1bn
- Sam's Club Membership	\$2.3bn
Advertising Revenue	\$4.4bn
Membership and Ads share of revenue	37%

Walmart has played to its strengths in Grocery with improving E-Commerce value proposition. Health is a new growth driver

Walmart US Segment-wise sales \$bn



Source: Company Reports

Walmart offers pharmacy, certain health services within stores

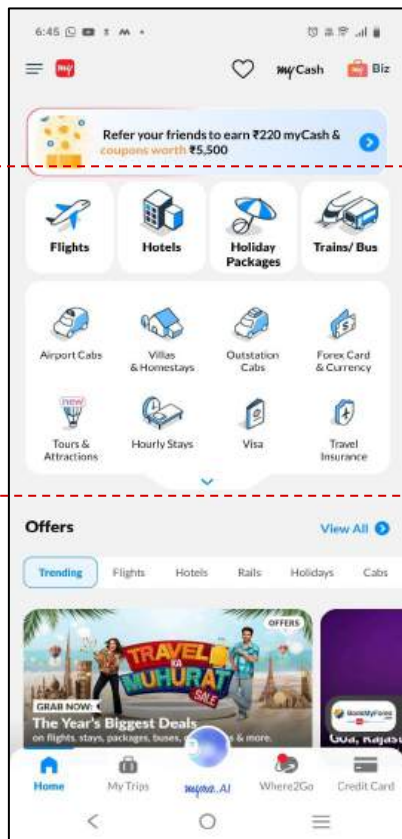


Walmart+ members reportedly drove half of total spend on e-commerce



Walmart has been significantly expanding its 3-hour delivery

MakeMyTrip - dominates India online travel market (\$8bn market cap)



MakeMyTrip is like a super app for all the major travel segments

MakeMyTrip is the biggest online travel player in India founded way back during the dotcom bubble

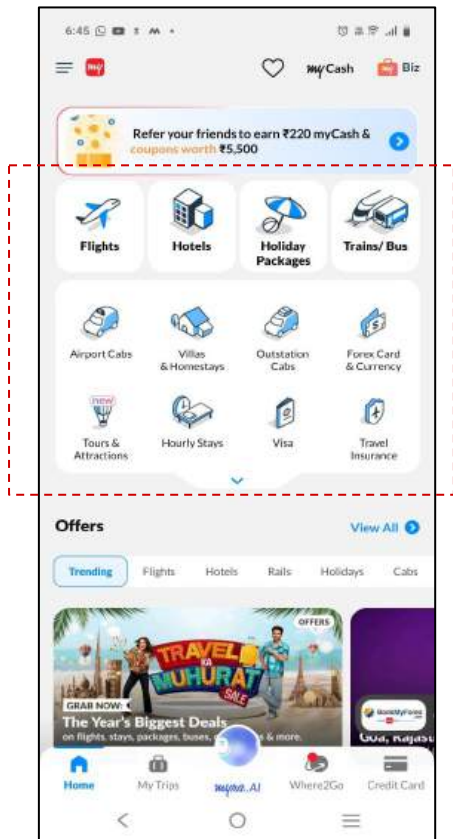
During the dotcom bubble, with very less internet penetration in India, it found its initial customer base among the Indian expats living abroad

It expanded from flights to hotels aggressively in the 2010s and acquired Redbus, a startup that offered bus ticketing

Today it is the market leader in all the three big segments - Air, Hotels and Bus with a combined gross bookings of about \$10bn

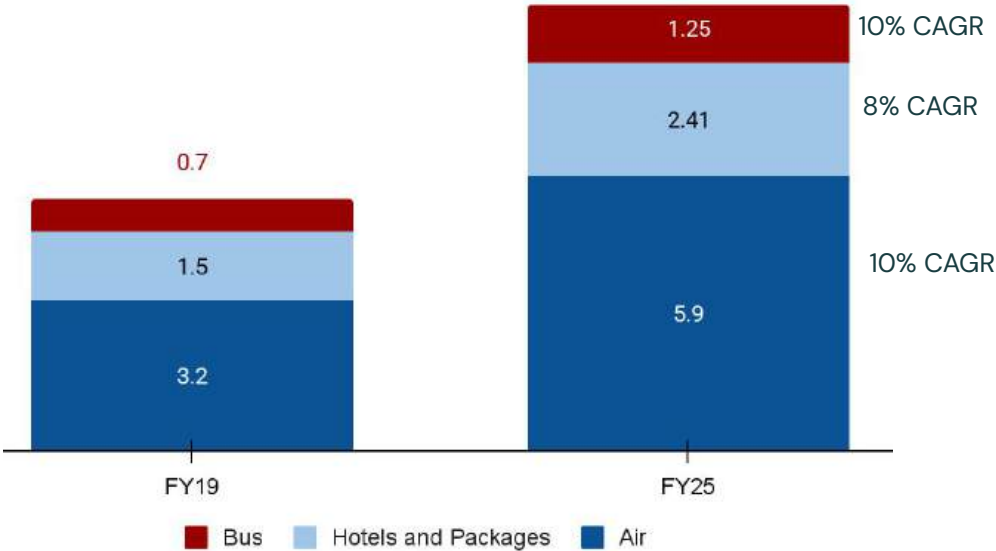
MakeMyTrip has become like a super-app for Travel in India

MakeMyTrip - dominates India online travel market with more than 50% market share in Gross Bookings



MakeMyTrip is like a super app for all the major travel segments

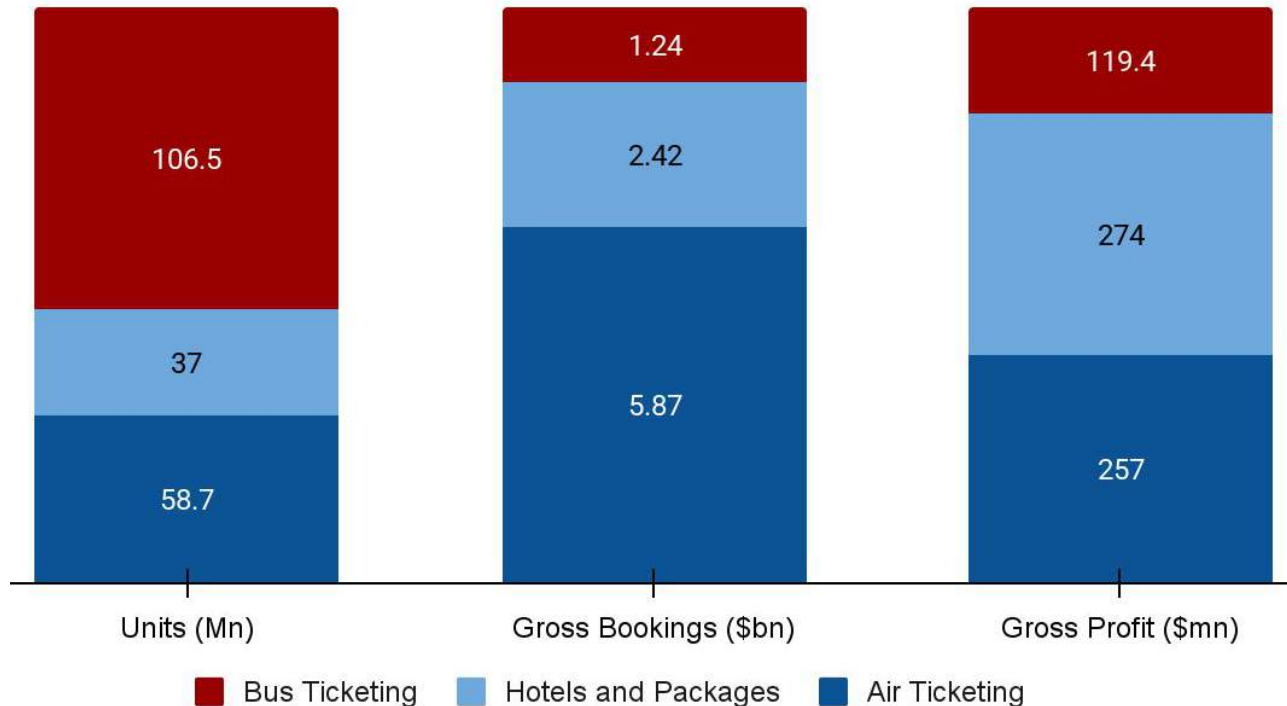
MMT Gross Booking by Segment (\$bn)



Sources: Annual Reports

MakeMyTrip - more Gross bookings comes from Air Travel while hotels is most profitable

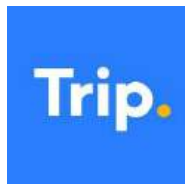
MMT Operating and Financial Metrics FY25 - Segment Mix



Flights and Bus Ticketing drives traffic to MakeMyTrip and profits are made by cross-selling Hotels

Highly profitable China-based Online Travel Giant **Trip.com** (\$45bn market cap)

Trip.com operates 4 major brands is present in 50 countries



Trip.com after a deep hit in Covid has bounced back last year. There is a growing high-margin ads business



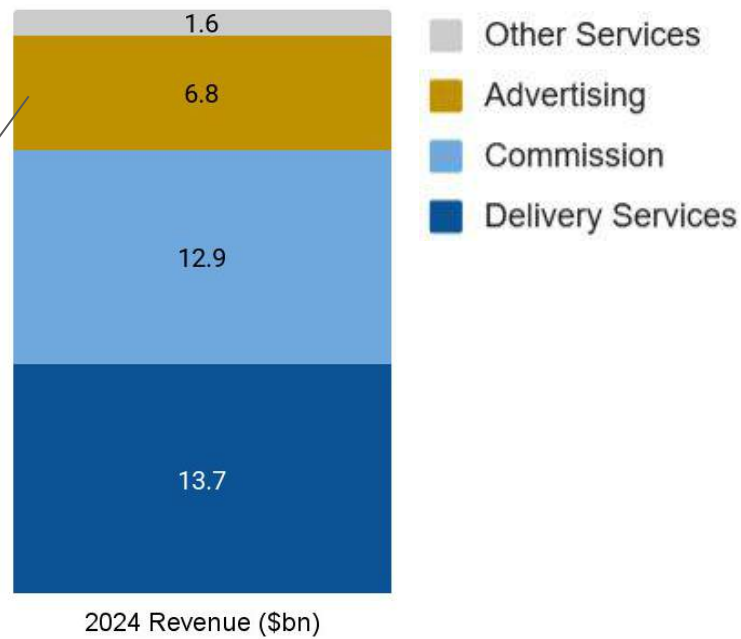
Meituan, the Chinese Online Food Delivery Giant makes most of its operating profit from advertising (\$80bn)



Customers can order food delivery, Grocery,, book hotel tickets, cabs, courier services and a lot more on Meituan app

Total Operating Profit for Meituan in Core China Commerce was \$7.3bn indicating a big share of profit came from high margin ads revenue

China Local Commerce Revenue only



2024 Revenue (\$bn)

Ulta Beauty: Revolutionizing Beauty retail with one stop destination for all Beauty brands and services instead of distinct channels

Prevailing model for Beauty was three distinct channels - Mass (Drug Stores), Prestige (Department stores) and Salon services



Ulta Beauty offers one-stop destination for all brands and salon services



Ulta Beauty offers unmatched store assortment (29000 SKUs) from mass to prestige brands and services



Ulta Beauty has brought together mass and prestige brands under one roof

It offers salon services and 'Brow Bar' services at stores

It offers private brands as well (Ulta Beauty Collection)



Ulta Beauty does \$11bn in sales and does about 39% in Gross margins and about 14% in operating income

It operates around 1450 stores. Stores are typically 10,000 square feet and have 950 square feet of space dedicated to salon services

The company claims to have a 9% share in the fragmented beauty market

Cosmetics is the biggest category with 40% of sales

Ulta Beauty's Loyalty Program is a key differentiator. 95% of sales comes from members

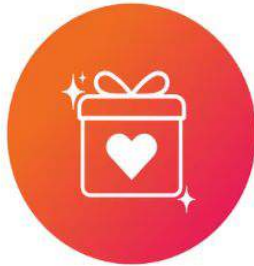
Free beauty, free beauty servicest, free to join

What's not to love?



Earn points on every \$1

Rack up points on every purchase.



Birthday perks

Choose from a selection of available gifts!



Bonus points offers

Activate them in the app.



Treat yourself

Turn your points into \$ off a purchase at Ulta Beauty†.

Ulta Beauty Rewards has about **45 million members** and is an earn-based loyalty program

There are three tiers: Member (anyone can join), Platinum (\$500 spend), Diamond (minimum \$1200 spend)

Higher tiers earn more points. Diamond members spend on average \$1700 per year

Points can be redeemed at stores without any limits

Mixue - Ultra-low cost Food Chain in China (45000+ stores, \$6.5bn system sales)



Mixue is a China-based food chain that serves ice cream and tea and is the world's largest food chain by number of stores

It is mostly based in China but is aggressively expanding overseas especially in south-east Asia

Mixue aggressively competes on price and broke into the market first with the 1 yuan ice cream but it struggled in winter seasons

To ensure year-round sales, it sells both ice cream and tea. Both are available today at a price point of \$1

Mixue has a 'heavy backend and light frontend model' - heavily vertically integrated at the backend and sells via franchisees (the frontend)



Mixue to get a cost advantage vertically integrates heavily at the back end - growing its own fruit, producing the foods, using own warehousing and transportation

It sells to customers via franchisees

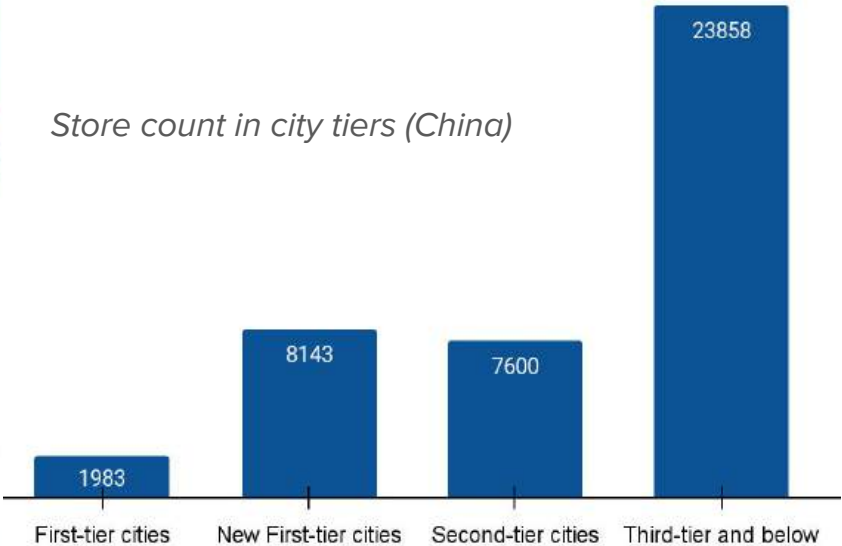


Mixue has unparalleled reach and appeal due to its price proposition

Mixue's price proposition makes it appealing to customers in all city tiers and gives unparalleled reach

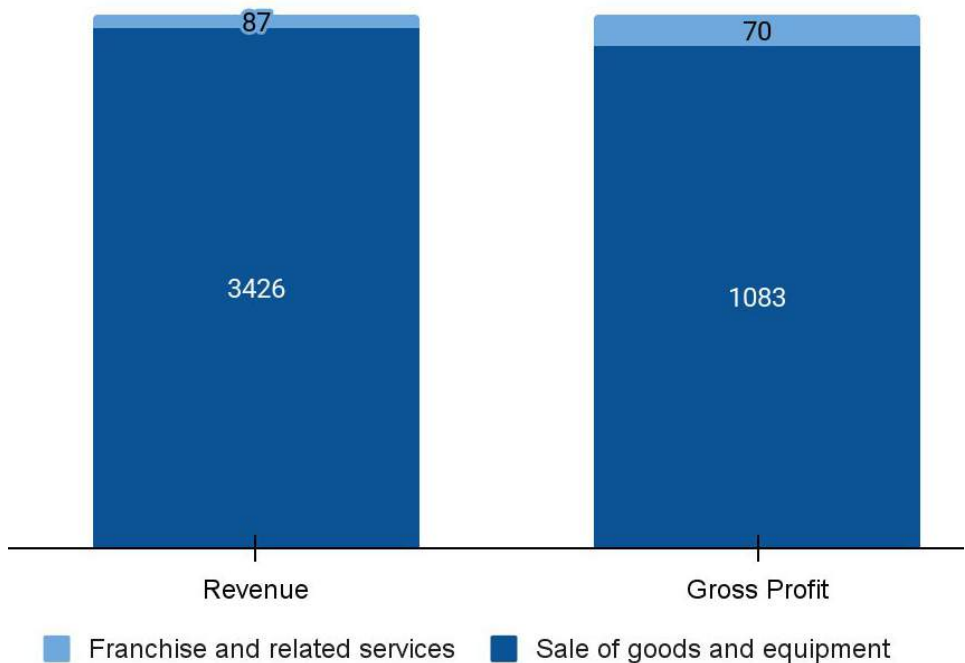


Store count in city tiers (China)



Mixue (unlike most franchise models) makes most of its money from sale of goods and equipment to the franchisees rather than from royalty fees

Mixue Revenue and Gross Profit (\$mn) 2024



Source: Company Reports

Mixue manages to make 31.4% Gross Profit due to its vertical integration and efficient logistics



Zudio - Fast growing Fast-Fashion Brand in India with great value - all items under Rs. 999 (~\$11)



Zudio is owned by Tata Group company Trent and was launched just in 2017.

After slow and steady expansion in the early years, the brand has grown at a frenetic pace post-Covid

The brand offers trendy clothing at sharp price points (everything under Rs. 999) with frequently changing styles

Today the brand operates 765 stores in 235 cities and has surpassed the previous flagship brand of Trent, Westside which has 248 stores in 86 cities.

The sharp price points have enabled Zudio to find very good success even in Tier 2 cities

Zudio has overtaken flagship sister brand Westside in store count and is driving sales for parent Trent Ltd.

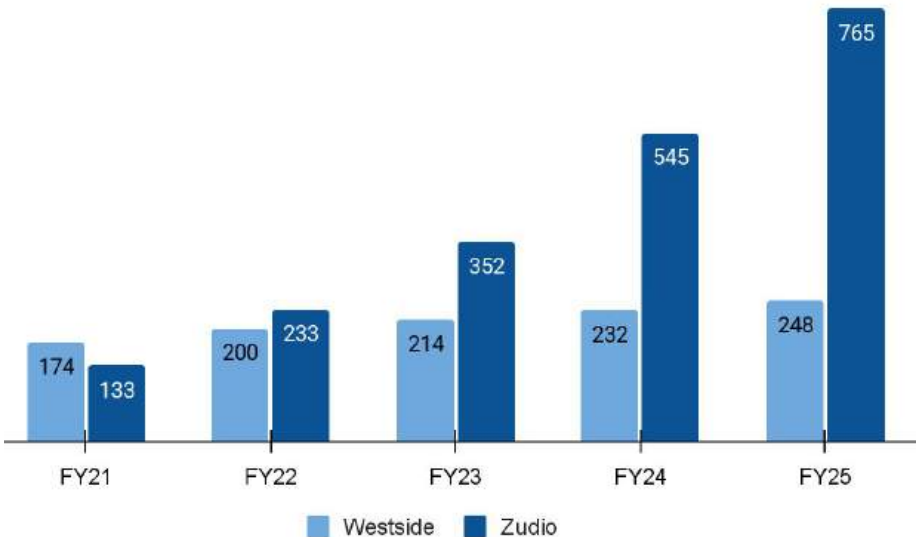
Limited but Fast Changing Styles

Sharp price points (all under Rs. 999)

Premium looking stores

100% private label

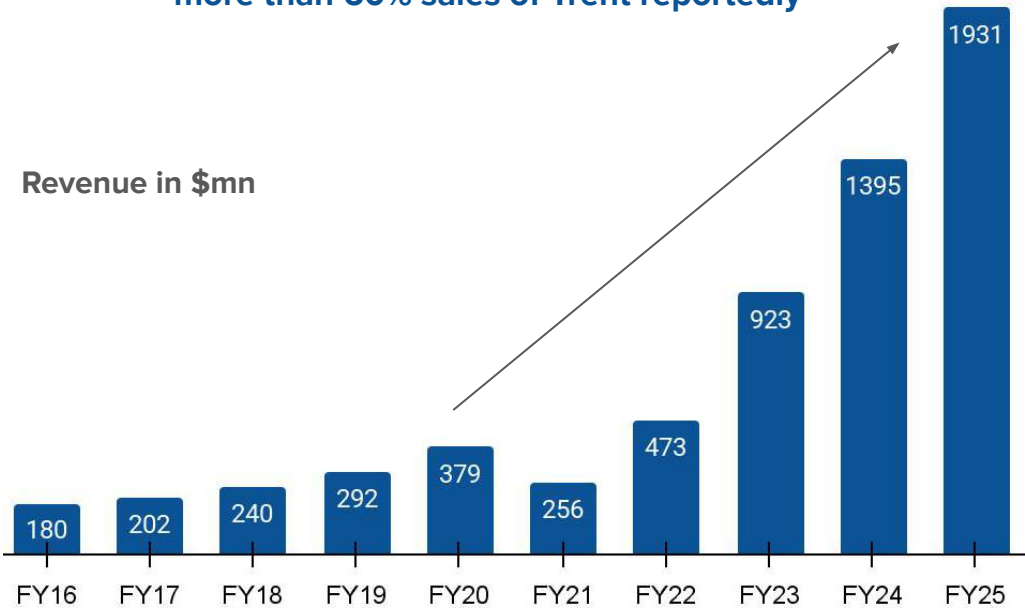
Despite starting much later, Zudio today has overtaken in store count (below) and contributes the most to Trent sales



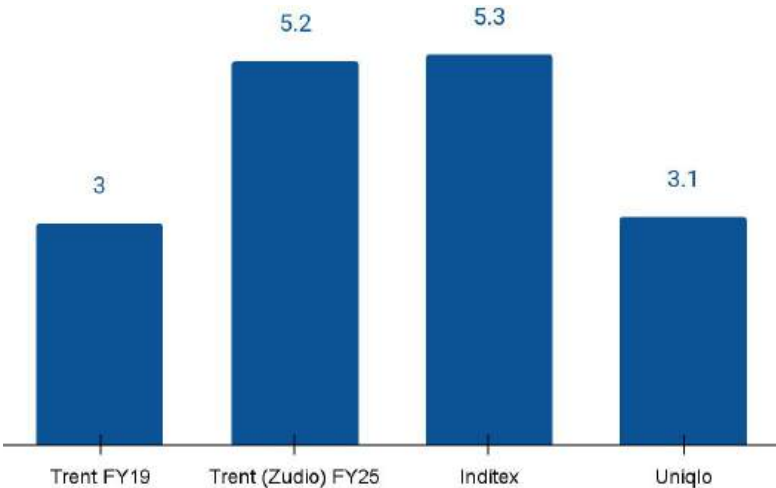
Trent (parent company of **Zudio**) is doing very brisk sales due to Zudio. Its operating metrics are best in class

Trent (parent company) sales have taken off in the last four years on the back of Zudio growth. Zudio contributes to more than 60% sales of Trent reportedly

Revenue in \$mn

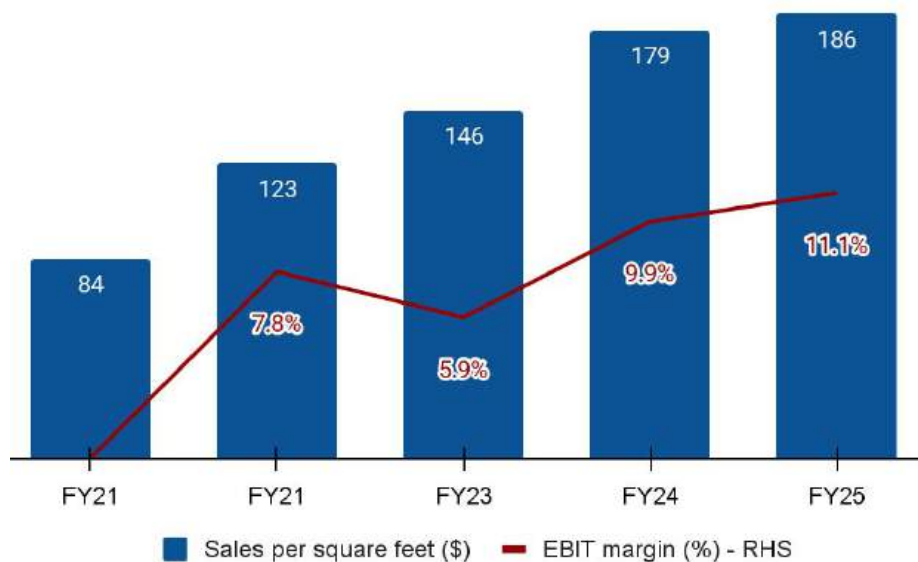


Zudio Inventory Turnover Ratio is best-in-class and is comparable to Inditex (Zara parent) 2024

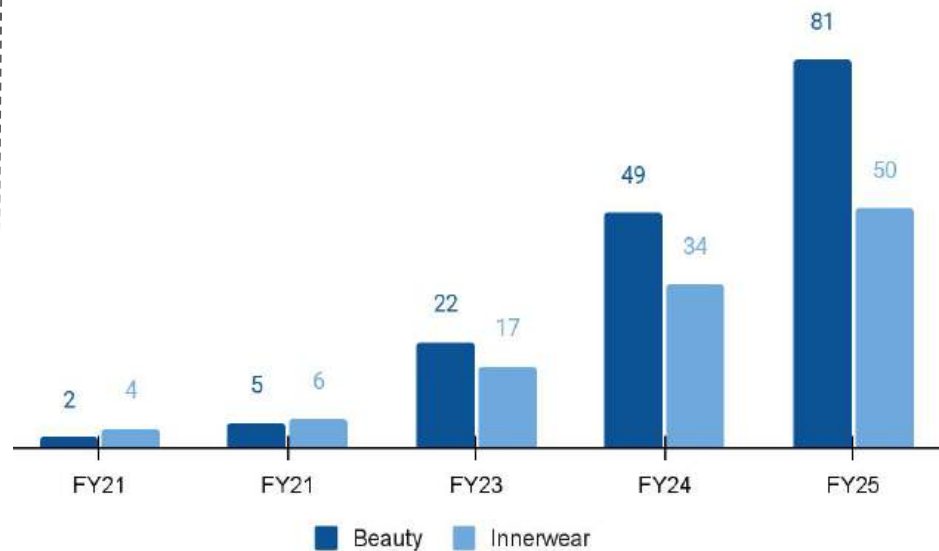


Zudio has significantly improved profitability. Its sales per square foot is double that of peers in India. It is now managing to grow non-Apparel categories within its stores

Zudio Sales per sq.ft and EBIT Margin %



Zudio Emerging Categories sales (units mn) - they are contributing to 20% of sales



Pop Mart - building a smarter version of the Beanie bubble



Pop Mart is a toy retailer based in China that is one of the fast growing companies in the world

It is expected to do revenues of more than \$4bn in 2025 up from just \$882mn in 2023!

Pop Mart focuses on its own IP of toys including the current range of Labubu Toys that it co-develops or licenses with independent artists

The company has various channels that it owns - offline retail stores, e-commerce platform, vending machines and a small wholesale operation

Pop Mart - The company's success comes from the full focus on 'Blind Box' model format with deliberately limited supply which drives social media virality

In blind box format, customers do not know the exact toy that they are getting. This adds a sense of mystery and anticipation



SECRET EDITION

Chestnut Cocoa

The probability of drawing the-secret figurine in this series is **1/72**.

SINGLE BOX

One figurine per blind box

Each regular figurine with odds **1/6**.

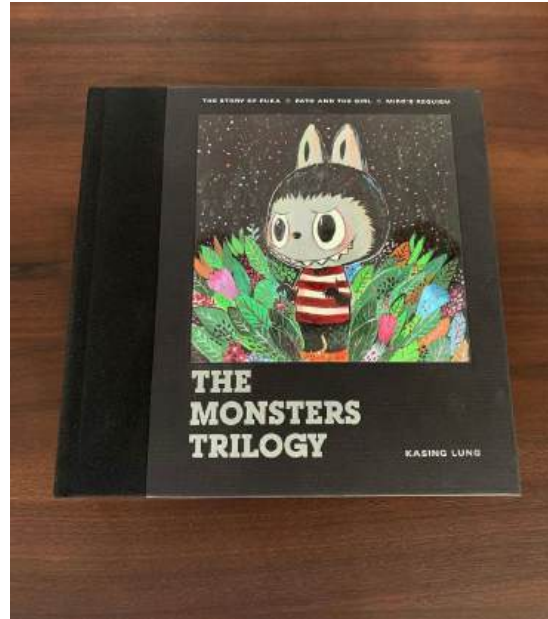


WHOLE SET

The whole set contains **6 blind boxes** (no repetitions).



Pop Mart licenses IP from independent artists and further develops them. Its deliberate scarcity creates FOMO and Social media virality and high premiums in resale market

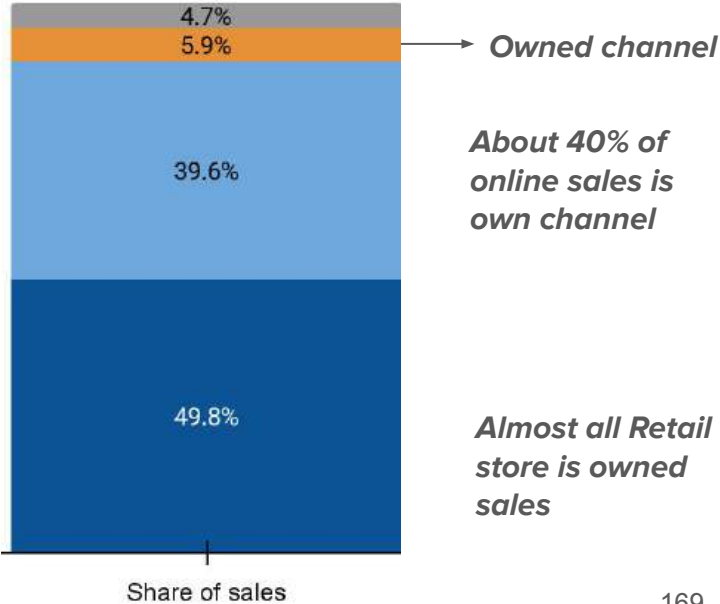


Pop Mart - The company's success comes from the focus on 'Blind Box' model format with deliberately limited supply



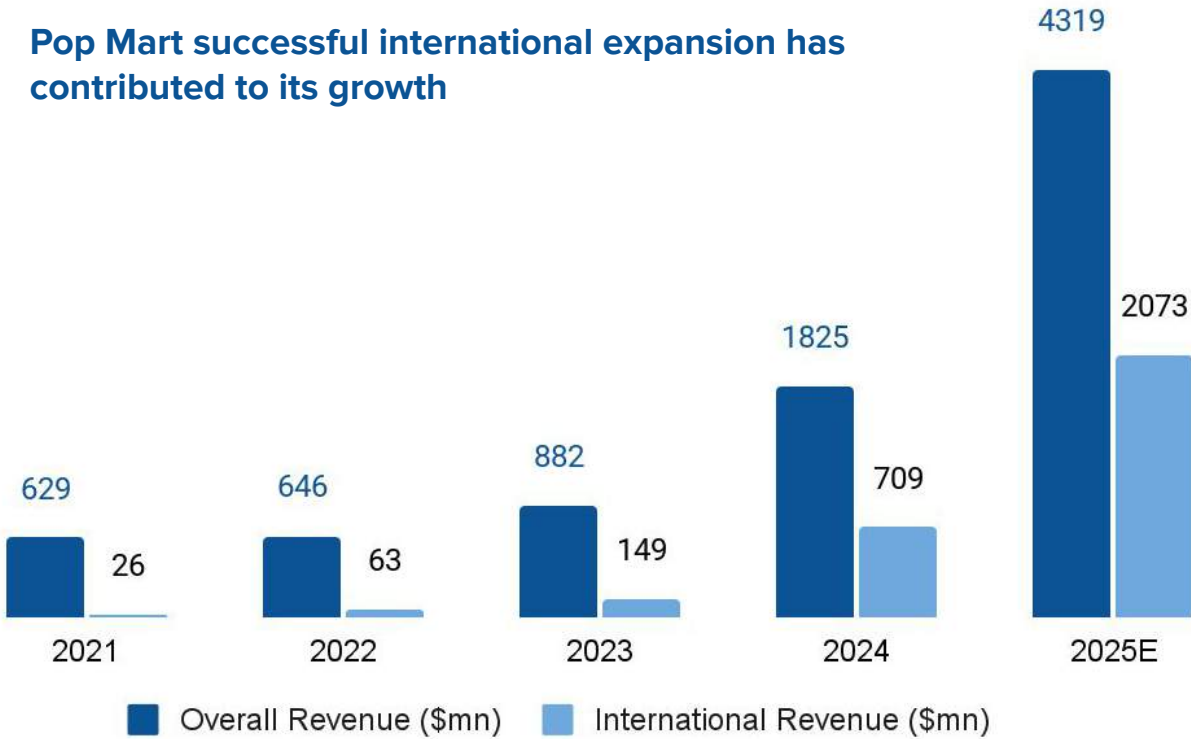
- Wholesale
- Roboshop
- Online
- Retail Store

Pop Mart controls distribution through variety of channels including roboshops (vending machines)



Pop Mart has seen huge success from international expansion. But questions on sustainability of maintaining sales remain

Pop Mart successful international expansion has contributed to its growth

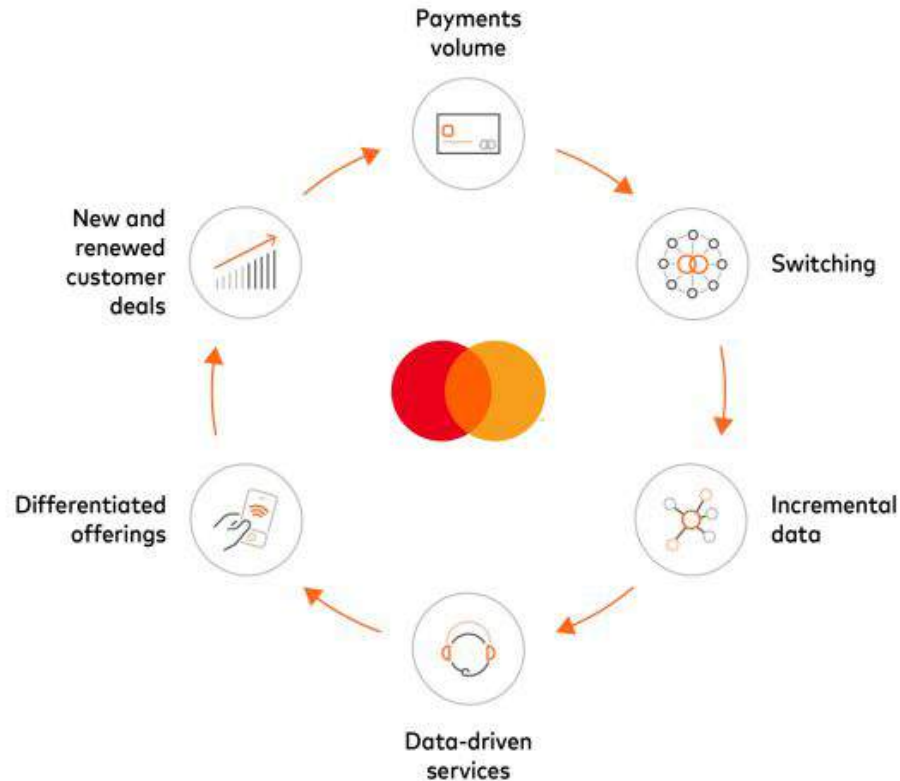


Pop Mart maintaining its success depends on how many of its customers are true fans of its IP

If customers are mainly hype chasers and resellers (who want to take advantage of resale premiums on its scarce product) then Pop Mart will struggle

There is also danger of the novelty of the Blind Box format itself wearing off

Mastercard - Value-Added Services a big new revenue stream



Mastercard is one of the two biggest global payment network providers present at 250 million digital access points globally and available in 150 currencies in 220 countries

Mastercard facilitates \$9.8 trillion in Global payments volume (what it calls GDV or Gross Dollar Volume) and 160 billion transactions

There are close to **3 billion Mastercard branded cards worldwide!**

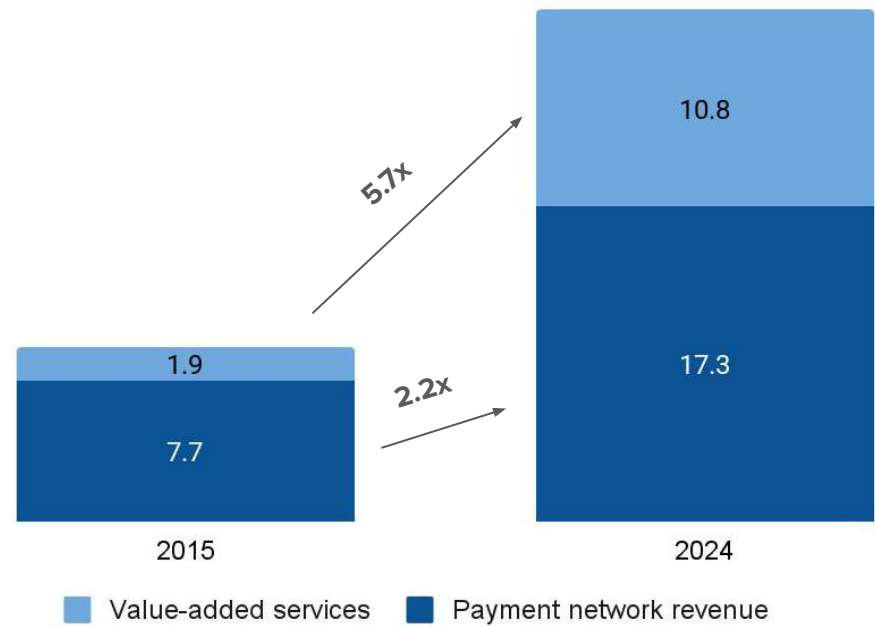
The company does about \$28bn in revenue and has a market cap of \$500 billion

Mastercard has very deep moats due to its strong network effects, Brand and scale

Mastercard's transactions give it a goldmine of data that it monetizes via value-added services

Mastercard - Most of the growth in the last decade has come from Value-Added Services

Mastercard Segment Revenue (\$bn)

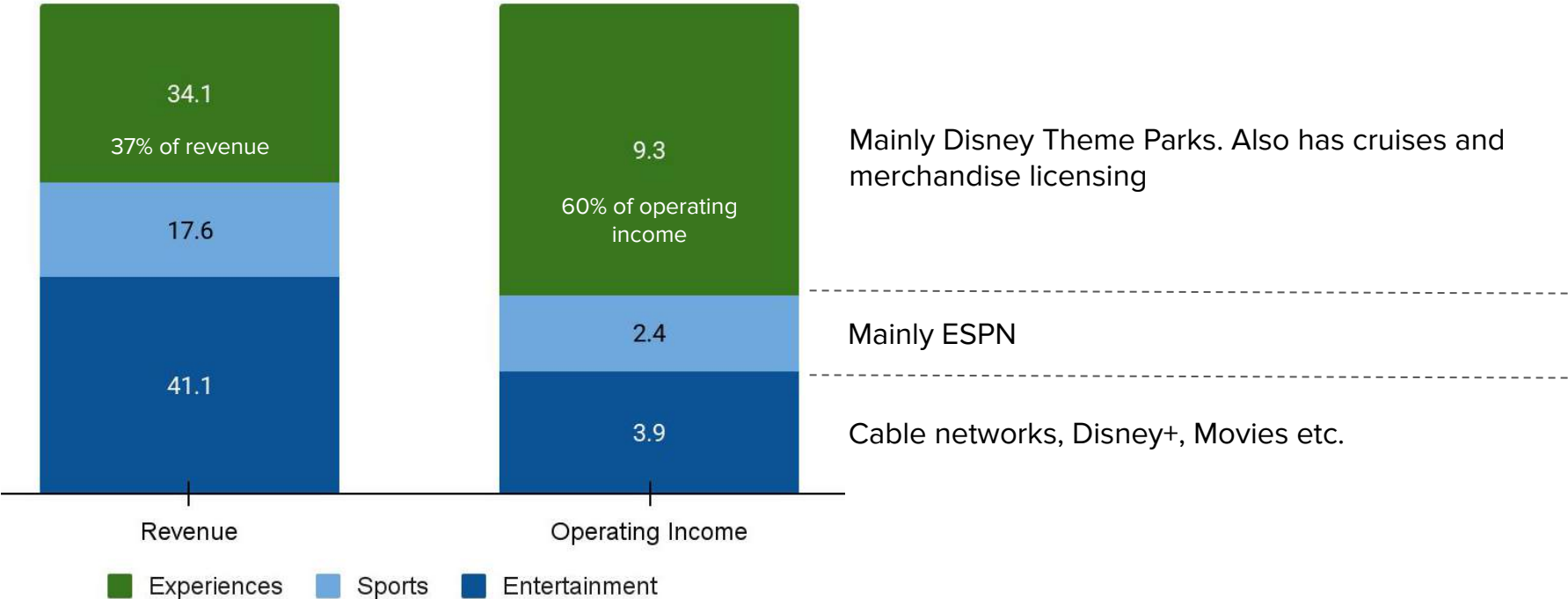


Mastercard's Data and Relationships help to monetize via value-added services

- Security Solutions
- Customer Acquisition and Engagement Services
- Business and Market Insights
- Digital and Authentication Solutions

Disney (\$90bn revenue) - makes most of its operating income from Theme Parks and Experiences

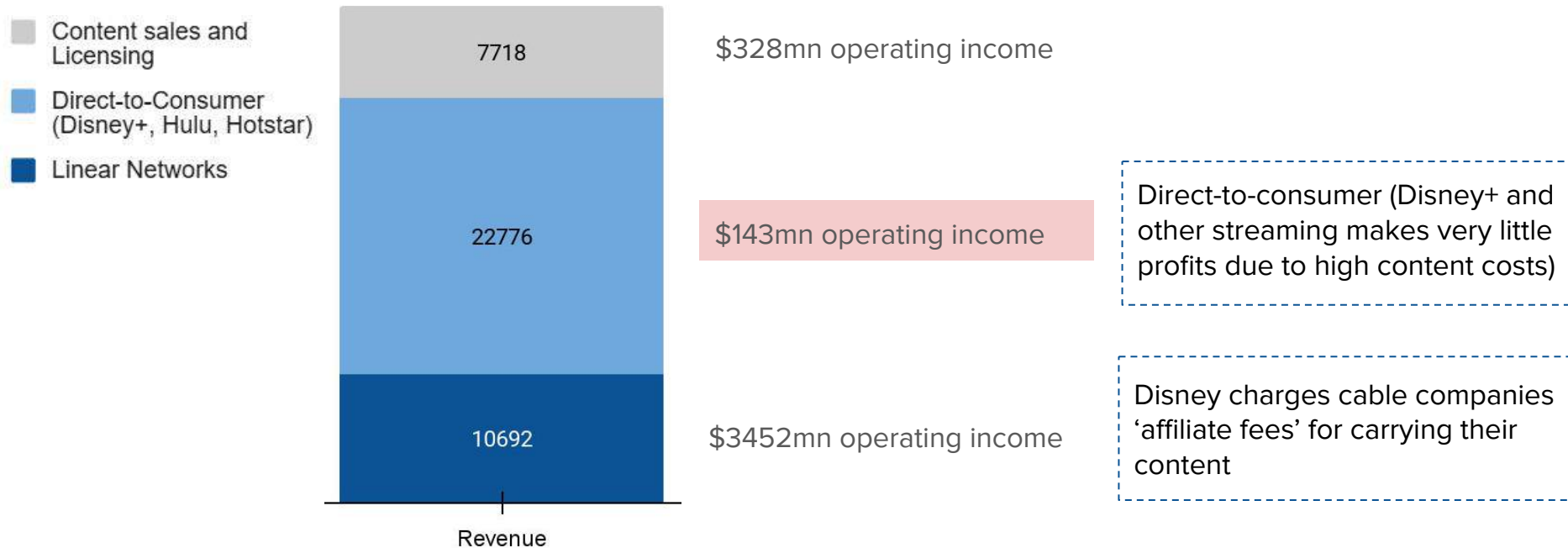
Disney Segment wise Revenue and Operating income (\$bn) - 2024



Source: Company Reports

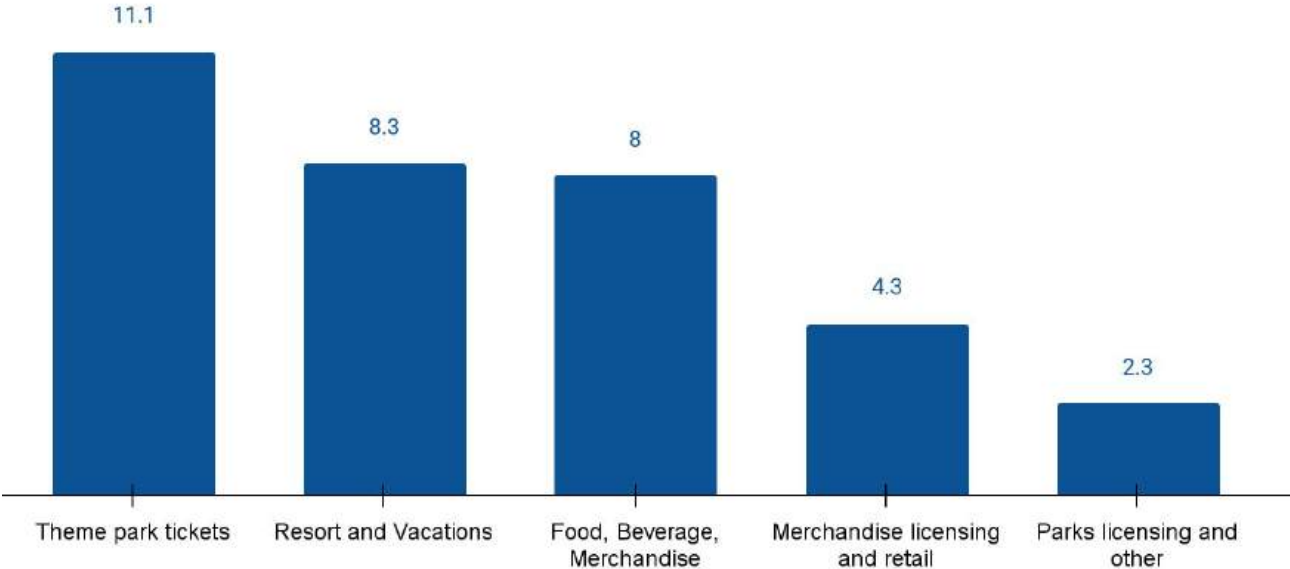
Disney Entertainment - Linear networks (which are run on cable) still highly profitable but Disney+ Streaming barely makes money due to high programming costs

Disney Entertainment Segment Revenue (\$mn)



Disney Theme Parks (segment called Experiences) contribute to most of the profits for parent company and is highly profitable

Disney Theme Parks and Experiences sub-segment revenue (\$bn)



99Speedmart - Malaysian 'mini-mart' Grocery giant



The founder Lee Thiam Wah is a polio survivor and has been wheelchair bound for most of his life

99SpeedMart is one of the biggest grocery retailers in Malaysia

It operates neighbourhood convenience stores with the **tagline Near'n'Save emphasizing both the convenience and the low-cost nature of its stores**

It does about \$2.4bn in revenue with a market cap of more than \$7bn

The company operates more than 2600 stores with lower penetration in the North East part of the country

It holds **40% market share among 'mini-mart'** convenience retailers and 11% of the overall Malaysian grocery market

99Speedmart - It focuses on essentials with just 3000 SKUs in its stores and offering low cost to customers. Typical store size is 2000 to 3000 sq.ft

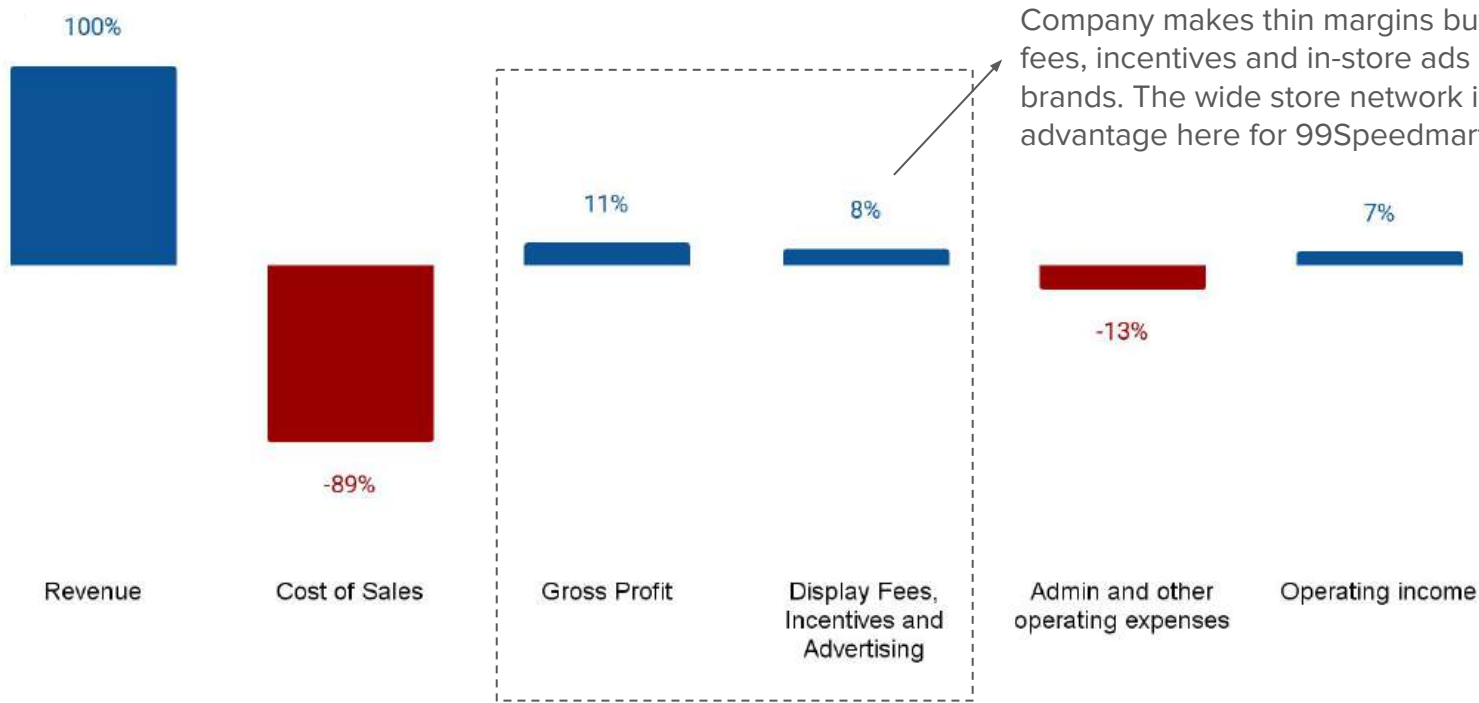


73% sales comes from Food and Beverages and 12% from Personal Care and Baby Care Products

With its sharp assortment and prices, 99Speedmart is able to hold against global players like 7-Eleven

99Speedmart - makes very little Gross margins and makes all of its money from Display Fees, incentives and advertising fees

99Speedmart P&L (% of Revenue) 2024



Company makes thin margins but earns display fees, incentives and in-store ads revenue from brands. The wide store network is an advantage here for 99Speedmart

FirstCash Holdings - The \$7bn Pawn Shop-cum-Retail Giant in US and Latin America



FirstCash Holdings is the leading operator of pawn shops in the US and Latin America

It operates in 29 states in the US and in Mexico, Guatemala, El Salvador, Colombia

It has more than 3300 store fronts in its network which are typically neighbourhood based retail locations.

The company typically accepts as collateral jewelry, electronics, sporting goods, musical instruments and others and makes short-term small loans typically \$100-\$300

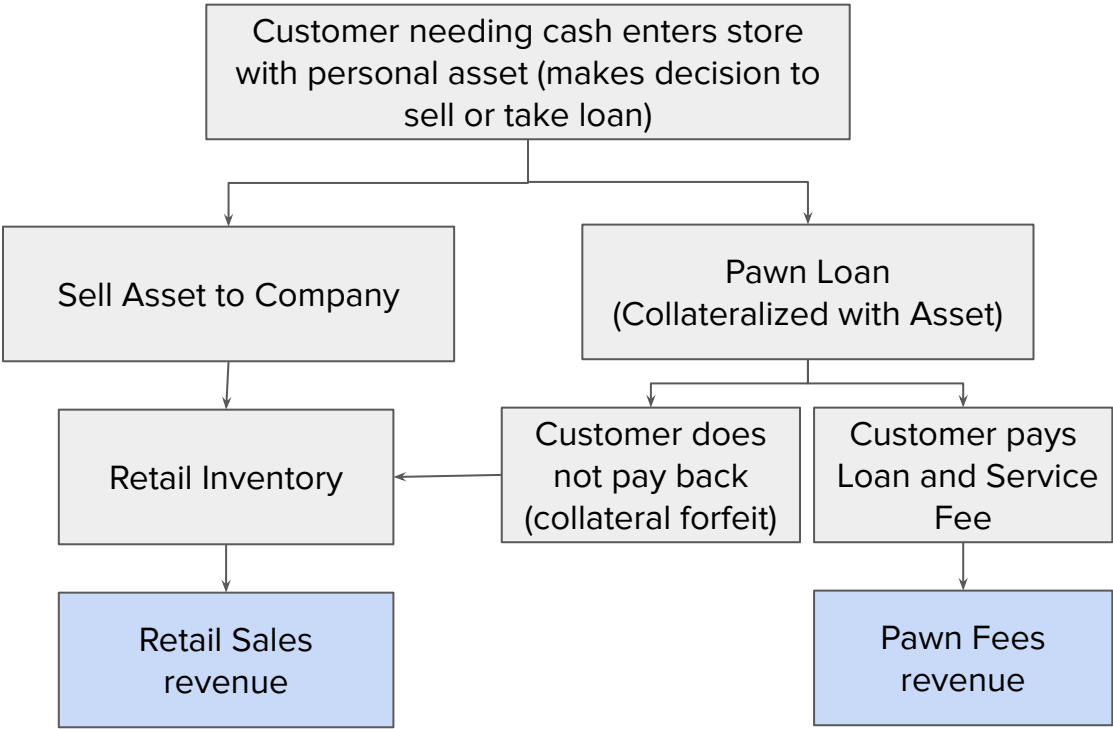
It does a revenue of about \$3.4bn and has a market cap of about \$7bn and is one of the best performing stocks of all time

Pawn loans continue to thrive for various reasons. About half of the revenue for **FirstCash** comes from selling off the collateral to other customers

Why Pawn Shops Thrive

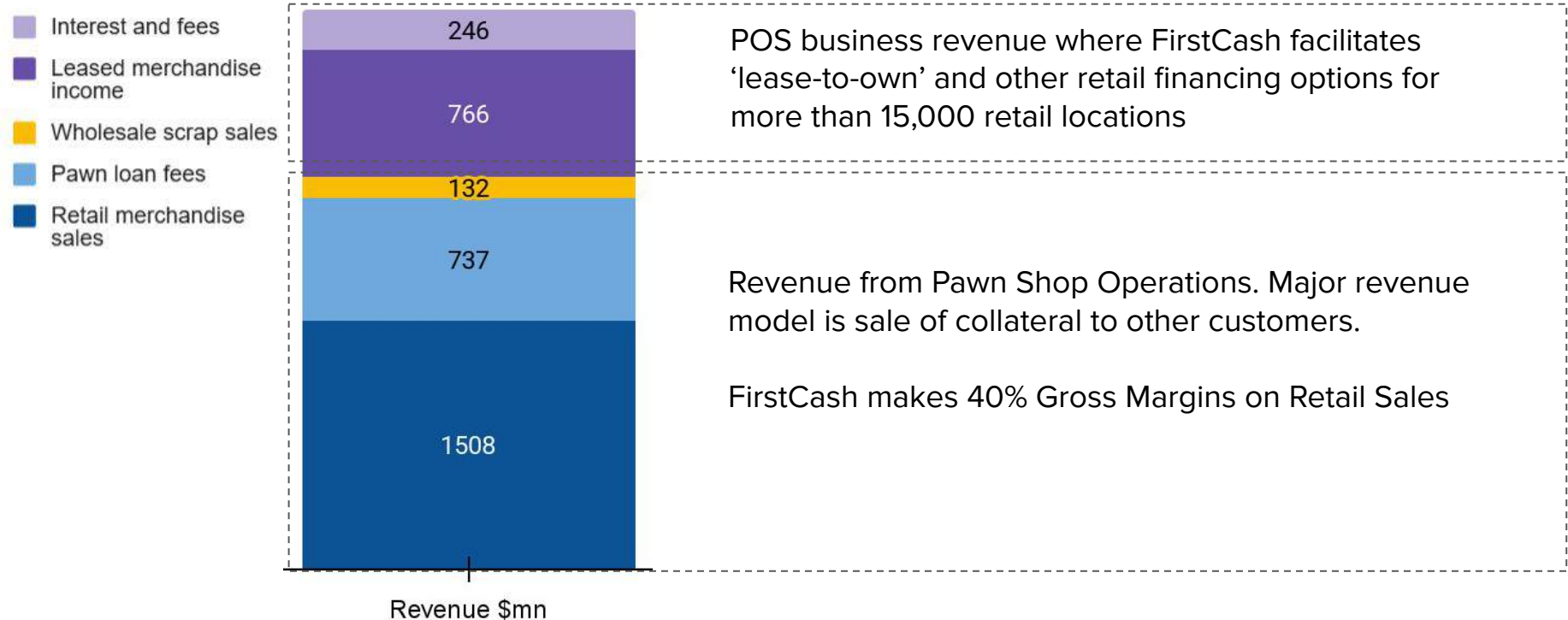
- Loans with non-recourse and with no credit check or bank account required
- No reporting to credit bureaus
- Accepts variety of items as collateral
- Small loan sizes of \$100-\$300 typically and is immediately available. Transaction time is less than 15 minutes
- For the pawn stores, fully collateralized and hence limited credit risk

What happens at FirstCash (Business Model)



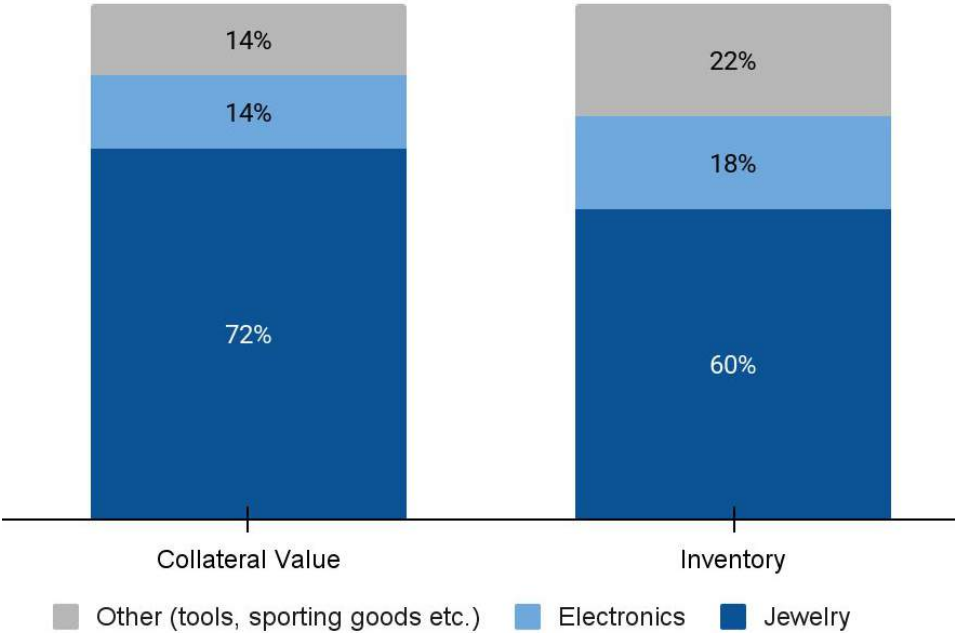
Major revenue comes from Retail operations (selling the defaulted collateral back to other customers). **FirstCash** also has a POS business that facilitates loans for other merchants

FirstCash Revenue by Segment (2024)



FirstCash has a data advantage from its annual 13 million retail transactions which help in the right pricing of collateral for borrowers as well as buyers

What is pledged as collateral (2024)



The Pawn Shops double up as Retail Stores for other customers

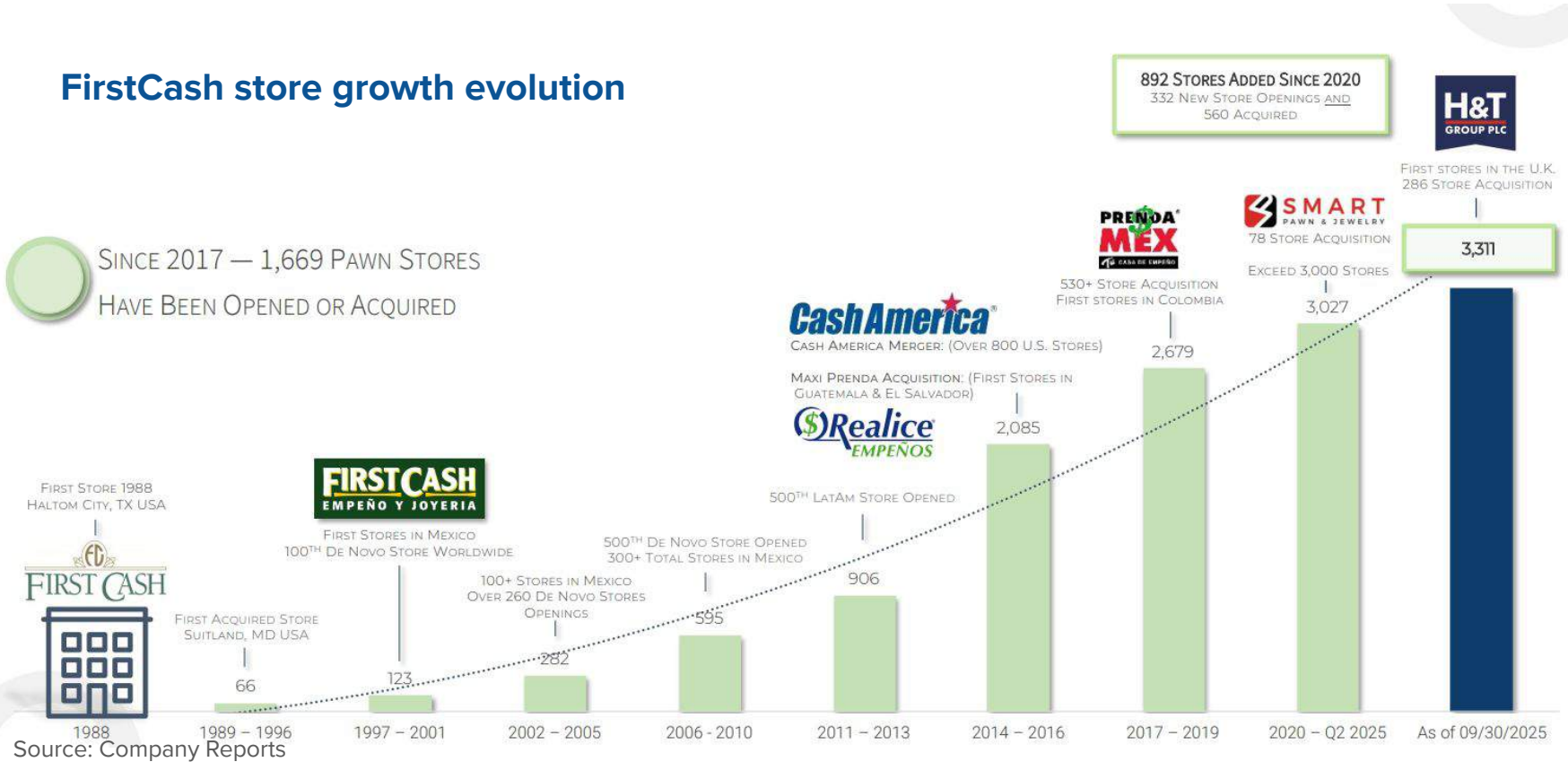


FirstCash has been able to acquire and consolidate Pawn Shops operations.

Significant opportunity to continue to grow via acquisitions

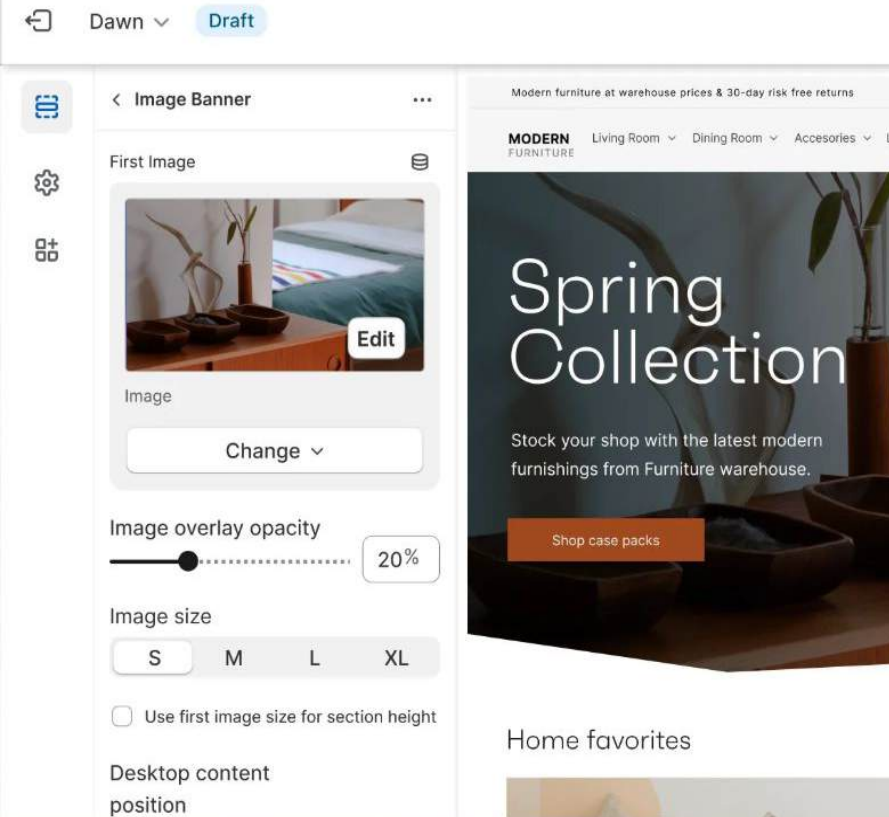
FirstCash store growth evolution

SINCE 2017 — 1,669 PAWN STORES
HAVE BEEN OPENED OR ACQUIRED



Source: Company Reports

Shopify - The ~\$9bn revenue business that went from e-commerce website builder to enabling end-to-end commerce for merchants (\$200bn market cap)



Shopify for many years was an easy solution for smaller merchants to build and launch their own e-commerce website and apps

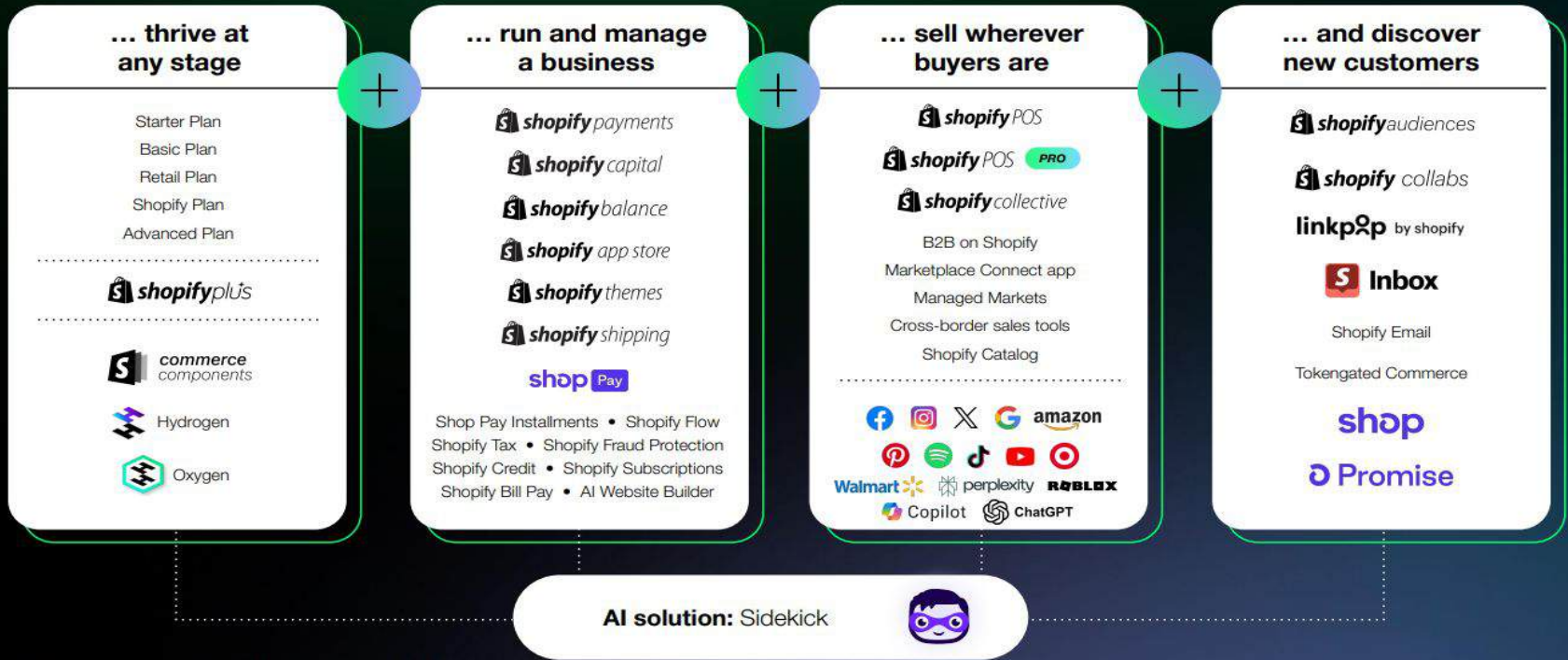
Typically websites can be built within minutes without requiring any skill by using thousands of available templates and themes

Shopify today has **become an end-to-end commerce solution that both smaller and enterprise merchants can use for multi-channel commerce** for everything like inventory management, analytics, marketing and growth, customer experience management

Shopify is able to do this with **integration of many third party partners and a full-fledged app ecosystem** that helps merchants with many solutions

Shopify is now an end-to-end commerce solution that allows Merchants to manage all their commerce needs from one place

With solutions that make it **easier** for merchants to...



Partner integrations are how **Shopify** has become an end-to-end commerce solution for merchants. Moat of ‘Switching Costs’

App & channel partners:

Google

Meta

amazon

Walmart

Marketplace

ROBLOX

adyen

INTUIT

Microsoft Advertising

klaviyo

yotpo.

Manhattan.

FAIRE

PIPE17

MIRAKL

coveo

perplexity

ChatGPT

Copilot

pin

sn

tk

X

o

sp

16,000+

Apps in our App Store
(December 31, 2024)

\$1.0B

Paid out in the last 12 months to
partners by Shopify for apps benefiting
our merchants (December 31, 2024)

Product partners:

affirm

Avalara

coinbase

flexport.

Global

PayPal

stripe

VERTEX

Service & technology partners:

EY

KPMG

TOTVS

IBM.

Globant

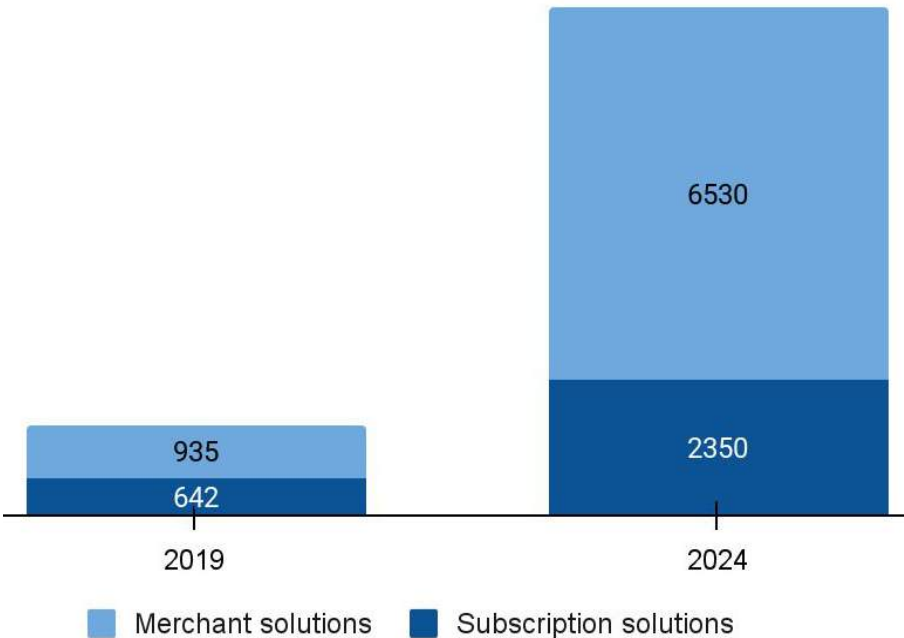
ORACLE

TECH mahindra

WPP

Shopify now increasingly makes money from ‘Merchant Solutions’ i.e. when merchants use ‘Shopify Payments’ for payments processing

Shopify segment revenue in \$mn

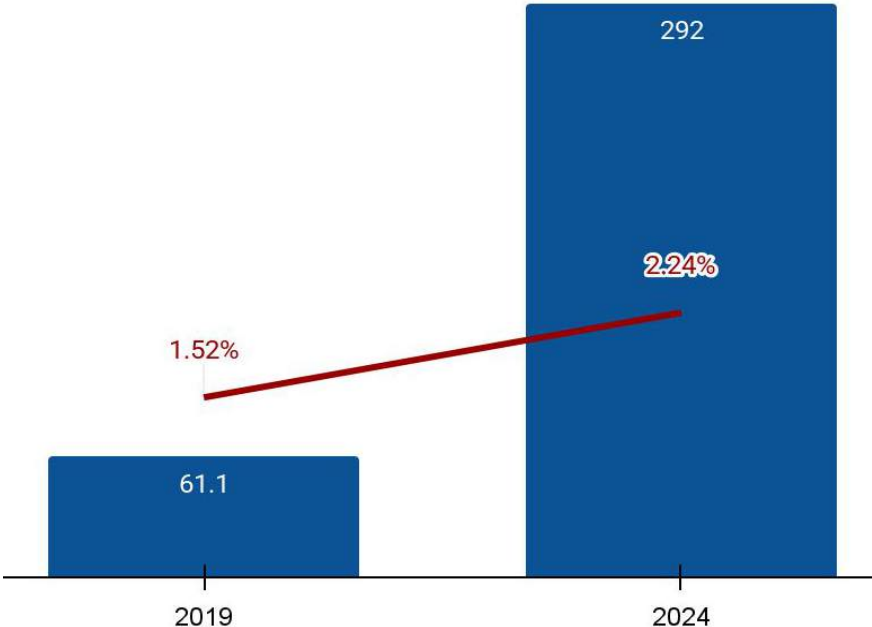


This is primarily revenue from fees charged from merchants for using ‘Shopify Payments’. Scales directly with GMV enabled. Shopify typically charges transaction fee of 2.9% + 30 cent fixed fee per transaction. (40% Gross Margins)

Subscription plans where merchants access tools to launch and manage their ecommerce (82% gross margin)

‘Merchant Solutions’ or **Shopify** Payments revenue scales with GMV enabled. Shopify is able to take a larger share in revenue today

Shopify GMV and ‘Merchant Solutions’ revenue share



‘Merchant solutions’ is mainly from Shopify Payments processing. Shopify charges merchants 2.9% + flat 30 cents for using Shopify Payments processing.

The underlying payment service provider is actually Stripe

Shopify presumably negotiates contracts with Stripe every 12 months and is able to negotiate better terms with scale

Today 62% of Shopify GMV comes through Shopify Payments. Shopify makes 40% gross margins on this.

■ GMV (\$bn) - LHS — Merchant Solutions Revenue share of GMV (%) - RHS

Coupang - Won the fragmented South Korean e-commerce market with 1P approach and 'Rocket Delivery' (\$30bn revenue)



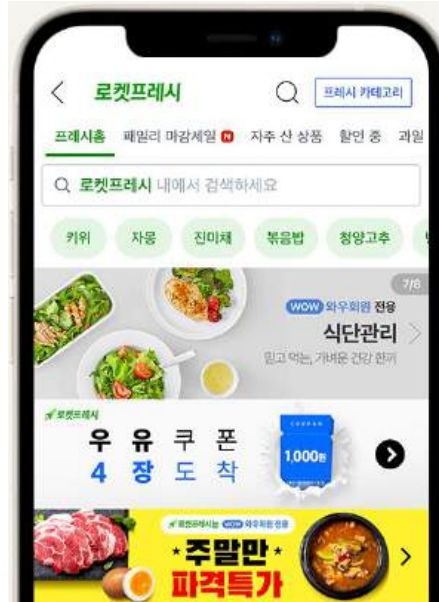
Coupang is the e-commerce market leader in South Korea

At a time when the market was fragmented and most players were taking a 3P approach (offering a marketplace platform that connects sellers and customers), **Coupang took a '1P approach'**

What it means is Coupang will buy inventory from brands and merchants and sell it themselves on the app/website

This **brought a lot of reliability in delivery to customers**

Coupang - Own Logistics and 'Rocket Delivery' was key to winning the South Korea market



'Rocket Fresh' in Coupang app for dawn delivery

Coupang won the market by offering very reliable delivery

99% of the items are delivered by next day

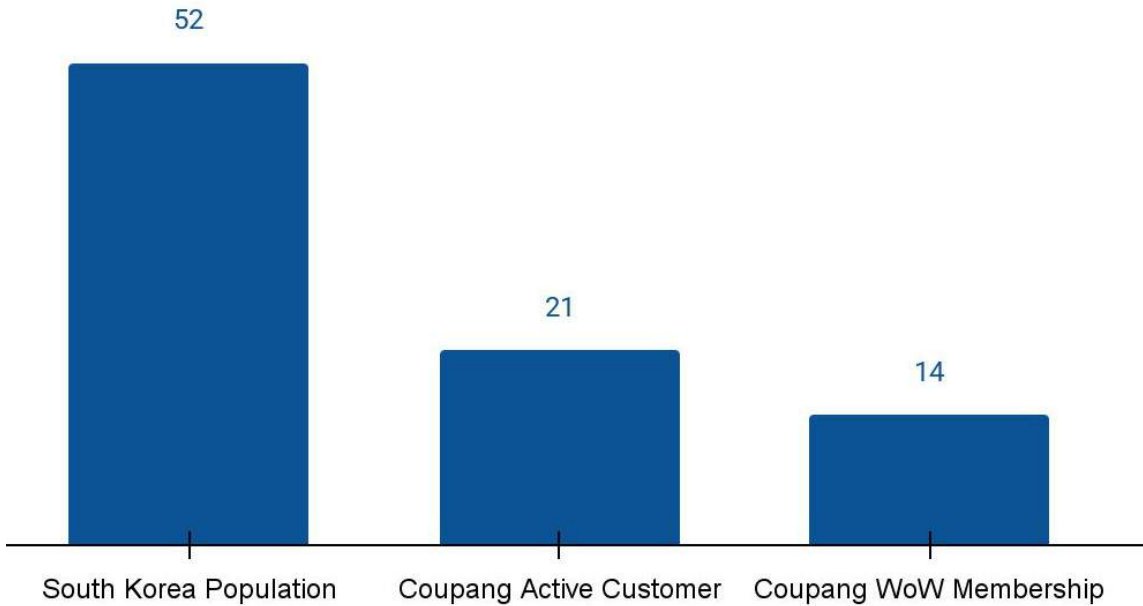
Coupang offers 'Dawn Delivery' - delivery by **7am** for many items ordered by midnight the previous day

This is popular in a country with double income households where work hours go into the night and Dawn Delivery is a life saver for many

Even today Fresh produce category grows faster on Coupang than other categories

Coupang's very successful WoW Membership (\$7 a month) contributes to most of its sales and has very good penetration and reduces friction for members

Number of people/users in mn

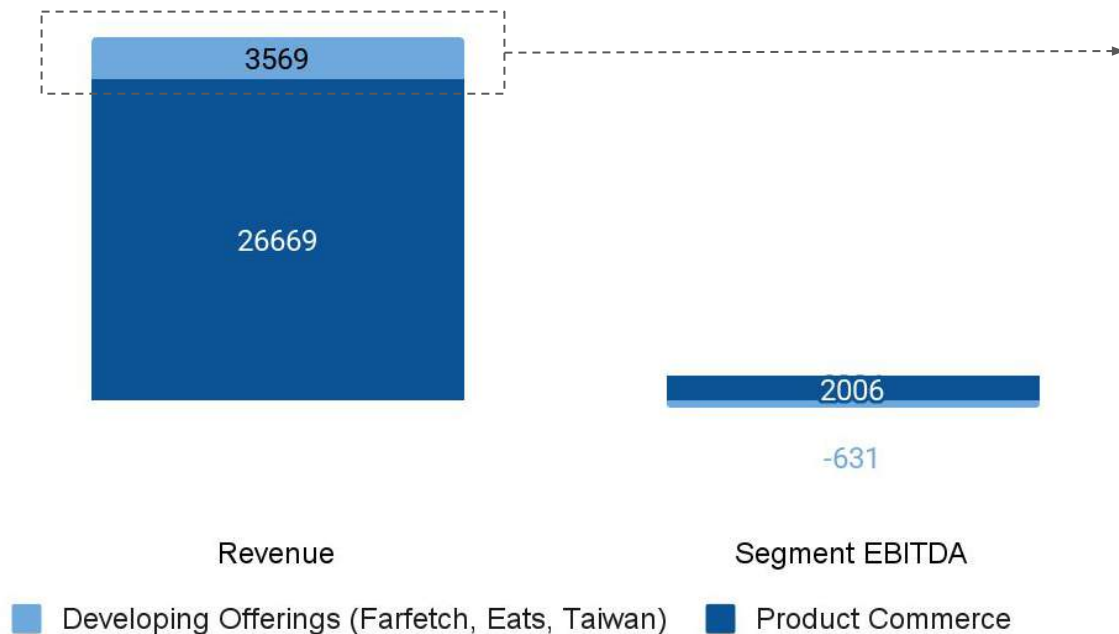


Benefits for Members

- Same day and Dawn Delivery on millions of SKUs
- No minimum order value for free delivery
- 30 day returns
- Access to Exclusive Discounts
- Free Access to Coupang Play OTT

The growth challenge for **Coupage** would be the relatively smaller South Korea population - it is now expanding into newer products (Coupage Eats) and is growing in the structurally similar Taiwan market

Coupage Segment-wise Revenue and EBITDA (\$mn) 2024



Coupage acquired luxury e-commerce platform in a distress sale

FARFETCH

coupage
eats

사장님

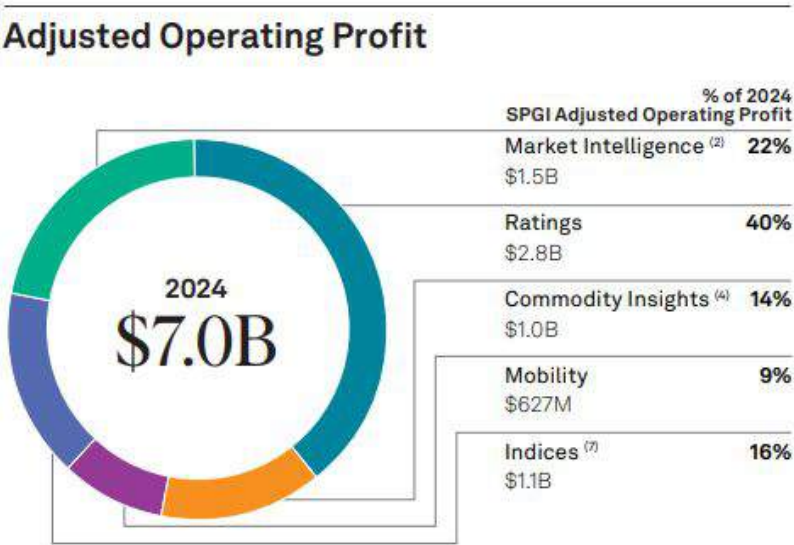
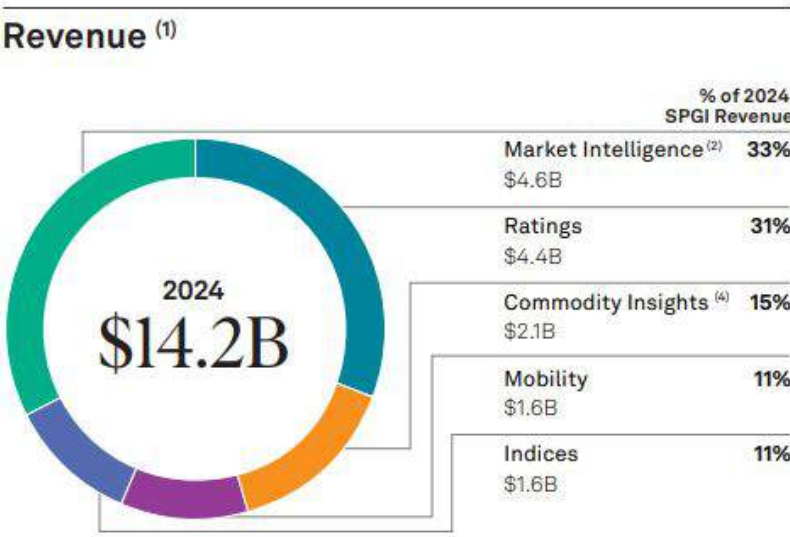
Coupage Eats is food delivery service in South Korea that is reportedly growing fast

酷澎
coupage

Coupage is also growing in Taiwan which is a very similar market to South Korea

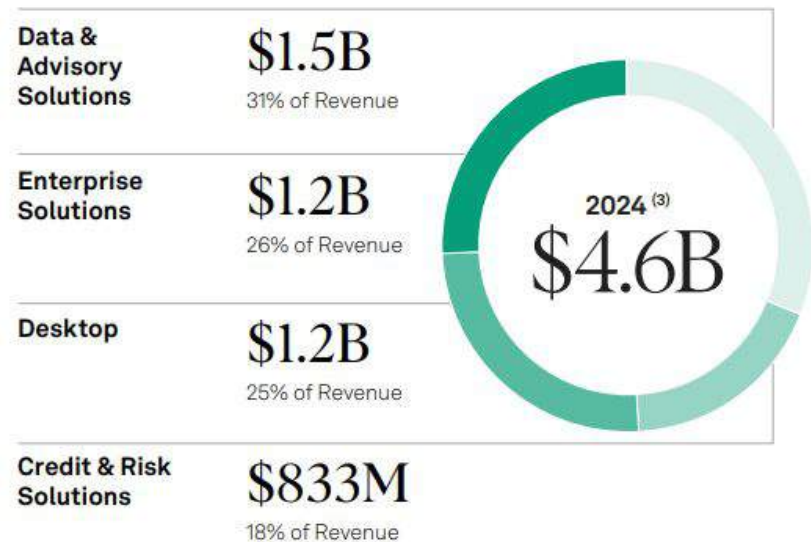
S&P Global is a \$14bn revenue (\$150bn market cap) credit ratings and financial data/intelligence giant

S&P Global is one of the two biggest rating giants (other being Moody's) with 40% market share but it also has a very big data/intelligence operation that contributes to 67% of its revenue



S&P Global Segments: Market Intelligence is a big business with enterprise solutions on data about public and private companies

Revenue Mix ⁽¹⁾



Private Markets

Providing transparency and achieving greater operational efficiency with end-to-end private markets solutions



Sustainability

Delivering information, data, tools, and analytics to customers to help them make informed sustainability decisions



Credit and Risk Management

Offering industry-leading tools and analytics covering the intersection of risk across credit, financial, regulatory, third-party, supply chain, and climate



Supply Chain

Equipping customers with industry-leading trade, maritime, shipping, and relevant risk-related data to assess supply chains



Data Transformation

Leveraging GenAI and cloud to drive scale and efficiency while providing flexible access and discoverability platforms to S&P Global's data estate



Capital IQ Pro Expansion

Expanding the market-leading Capital IQ Pro platform through differentiated data and research, visualization, and analytics to serve clients' evolving needs via an integrated ecosystem

S&P Global Segments: Ratings and Other Divisions are standalone big businesses in their own right

Ratings Segment

Premier credit rating agency with huge credibility and coverage

Revenue Mix

Corporates	\$2.3B
	53% of Revenue
Financials	\$726M
	17% of Revenue
Structured Finance	\$537M
	12% of Revenue
Crisil, Other*	\$521M
	12% of Revenue
Governments	\$272M
	6% of Revenue

Commodity segment

Unparalleled data and insights on forecast, data, emissions, benchmarks in commodity and energy markets

Revenue Mix

Energy & Resources Data & Insights	\$727M
	34% of Revenue
Price Assessments	\$722M
	34% of Revenue
Upstream Data & Insights	\$431M
	20% of Revenue
Advisory & Transactional Services	\$262M
	12% of Revenue

Mobility segment

Insights and Predictive analytics based on 35bn+ vehicle history records

Revenue Mix

Dealer	\$974M
	61% of Revenue
Manufacturing (OEMs/Suppliers)	\$348M
	22% of Revenue
Financial & Other	\$287M
	18% of Revenue

Indices segment

Owns the biggest index IP including S&P 500. Generates licensing and other fees

Revenue Mix

Asset-Linked Fees (Asset-linked)	\$1.0B
	64% of Revenue
Data & Custom Subscriptions	\$292M
	18% of Revenue
Exchange-Traded Derivatives	\$290M
	18% of Revenue

S&P Global dominance today is the result of two big mergers and a continuous stream of acquisitions that bulk up proprietary data and capabilities

The Two big mergers and acquisitions that created the Data/Insights Giant



IHS
markit



IHS Markit®

\$13bn merger in 2016



S&P Global



IHS Markit®

\$44bn acquisition in 2020

S&P Global continues to acquire businesses to further add data offerings and capabilities
(Below are acquisitions just in the last 3 years)

 with. Intelligence Private markets intelligence	 Pronto NLP Generative AI Analytics Tooling	 ORBCOMM Maritime and Supply chain data
 TERAHELIX Data modeling	 Chart IQ Visualization and Charting	 visible alpha Sell-side research and forecasts
 world hydrogen leaders Energy markets insights	 TruSight™ Risk management capabilities	 marketscan data you can trust Automotive and mobility data

Moody's - The credit ratings giant that is building a lucrative Analytics and Insights business (\$86bn market cap)

Moody's is helping customers accelerate value creation in an era of exponential risk.

Moody's	Ratings	Research & insights	Data & information	Decision solutions KYC Banking Insurance
	Agency of choice	Premier fixed income research business	Unparalleled database on companies & credit	Subscription-based business(es) serving mission-critical KYC, Banking and Insurance workflows

We provide tools that enable Banks, Insurers, Investors, Corporations and Governments to...

What do we do?	Issue, Originate, Select, Underwrite	Identify, Measure, Monitor & Manage Risk	Verify, Comply, Plan & Report
----------------	--------------------------------------	--	-------------------------------

Leveraging an unrivaled set of data, analytics, & domain expertise across...

How do we do this?	Credit	Properties	People	ESG
	Companies	Securities	Economies	Climate

Moody's has two reportable segments: MA and MIS.

Moody's Analytics	Moody's Investors Service
MA provides data, intelligence and analytical tools to help business and financial leaders make confident decisions.	For more than 115 years, MIS has been a leading provider of credit ratings, research, and risk analysis helping businesses, governments, and other entities around the globe.

Moody's is the 115 year old credit ratings giant (both Moody's and S&P have 40% market share each)

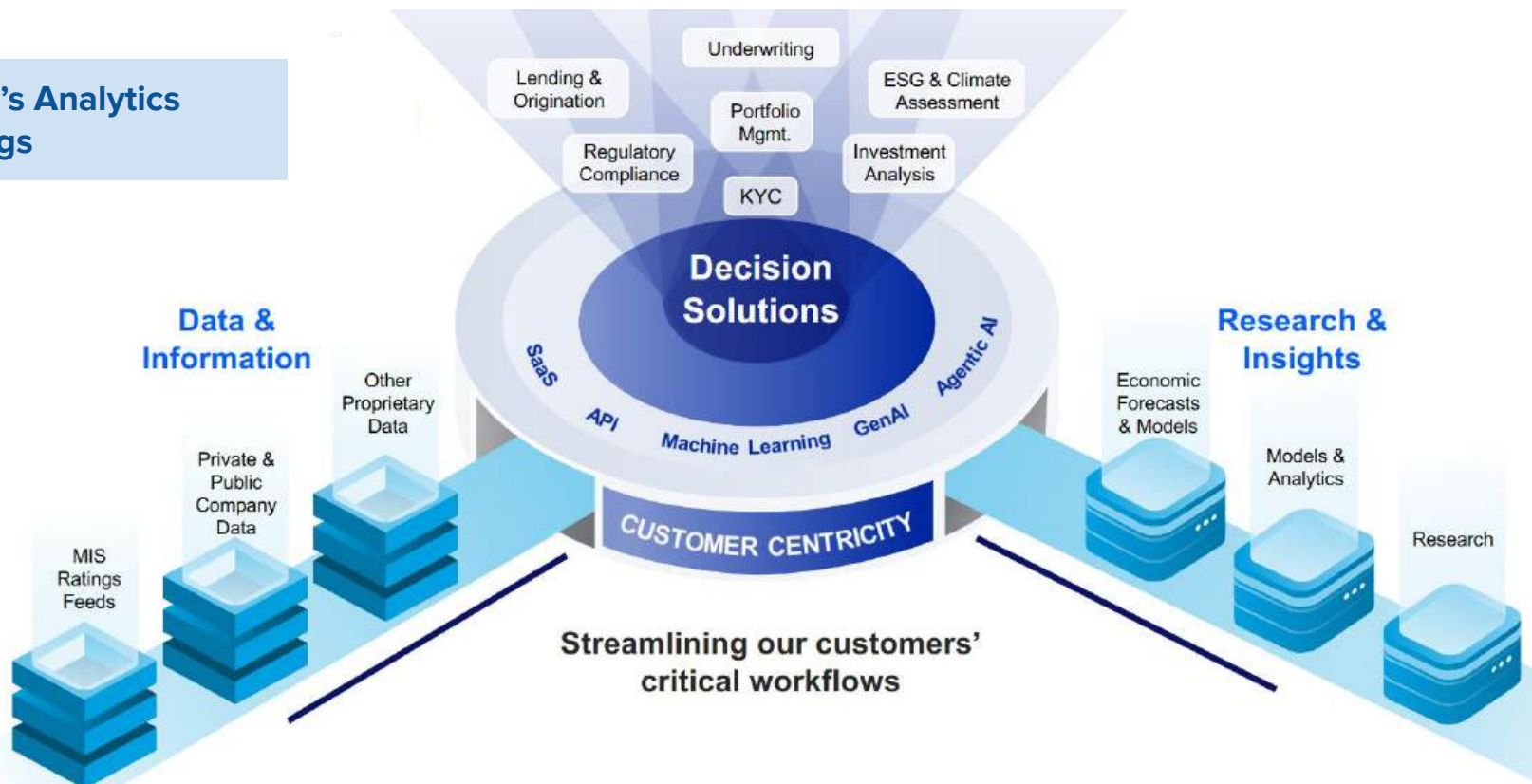
The credit ratings business has deep moat due to Moody's brand credibility and network effects. i.e. more investors ask for Moody's ratings due to credibility which pushes more companies to get Moody's ratings which increases appeal of Moody's ratings to investors

It does about \$7.1bn in Revenue with an operating margin of 40%

In 2007, it started the Moody's Analytics division which has become a growth engine for the company

Moody's with its unparalleled database of credit ratings and company data has built a lucrative data and insights division called **Moody's Analytics** since 2007

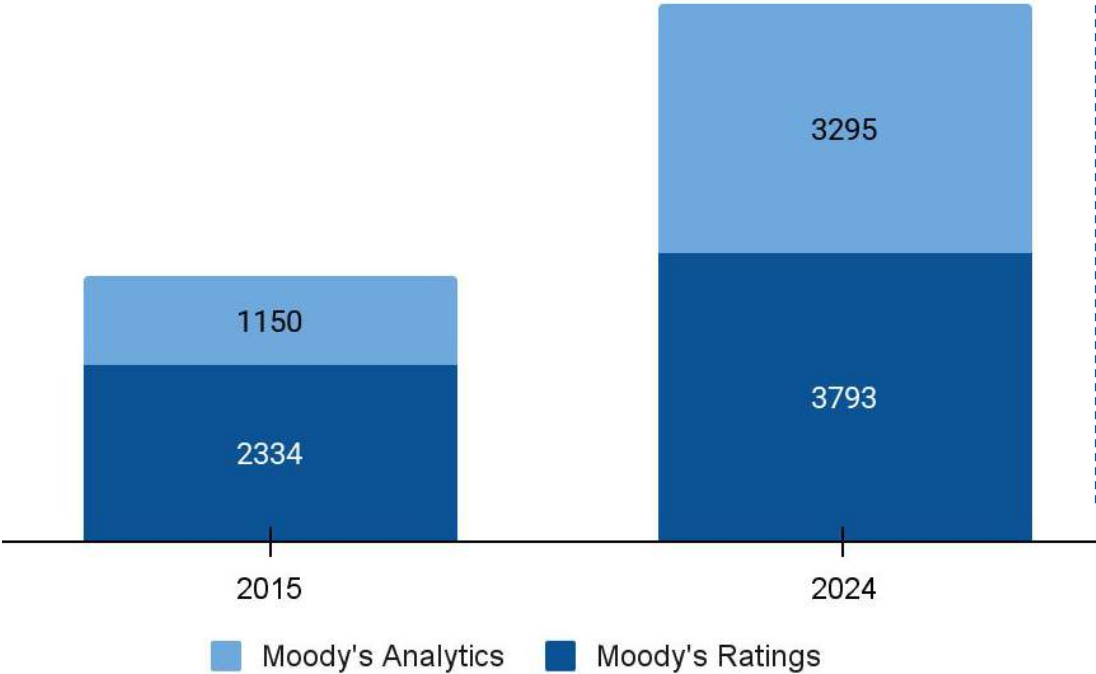
Moody's Analytics offerings



Source: Company Reports

Moody's Analytics is growing faster than Moody's Credit Ratings and will become the bigger division in the next few years

Moody's Segment-wise Revenue (\$mn)



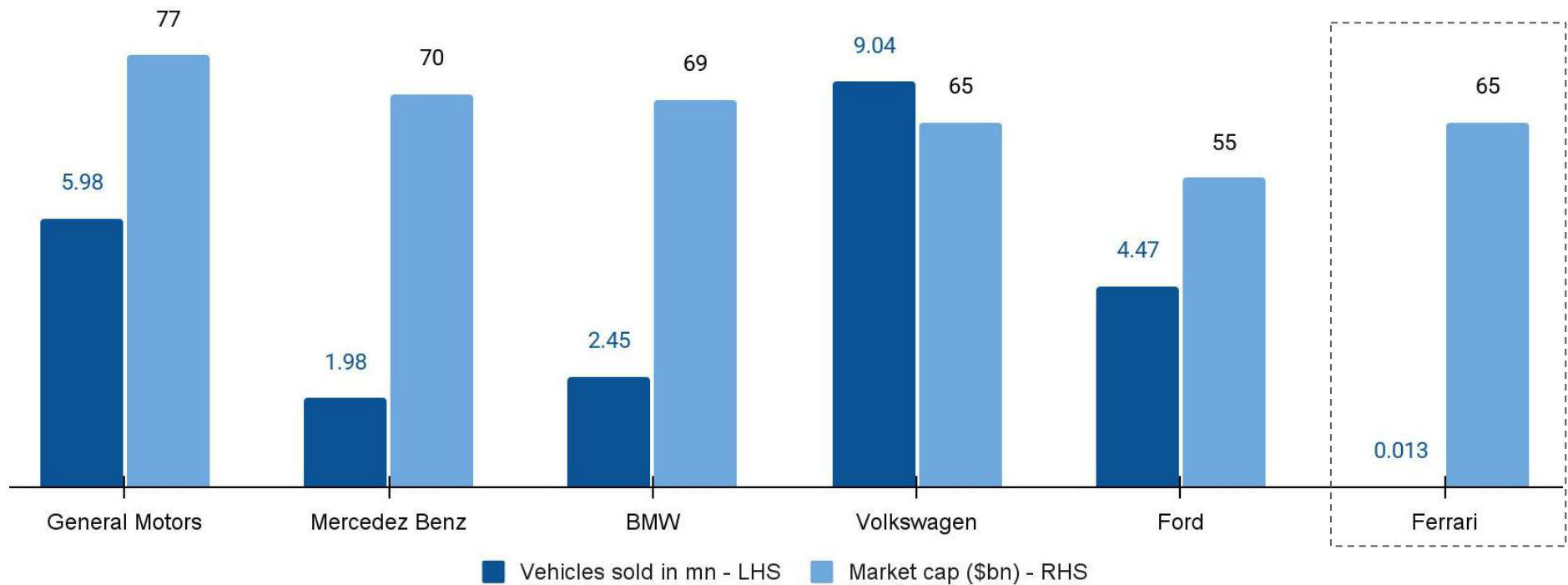
Moody's Analytics is growing faster than Credit Ratings and has about 15,000 enterprise customers in 165 countries

There is a lot of headroom to grow and to cross-sell considering Moody's credit ratings reach

Moody's Analytics has an operating margin of 30% today while Moody's Ratings has an operating margin of 60%

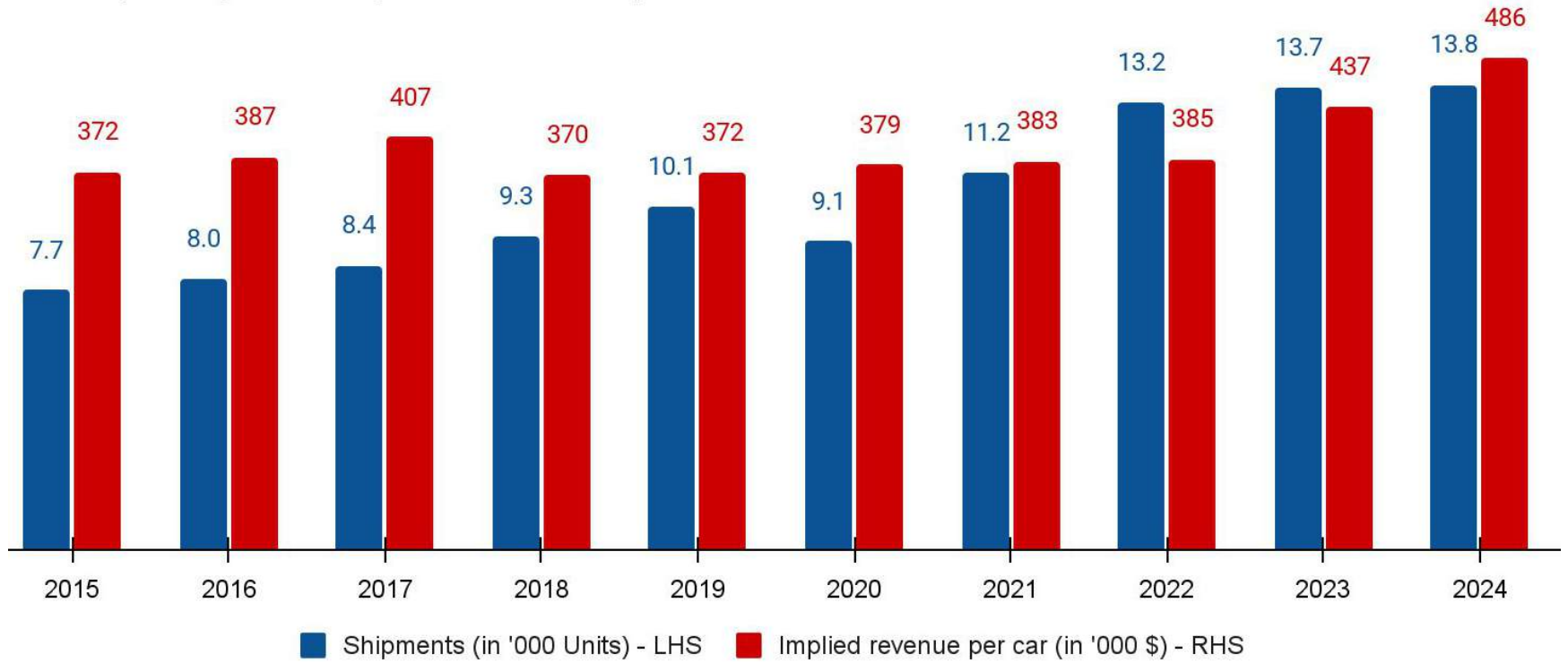
Ferrari - only sells 13800 vehicles! \$65bn market cap

Ferrari sells a fraction of vehicles of other car manufacturers but is similar in market cap to them!



Ferrari doesn't care about market share and instead pursues deliberate scarcity to keep the appeal very high

Ferrari in the last 10 years has only increased unit sales from 7700 to 13800



Ferrari pursues a two-pronged marketing approach

(1) for general public mainly via its Formula 1 participation



Formula 1 is the pinnacle of motorsports with 1.3 billion cumulative TV audience, 65 million average weekend viewership

Ferrari is one of the most successful teams and is the only team to participate in every year since Formula 1 inception

Ferrari gains exceptional appeal and publicity from the general public as a premier car brand due to its association with Formula 1

I estimate it to have earned more than \$500mn in annual earnings in 2024 from its Formula 1 revenue and sponsorships

Ferrari pursues a two-pronged marketing approach

(2) for existing and prospective (exclusive set of clients) to foster long-term relationships

Casa Ferrari - VIP accommodations during F1 races



Ferrari Tours -
exclusive
community
driving events
in Italy

Source: Company Reports

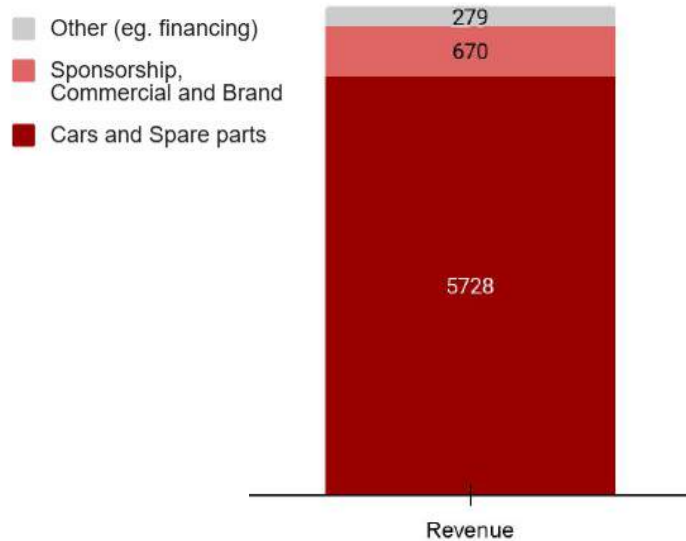
Esperienza Ferrari - event which offers exclusive driving sessions with Ferrari expert instructors



Ferrari sells **81% of its new cars to its existing customers**. Hence its event-based marketing approach makes a lot of sense

There is growing demand for car customization by **Ferrari** buyers which is very high margin

Ferrari segment-wise revenue in \$mn



There is growing demand for customization which is high margin.
Pinnacle of customization is one-offs which are made only at Maranello, Italy (HQ of Ferrari)



Cintas - The \$75bn market cap company that rents uniforms so that businesses 'can get ready for work'



Cintas is a company based in the US that offers uniform rentals (typically for blue collar service workers) as a service to businesses of all sizes.

It operates in the United States as well as Canada and Latin America and serves more than 1 million businesses



The value proposition is reliability - It reliably gets businesses ready for work with pickup, laundry and delivery of clean uniforms for employees of the businesses to look presentable and 'ready'

It does more than \$10bn in revenue with majority coming from uniform rentals. It also offers cleaning services and other product rentals like mats, restroom supplies, water services, first aid products, fire extinguishers and more

Cintas - Route and Inventory Management is key. More businesses along a route can drive good profitability

Cintas operates more than 12,000 routes today. Route management is key and the more businesses that become customers along a route, the more profitable it is for Cintas to handle pickup and delivery



Cintas - An important employee role of Cintas is the **Route Service Representative** who delivers service as well as cross-sells more products and services to clients

JOIN OUR TEAM

▶ **Route Service
Sales Representatives**



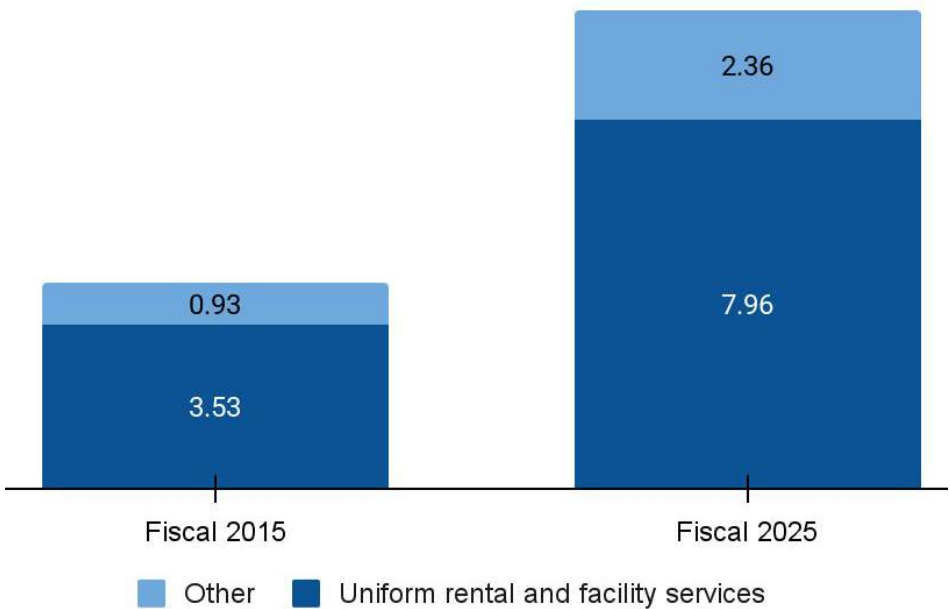
Route Service representatives are well trained field workers who:

- picks up and delivers rental items like uniforms, mats, chemicals
- handles queries and resolves issues for the customer
- manages inventory along a route
- Upsells and cross-sales more Cintas products (eg. restroom supplies to a uniform client) and services

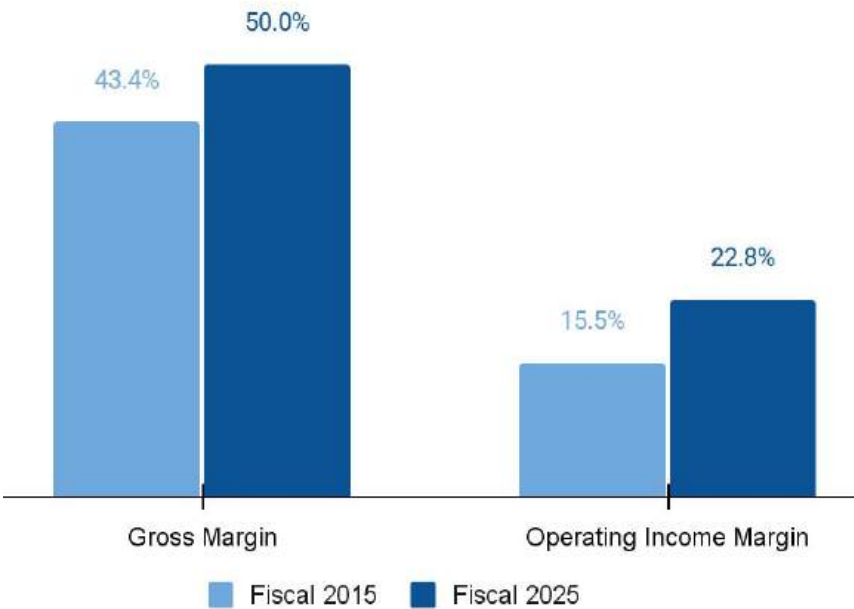
Route Service Representatives are the face of Cintas and work for 4 days a week

Cintas has continued to grow consistently while growing profitability at a faster clip (not surprising when routes become denser and there is cross-sell to businesses)

Cintas segment-wise revenue in \$bn



Cintas consistently expands margins



Loblaws - Canadian Supermarket Giant that has become adept at juggling multiple retail brands and formats (\$45bn revenue and \$53bn market cap)



Loblaws is the biggest Canadian Grocery retailer that does about \$45bn in Revenue with gross margin of 31% and operating margin of 11%

It focuses on Food and Drug Retail with a smaller financial services component

It operates a network of 2800+ stores and handles more than 1 billion transactions a year across its stores and has 17mn active loyalty members

It has popular private label brands like President's choice, No Name etc. that contribute to 30% of its sales

Loblaws - stands out for its ability to operate multiple retail brands and formats in Drug and Food Retail. Some are specific to the region and have been acquired in the past

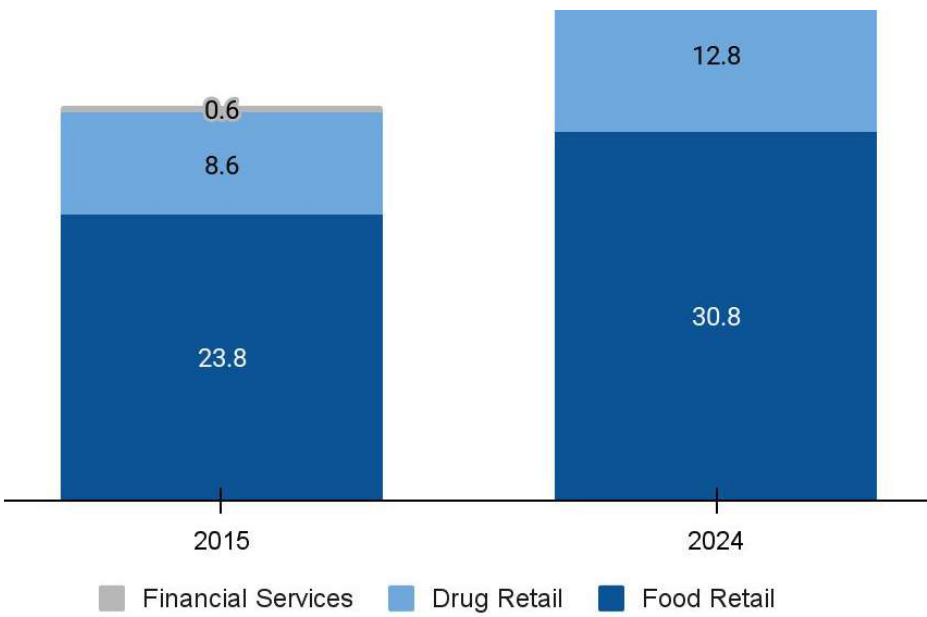


Loblaws - stands out for its ability to operate multiple retail brands and formats in Drug and Food Retail. Some are specific to the region and have been acquired in the past



Loblaws continues to grow both Food and Drug Retail. It has indicated high growth is expected in the ‘hard discount’ format of *No Frills* and *Maxi* brands

Loblaws Segment Wise Revenue \$bn



Source: Company Reports

Loblaws is growing Hard Discount format (low-selection high inventory turnover and private label)



Uniqlo (Fast Retailing) - The \$112bn market cap Casual Wear Giant thriving with Fashionable Basics



Uniqlo, based in Japan is one of the biggest fashion brands and retailers and does around \$20bn in sales with a market cap of \$112bn

It was founded in 1984 but first found its major hit with the 'fleece jacket mania' (product pictured in the left) in 1998 in Japan. Uniqlo sold these high-demand products at an affordable price point of \$15.

Uniqlo sells high-quality basic casual wear without logo intended to highlight the individuality of the wearer rather than the brand

It has universal focus rather than for specific customer segment

The brand has seen a very successful international expansion and acceptance of its clothing across global markets

The secret sauce for **Uniqlo** is its close partnership with Toray Industries (a chemicals and industrials giant in Japan) which has helped it pioneer new innovative materials

Uniqlo has been working closely with Toray since mid-1990s but officially has a strategic partnership from 2000s that has helped it launch very innovative and differentiated products in the market



2003

HEATTECH

Developed at Uniqlo's request for lightweight, warm innerwear, HEATTECH has sold over 15 billion units worldwide. Made from four types of yarn—rayon, acrylic, polyester and polyurethane—it adsorbs moisture from the body and converts it into heat, while offering excellent insulation, dryness, stretch and comfort.



2012

AIRism

Cotton has long been preferred for innerwear due to its absorbency, but its slow drying often causes discomfort. Synthetic fibers dry faster but tend to lack the softness of natural materials. To resolve this, Toray engineered a polyester fiber about one-tenth the thickness of human hair that wicks away moisture while delivering a silky, lightweight feel.



2024

NANODESIGN

Toray's advanced polymer extrusion technology allows for precise control over the shape and structure of polymers at the nano scale, enabling the creation of entirely new fibers. Used in the outer fabric of Uniqlo's PUFFTECH Jacket and Pocketable UV Protection Parka, it delivers high water repellency without the use of perfluorinated compounds.



2024

PUFFTECH

Aiming to replicate the structure of natural down, Toray developed PUFFTECH, a synthetic filling with hollow, spring-shaped fibers. These fibers form air pockets that provide high heat retention and insulation, offering a more stable alternative.

The secret sauce for **Uniqlo** is its close partnership with Toray Industries (a chemicals and industrials giant in Japan) which has helped it pioneer new innovative materials

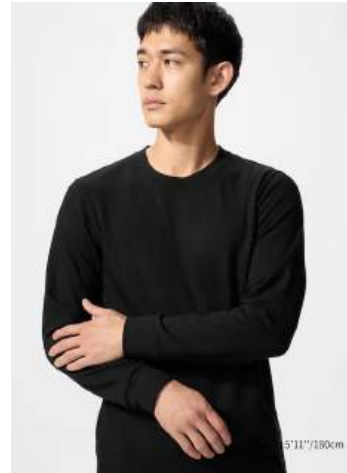
Uniqlo encapsulates its philosophy towards Clothing as 'LifeWear' - clothing that not only decorates but actually improves the quality of life of the wearer and also highlights their individuality



'Souffle' yarn ultra comfort tshirts



Pufftech jackets with higher heat retention

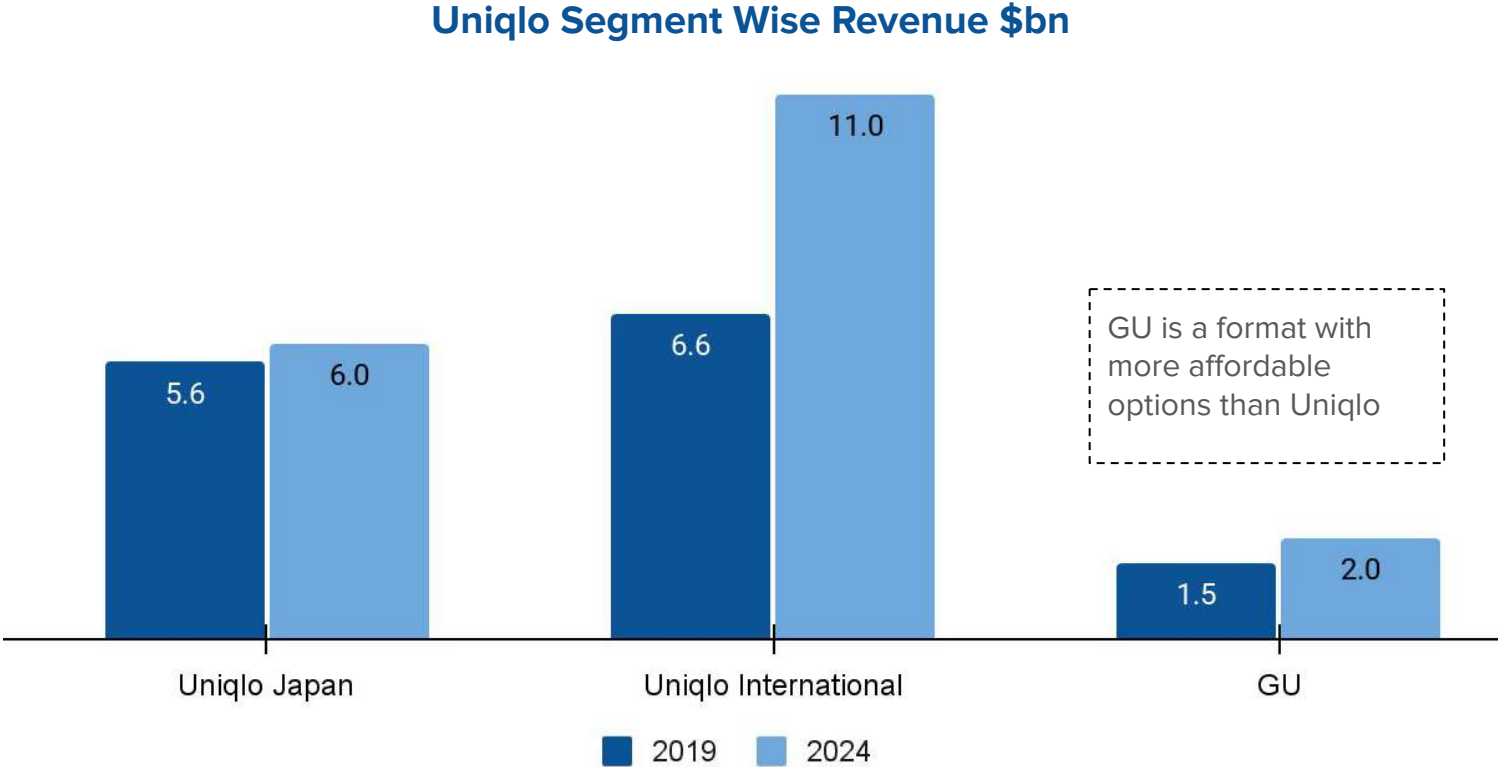


Heattech thin but warm clothing



Airism wicks away moisture/sweat

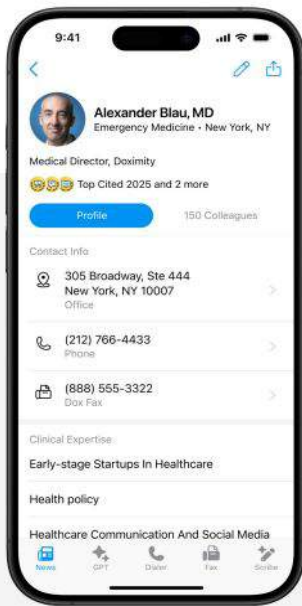
Uniqlo has seen very good success internationally which has become a growth engine for the company



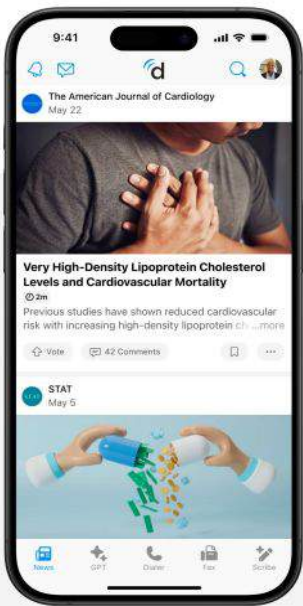
Doximity - The LinkedIn for Medical Professionals (\$8bn market cap) with 80% penetration

Doximity is the professional-network cum workflow app for medical professionals in US. It has 2mn registered members with a whopping 80% penetration of US physicians and 90% of graduating US medical students

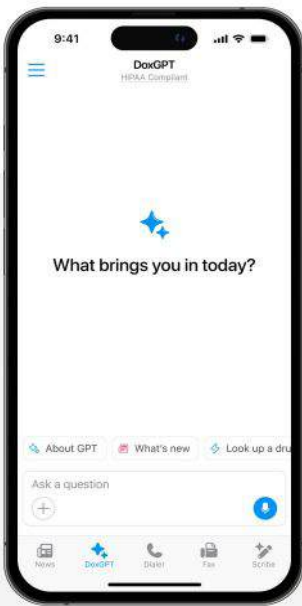
Professional Network



Newsfeed



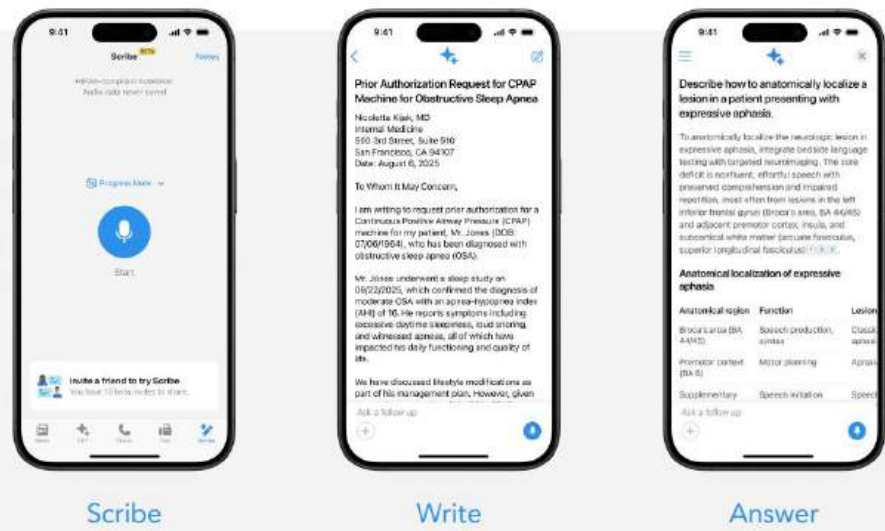
Workflow



Doximity's workflow tools (like patient dialer and fax) are quite popular and are seen as a must-have for US medical professionals

The New AI Tools are seeing good traction among professionals

A free, HIPAA-compliant suite of AI tools that is private to each clinician



Disastrous_Phrase_85 • 8d ago
Dialer daily, send voicemail weekly, and fax at least monthly. In my limited experience, their AI is on par with open evidence and in some cases is more concrete with dosing and tx plan. The social feed is junk and reads like Dead Internet 101
51

SirFrancesRump • 8d ago
yeah their fax is awesome, its actually easier than my own company's fax lol
7

Hoopoe0596 • 8d ago
They got much better lately with AI ambient scribe and HIPAA compliant GPT that is pretty good and just acquired Pathway MD to do the medical references. I never used it except once a year I had to send a private fax but now use it much more as a result.
18

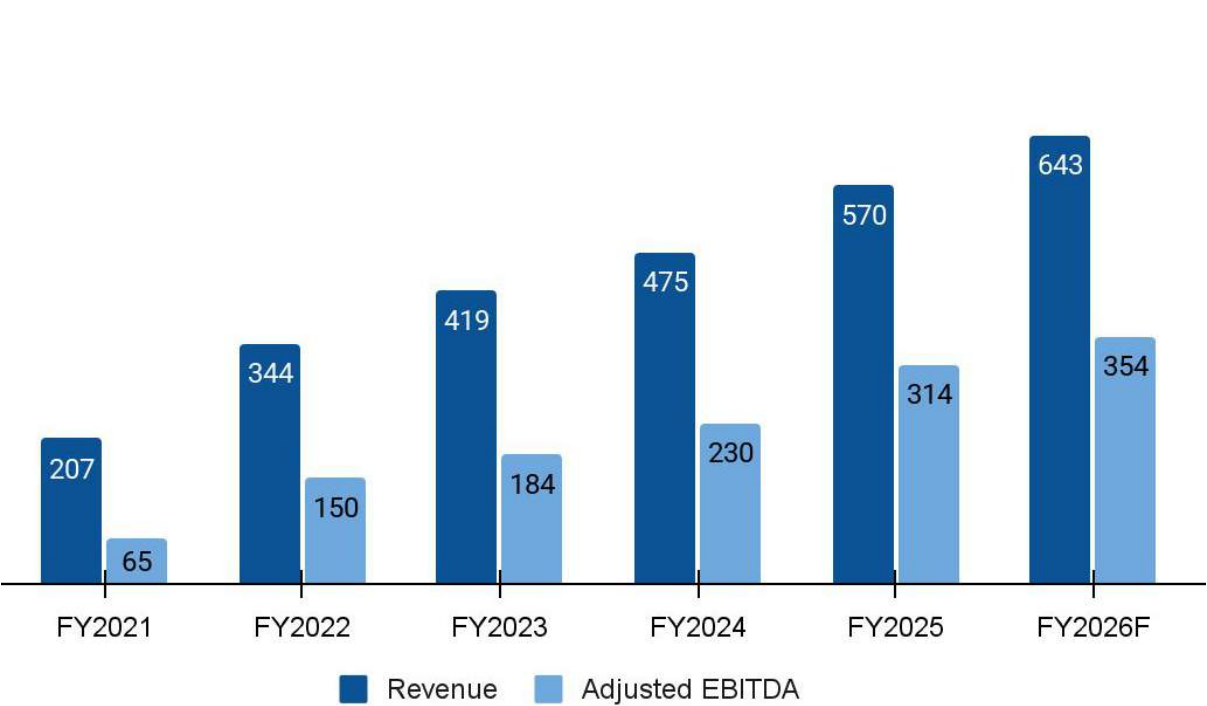
hoticygel • 8d ago
daily when calling families post op
117

Feedbackplz • 8d ago
Same. Can't imagine life without Doximity. To people who don't use it, how do you call patients/families from your personal phone? Or do you have to wait till you're near a landline to do it?
17

eckliptic • 8d ago
Almost daily. Doximity dialer is my default call app from Haiku. I use it to speak to patients and patients families if I'm not in the hospital
63

Doximity monetizes in three ways (Marketing, Hiring and Workflow). It is growing fast with 50%+ EBITDA margins!

Doximity Revenue and Adjusted EBITDA in \$mn



Marketing Solutions: Pharma companies advertise due to Doximity’s wide reach among medical professionals

Hiring Solutions: Recruiting tools and capabilities to hire medical professionals

Workflow Solutions: Telehealth, on-call scheduling and AI tools bought by hospitals and health systems

Duolingo has taken quite a beating this year over fears of valuation and fear of AI simplifying language translation

168.64 USD

+ Follow

-157.25 (-48.25%) ↓ year to date

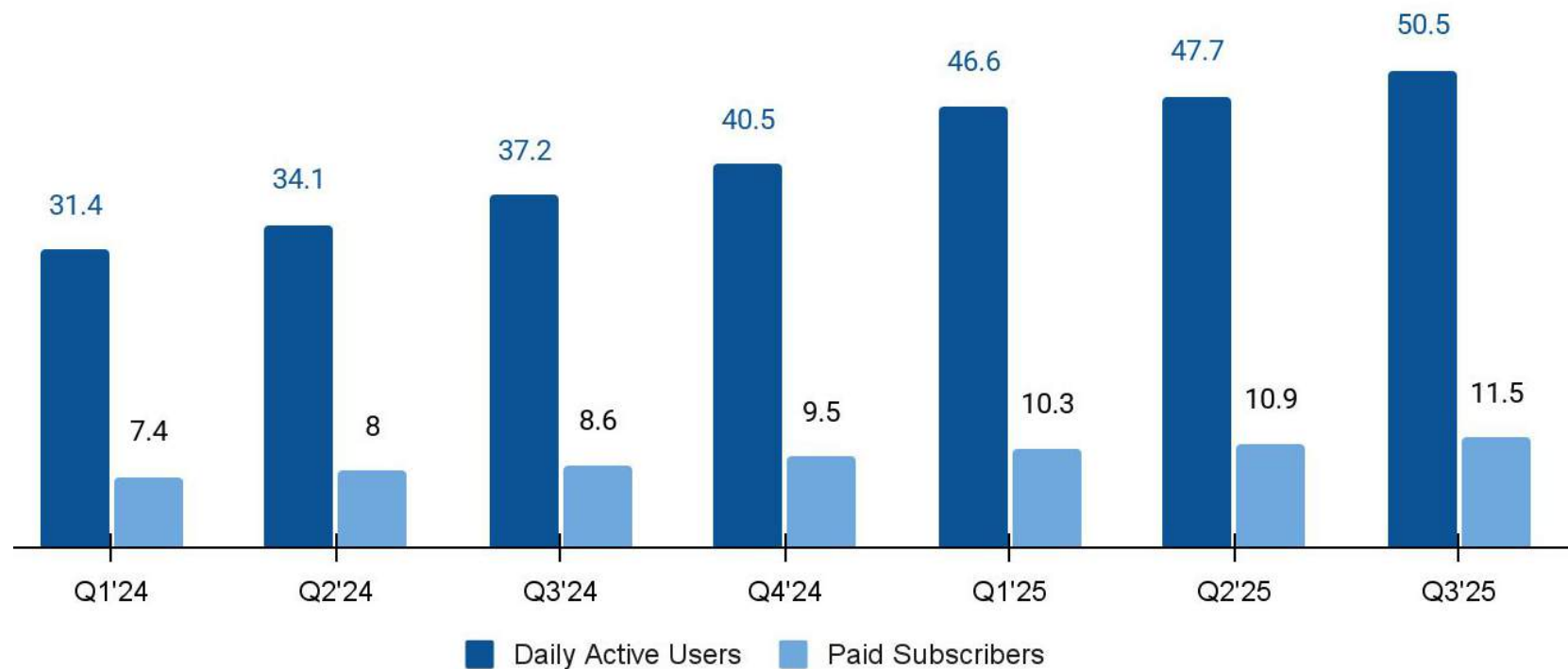
24 Nov, 11:47 am GMT-5 • [Disclaimer](#)



Duolingo is down 68% from its peak this year and down 48% year to date

Duolingo keeps growing user base at a fast clip despite AI Threat

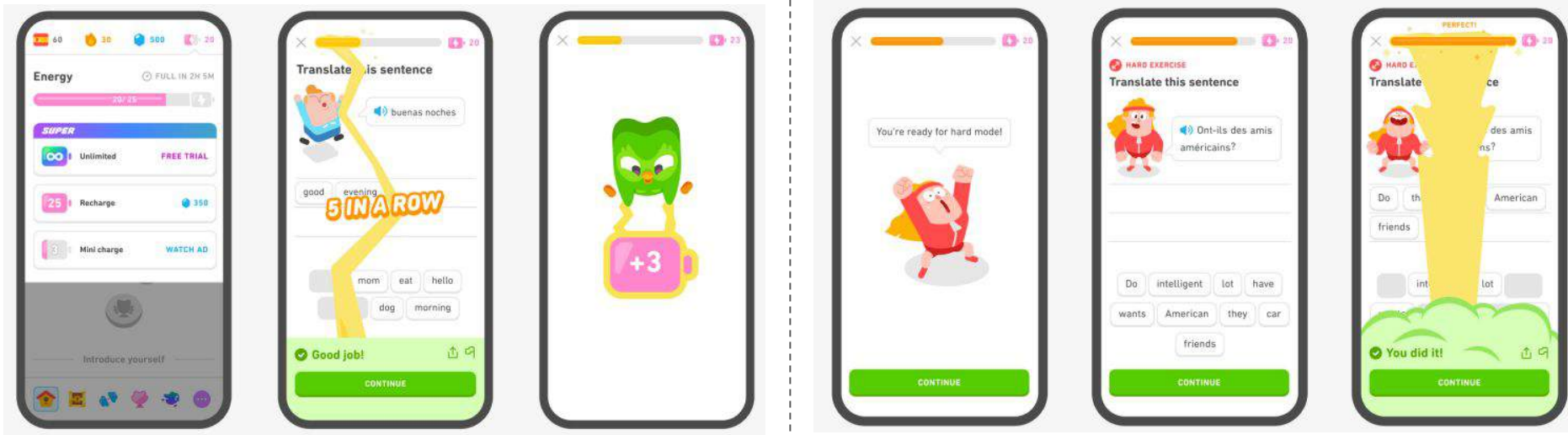
Duolingo Daily Active User and Paid Subscribers in Million



Source: Company reports

Duolingo is an addictive game disguised as a language learning app!

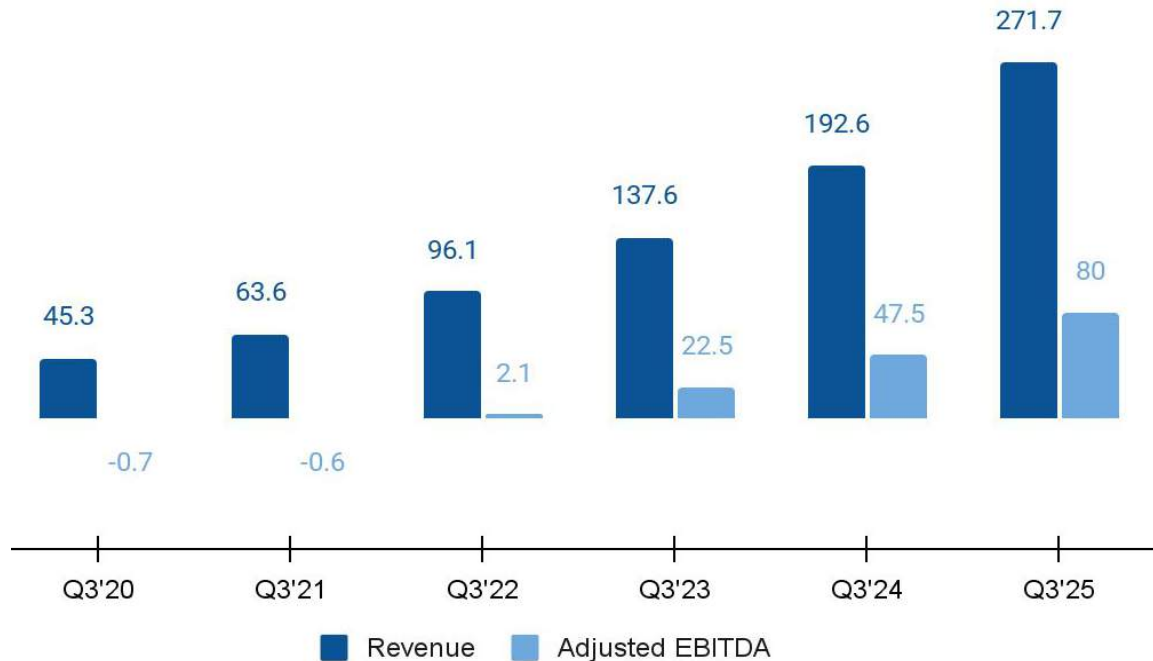
Duolingo does tons of user A/B tests every month and makes the 'course' (game) more and more addictive



Duolingo gives learners a sense of achievement by celebrating their progress and getting them to come back for more

Duolingo has been able to monetize so far. Likely will be successful in continuing to monetize due to the addictive nature of the product

Duolingo Quarterly Revenue and EBITDA (\$mn)



Duolingo has monetized at a very fast pace and in spite of the threat from AI could potentially do very well

Thank you!